

[Session Name]

Day10

[Case Name]

Prvo Plinarsko Drustvo d.o.o. v Gazprom Export LLC

Exported By ankit sharma

On

Apr 23, 2026



Q fact

Page	Source Text	Note	Issues
1	MR TALANOV: Our hard copies have been printed. PRESIDENT: Hold on one 2nd. Just hold on one 2nd. MR TALANOV: Our hard copies hav...	MR TALANOV: Our hard copies have been printed. PRESIDENT: Hold on one 2nd. Just hold on one 2nd. MR TALANOV: Ou...	Orange
16	cause. So the conclusion on this is Gazprom countersigned the 1st April letter under duress and PPD validly awarded	cause. So the conclusion on this is Gazprom countersigned the 1st April letter under duress and PPD validly awarded	Yellow
1	one. Claimant. Mic two. Claimant mic three. Claimant. Mic four. MS LIM: Good morning. We will resume to	one. Claimant. Mic two. Claimant mic three. Claimant. Mic four. MS LIM: Good morning. We will resume to	Orange

Fact

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10	ware, and the 2nd relevant principle is the observance of practices that have been established between the parties. And o	ware, and the 2nd relevant principle is the observance of practices that have been established between the parties. And o	Orange
10	provides for the purposes of this convention, statements, statements made by and other conduct of a party are to be interpreted accordin...	provides for the purposes of this convention, statements, statements made by and other conduct of a party are to be...	Red

Quick Mark

Page	Source Text
1	MS LIM: Good morning. Day 10 of the hearing. This is
1	MS MAYDANIK: Yes. Last day. Let's pull this back a
1	MS LIM: Good. How are you?
1	MS MAYDANIK: How are we? All?

Quick Mark

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1	MS MAYDANIK: How are we? All?
1	MS LIM: Good. How are you?
1	MS MAYDANIK: Yes. Last day. Let's pull this back a
1	MS LIM: Good morning. Day 10 of the hearing. This is

01 09:18:16

02 09:18:16 MS LIM: Hello, hello, hello. Last night, ma'am. Even.

03 09:18:42 Good morning. Morning.

04 09:18:47 MS MAYDANIK: How are we? All?

05 09:18:49 MS LIM: Good. How are you?

06 09:18:50 MS MAYDANIK: Yes. Last day. Let's pull this back a

07 09:18:54 little bit. There we go. Yeah. Oh.

08 09:20:23 MS LIM: Good morning. Day 10 of the hearing. This is

09 09:20:25 the mic testing tribunal. Mic number 1. Madam Chair.

10 09:20:33 Mike. Tribunal. Mic

11 09:20:37 number 2. Respondent

12 09:20:41 mic one. Respondent mic two.

13 09:20:48 Respondent mic three. Witness mic one. Witness mic two. Claimant mic

14 09:21:12 one. Claimant. Mic two. Claimant

15 09:21:18 mic three. Claimant. Mic four.

16 10:00:47 MS LIM: Good morning. We will resume today. With the

17 10:00:56 party's closing oral closing submissions. We have received

18 10:01:00 the party's demonstrative. Thank you very

19 10:01:03 much. And we also have received the hard copy of the

20 10:01:08 claimant's presentation. Claimant, you have the floor

21 10:01:11 and you reserve 90 minutes.

22 10:01:15 MS MAYDANIK: Presentation for.

23 10:01:18 MR TALANOV: Our hard copies have been printed.

24 10:01:19 PRESIDENT: Hold on one 2nd. Just hold on one 2nd.

25 10:01:22 MR TALANOV: Our hard copies have been printed. They

01 10:01:24 will be here shortly.

02 10:01:25 PRESIDENT: Have. Have they been exchanged between the

03 10:01:27 parties already?

04 10:01:28 DR REINER: Yes. By email.

05 10:01:28 MS SOLDATENKOVA: I mean by email. Yes. And we will

06 10:01:31 have copies for claimant as well. Thank you.

07 10:01:42 PRESIDENT: Members of the tribunal, Madam President, it

08 10:01:47 is a special privilege to address you again. In

09 10:01:51 closing, together with Mr Hollande, who will conclude

10 10:01:56 our submissions. In this closing statement, we will

11 10:02:05 try to answer those questions that are relevant to

12 10:02:11 decide the case. We have modeled these questions on

13 10:02:21 the questions that have been submitted to the

14 10:02:24 tribunal, albeit in abbreviated form. The 1st

15 10:02:28 question that I'm going to address is, was PPD obliged

16 10:02:35 to comply with the new payment mechanism under article 50 4cg? It is useful to

17 10:02:50 recall the wording of

18 10:02:58 article 54. I quote the buyer's obligation to pay the

19 10:03:03 price includes taking such steps and complying with

20 10:03:09 such formalities as may be required under the contract or

21 10:03:10 any laws and

22 10:03:18 regulations to enable payment to be made.

23 10:03:18 3 points. Can already be

24 10:03:22 made based on the text of article 54. First article 54 is

25 10:03:33 not the mechanism to

26 10:03:35 amend the contract. It seeks to

01 10:03:40 enable the performance of

02 10:03:43 the

03 10:03:43 contract. It does not. Allow the parties to modify

04 10:03:51 the contract. As is already clear from the text of

05 10:03:57 the provision, which says as.

06 10:04:07 MS MAYDANIK: My screen doesn't work. So that's. Thank

07 10:04:15 you.

08 10:04:17 MR HAUGENEDER: As may be required under under the

09 10:04:21 contract or any laws and regulations to enable

10 10:04:25 payment. So under the contract and it is clear, as

11 10:04:32 already Prof Perner has pointed out, this is not

12 10:04:38 something that allows to change the payment mechanism,

13 10:04:42 which is part of the contract, not even a change of

14 10:04:48 currency. This is not a formal step to enable

15 10:04:53 payment, such as opening bank accounts, sending

16 10:04:59 transferring money, taking the necessary steps to

17 10:05:03 transfer the money. And that is crystal clear when

18 10:05:11 one reads the authorities party agreement is decisive

19 10:05:18 for the determination of currency. This authority

20 10:05:23 refers to currency, but of

21 10:05:27 course that refers to any steps and

22 10:05:31 formalities to enable payment agreement is paramount. And this position has

23 10:05:45 particular force in our

24 10:05:51 contract. Our contract specifically provides for a

25 10:05:59 payment mechanism and a currency, and it specifies

that the change of the currency requires mutual

01 10:06:05 consent. So already from the text of the contract, it
02 10:06:11 is clear that the payment mechanism that was imposed
03 10:06:16 with the 1 April letter. Could not be imposed by
04 10:06:24 relying on article 54
05 10:06:26 of the CISG because article 54 CISG does
06 10:06:31 not allow to modify the contract. Second article 54
07 10:06:40 only concerns steps and
08 10:06:42 formalities such as governmental procedures,
09 10:06:48 banking
10 10:06:48 procedures. It seeks to enable payment not to change
11 10:06:57 the agreement on how payment is to be made, and
12 10:07:02 even Prof Klicka, who seems to see this
13 10:07:07 otherwise concedes that article 54 cannot impose an
14 10:07:12 unreasonable burden on the buyer as he stated in
15 10:07:20 relation to the the currency of payment. And when we look at the facts, the payment
16 10:07:37 mechanism
17 10:07:43 did impose unreasonable burdens. The. And it
18 10:07:47 amounted to a change of contract. According to the
19 10:07:54 new payment mechanism, payment was only deemed to be
20 10:07:54 made upon
21 10:07:56 receipt of payment in Russian roubles, as the 1 April
22 10:08:01 letter said, and that was a clear departure from the
23 10:08:05 contract. And that, contrary to
24 10:08:11 what the respondent has submitted, that
25 10:08:14 was also confirmed by the testimony during this
26 10:08:18 hearing, Mr Barash has confirmed the payment duty by

01 10:08:25 the buyer is only deemed fulfilled when
02 10:08:31 roubles are
03 10:08:33 credited to the account. So he confirms, was the
04 10:08:38 letter what the letter already says. And the
05 10:08:44 consequence of not transferring roubles to Gazprom accounts on the payment date
was an immediate
06 10:08:58 cut off. As we can see here from the correspondence
07 10:09:04 with Mr Barash, he confirms payment in euros on the
08 10:09:10 "K" type account
09 10:09:12 had already been received. Nevertheless,
10 10:09:16 end of May the gas was cut off. And again on 31st
11 10:09:30 August 2022, gas was again cut off and again. In an
12 10:09:35 email to Ms Ivancic, he said that the resumption of
13 10:09:44 deliveries will resume. I quote from
14 10:09:48 the email depending on the date of crediting roubles
15 10:09:52 to our account in Gazprombank. So clearly, so
16 10:10:00 clearly
17 10:10:01 the mechanism departed from the contract and
18 10:10:06 it also went far beyond steps and formalities. In
19 10:10:14 addition,
20 10:10:15 there were compliance delays because
21 10:10:18 European banks had doubts about the compliance of this mechanism
22 10:10:25 with
23 10:10:25 sanctions. Now, we've heard that according to
24 10:10:31 Gazprom, the conversion, the conversion to from euros to gas to to
25 10:10:39 roubles took only two days. But there were additional delays based on

01 10:10:45 the compliance procedures by European banks, and those

02 10:10:49 delays amounted to up to 14 days. Ms Ivancic has said five to

03 10:10:58 six or seven days now. The respondent says that's not that's not our sphere. But in
actual fact,

04 10:11:09 these compliance delays

05 10:11:10 did not exist before. They were a direct consequence of

06 10:11:17 the

07 10:11:17 change of payment mechanism and the risk that the new

08 10:11:25 payment mechanism would be in breach of sanctions.

09 10:11:29 So, of course, these compliance delays are directly

10 10:11:37 attributable to the to the change of the payment

11 10:11:42 mechanism. And on the on the next slides, you will see abundant and

12 10:11:54 credible evidence that the the payment the new payment

13 10:12:02 mechanism caused delays and disruptions which in certain cases

14 10:12:09 led to the interruption of gas supplies. All

15 10:12:15 this did

16 10:12:16 not exist under the previous. Under

17 10:12:19 the contract, where PPD simply had to transfer

18 10:12:26 euros

19 10:12:27 to a. To the account of Gazprom. The. The new payment mechanism also shifted
further

20 10:12:41 risks and burdens to PPD, so there were significant

21 10:12:48 financing costs because payment had to be made before

22 10:12:55 the contractual due date. That was. Set out by Mr Way, and this has not at

23 10:13:03 all been addressed by Gazprom. The payment mechanism exposed PPD to the

24 10:13:11 jurisdiction of the Russian courts regarding their

25 10:13:14 type "K" bank account. And remember, these were

01 10:13:19 considerable sums that were transferred to this
02 10:13:21 account. Again, this was not addressed by Gazprom during
03 10:13:27 this hearing, and the Russian administrative
04 10:13:31 authorities had the power to decide on the suspension
05 10:13:35 of supplies of gas
06 10:13:36 deliveries if gas was not made in roubles. Again, this change of the payment
mechanism is not
07 10:13:50 covered by the contract. And finally, the 1 April letter also purported to give
08 10:13:57 the CBR the power to change the payment mechanism in
09 10:14:00 the future. And the 3rd point that can be made with in
10 10:14:06 relation to article 54 is. Article 54 concerns payment
11 10:14:17 of the contract price by the buyer, not impediments in
12 10:14:24 the sphere of the seller. So. The buyer needs to comply with steps and formalities.
What has happened
13 10:14:38 here is of course, PPD could
14 10:14:44 easily transfer euros to a Gazprombank account. The
15 10:14:51 payment mechanism did not concern PPD's obligation to
16 10:14:57 pay the the price it concerns is concerned the
17 10:15:02 performance of Gazprom under the contract and that is not
18 10:15:09 covered by
19 10:15:11 article 54 of the CISG
20 10:15:14 because the entire. This entire part of the. CISG 5354 concerns
21 10:15:21 obligations of the buyer. Here. The invoked steps and formalities concerned
22 10:15:36 Gazprom's performance under the contract. Because the
23 10:15:44 decree and the mechanism prohibited Gazprom from
24 10:15:49 performing the contract, PPD was still able and
25 10:15:54 willing to make payments in euros. So that

01 10:16:00 concludes

02 10:16:00 this point. PPD had no obligation to comply with

03 10:16:03 the

04 10:16:04 payment mechanism under article 54 CISG. The next point can be brief.

05 10:16:17 Was PPD obliged to agree to a new payment

06 10:16:21 mechanism under the principle of good

07 10:16:22 faith? Respondent made this

08 10:16:32 argument based on Prof Klicka's

09 10:16:35 testimony, and Prof Klicka relied on article 71 CISG.

10 10:16:42 If you look at that article, that

11 10:16:43 article has nothing to do with an obligation to agree

12 10:16:50 to contract changes based on the on on the principle of good faith, it concerns the

13 10:16:59 interpretation of the convention, the

14 10:17:01 interpretation of the cisc. There is no legal

15 10:17:06 authority for the proposition that a party has to

16 10:17:09 accept amendments to the contract that are requested

17 10:17:13 by the other side, even if that request is reasonable. This would be fundamentally.
Against the

18 10:17:27 principle of the sanctity of contracts and party

19 10:17:29 autonomy.

20 10:17:30 Party autonomy means parties can make binding

21 10:17:34 agreements, and once these agreements are made, they

22 10:17:39 are binding on them. So there is no right of a party to request an

23 10:17:49 amendment of the contract and the corresponding

24 10:17:53 obligation of the other side to accept that request.

25 10:18:02 The obligation to negotiate or renegotiate the

01 10:18:08 contract in situations of hardship is sometimes
02 10:18:13 discussed, and it is primarily denied under the CISG.
03 10:18:19 So the prevailing view is that there is no such
04 10:18:23 obligation. But even if you assume that there is such an
05 10:18:28 obligation, this is only an obligation to negotiate,
06 10:18:36 which as the authorities, including the CISG advisory
07 10:18:42 counsel opinion say, must be based on willingness and
08 10:18:45 trust. There cannot be and there is not a duty to achieve
09 10:18:56 a specific outcome in these negotiations. And even
10 10:19:05 even Prof Klicka concedes that the obligation
11 10:19:12 could only go as far as an obligation to negotiate,
12 10:19:18 but not an obligation to agree to a request from one
13 10:19:23 side. And here, as the facts have shown, there. There
14 10:19:37 wasn't any negotiation and Gazprom's witnesses have that
15 10:19:42 may have made that clear. There was no point to to
16 10:19:46 negotiate. There was a choice to sign or not to sign the letter.
17 10:19:51 As
18 10:19:51 Mr Averkin said, that is not negotiation. That's an
19 10:19:55 ultimatum. So. In conclusion, on that point. There is no legal
20 10:20:11 authority supporting Gazprom's view that there could
21 10:20:13 have been an obligation of PPD, under good faith or
22 10:20:17 otherwise, to agree to the amendments they
23 10:20:23 requested
24 10:20:24 on 1st April. I move now to the next question. Dede PPD accept
25 10:20:38 an offer to modify the contract. The standard. For

01 10:20:46 this is contained in article 8 CISG and article 81, which is relevant in our case,
02 10:20:58 provides for the purposes of this convention,
03 10:21:01 statements, statements made by and other conduct of a
04 10:21:06 party are to be interpreted according to his
05 10:21:10 intent.
06 10:21:11 Where the other party knew or could not have been unaware what
07 10:21:16 that intent was. So the primary rule is one looks at
08 10:21:24 the actual intention of the parties. If the other side knew
09 10:21:29 what this intention was, or could not have been
10 10:21:34 unaware, and the 2nd relevant principle is the
11 10:21:43 observance of practices that have been established
12 10:21:47 between the parties. And once
13 10:21:56 these practices have been
14 10:21:58 established with a certain frequency, and usually one
15 10:22:03 looks at three or four previous instances, these
16 10:22:09 practices are binding. Now,
17 10:22:14 in our case, there was unambiguous testimony from
18 10:22:21 all
19 10:22:23 witnesses that all previous amendments of the contract
20 10:22:31 were contained in formal amendments called
21 10:22:37 amendment. But significantly, there were intense
22 10:22:44 negotiations and exchanges of views before these
23 10:22:48 amendments were
24 10:22:52 agreed. There was never practiced to send a one-sided
25 10:22:59 letter requesting the other side to simply agree. As

01 10:23:06 Mr confirmed and as was also confirmed by Gazprom's
02 10:23:10 witnesses, now having these two principles in mind, actual intent of the parties and
03 10:23:22 practices established between the
04 10:23:27 parties. I'm going to look now at what has
05 10:23:36 happened on 1st April, and it is striking that Gazprom's own witnesses do
06 10:23:41 not call this an offer to amend the contract. They
07 10:23:52 call this an information, a notification. Template.
08 10:24:00 Notice instructions. Informing the counterparties.
09 10:24:04 That's how they call it. And visibly that was also
10 10:24:09 how it was understood by PPD. In addition.
11 10:24:14 Importantly, if you look at Gazprom's
12 10:24:20 letter five May. So that was the letter with which
13 10:24:30 Gazprom communicated the the the decree 254 and the
14 10:24:39 clarifications from the CBR. Gazprom itself refers to the 1 April letter as
15 10:24:44 notification, not as an offer. And it also doesn't
16 10:24:51 refer to a contract amendment that has been concluded.
17 10:24:53 As previously stated in the notification. And that
18 10:24:58 refers. And that's even defined here as the 1 April
19 10:25:06 letter. And that this understanding was
20 10:25:11 also confirmed by Mr Averkin. Who said, we are just
21 10:25:19 informing. About decree
22 10:25:23 paragraphs and so on. So the conclusion
23 10:25:24 from
24 10:25:28 this is Gazprom did not
25 10:25:30 offer to amend the contract, and when there is no
offer, there can be no acceptance. What Gazprom in

01 10:25:35 fact did, it informed PPD about
02 10:25:42 its request to abide by the new payments mechanism.
03 10:25:46 That's a request. That's not an offer. And you will remember the answer to the
04 10:25:55 question of
05 10:26:01 of, Madam President, when I think Mr. Mr Barash was
06 10:26:01 asked
07 10:26:05 and what what happened when they didn't sign that
08 10:26:06 didn't
09 10:26:11 matter to Gazprom, because all that mattered was that
10 10:26:11 the
11 10:26:11 counterparties complied with the new payment
12 10:26:15 mechanism, the 1 April letter does refer once to to a change
13 10:26:26 of contract, but when one looks at the overall context,
14 10:26:31 what was meant and what was clearly understood by PPD
15 10:26:38 was a request to abide by the new payment mechanism.
16 10:26:47 And then if one looks further, there were two further
17 10:26:52 amendments of the payment mechanism. First, the the
18 10:26:57 clarification of the Central Bank and then the five May
19 10:27:02 letter. And these were only notifications
20 10:27:06 this time. Gazprom didn't even ask to
21 10:27:12 confirm agreement. It was simply a notification and a
22 10:27:15 request to abide and significantly, with its letter. 26 May 2022, PPD affirmed that
23 10:27:26 there had
24 10:27:27 been no
25 10:27:34 modification of the contract clearly, and Gazprom did
26 10:27:38 not object. Had there been any amendment of the
27 10:27:38 contract, Gazprom could be expected to object to that

01 10:27:44 statement, which was which was not lacking in clarity.

02 10:27:49 And finally, there is no basis for reliance on PPD

03 10:27:54 conduct or a counterfactual opprobrium as a professor,

04 10:27:59 Schleicher argued, because reliance is can only be

05 10:28:09 based on trust. But in our case, it is clear that on

06 10:28:16 26 may 2022, PPD expressly stated that it did not

07 10:28:21 agree to any contract amendment and Gazprom left that

08 10:28:30 statement

09 10:28:30 unanswered and Mr Averkin confirmed he had received

10 10:28:35 and understood the letter. So there cannot be any

11 10:28:40 amendment or any obligation to agree to an

12 10:28:43 amendment based on subsequent conduct. Prof Schroeter argued this, but in fact, his

13 10:28:51 conclusions were based

14 10:28:52 on a wrong factual assumption, namely that there

15 10:28:56 had

16 10:28:57 not been any such communication in which PPD made its

17 10:29:03 position clear. So the conclusion on this is PPD did

18 10:29:09 not accept any offer to amend the contract. I move

19 10:29:13 now to duress. Was there duress? And this. This

20 10:29:21 question only needs to be answered. If you come to

21 10:29:24 the conclusion that there was an amendment. The

22 10:29:33 parties are largely in agreement about the legal test,

23 10:29:39 duress. There is duress. If there is an unjust or

24 10:29:43 unlawful threat, reasonable fear, and a causal

25 10:29:48 link

01 10:29:48 between the threat and the agreement to the
02 10:29:53 amendment
03 10:29:54 of the contract. Now,
04 10:29:57 1st, was there a threat? Of course there was a
05 10:30:01 threat. If one looks at the 1 April letter, Gazprom
06 10:30:08 wrote, and there are many, you shall you must. In
07 10:30:15 this letter, Gazprom clearly conditioned the further
08 10:30:23 performance of the contract on the. Compliance with the requests to change the
09 10:30:34 payment mechanism. So
10 10:30:35 that
11 10:30:35 is a threat. And this was also how Mr Averkin understood
12 10:30:43 it. He said there was no
13 10:30:47 point to negotiate, but there was a choice to sign or not to sign the letter. So that is a
14 10:30:53 threat
15 10:30:54 because not
16 10:30:54 signing meant cutting off the gas. And the case law
17 10:31:02 and the legal literature on
18 10:31:03 this point are unanimous. The threat of
19 10:31:07 a breach of a contract is unlawful, per
20 10:31:10 se. So there cannot be any argument
21 10:31:17 that this threat was not unlawful. And that was also
22 10:31:26 confirmed by Prof Schroeter, who, after some
23 10:31:32 hesitation conceded that the Supreme Court had
24 10:31:39 said
25 10:31:41 certainly the threat of not continuing contract
26 10:31:44 performance is unlawful. And that's also

01 10:31:51 what Prof

02 10:31:52 Perner testified. Of course,

03 10:31:56 the threat was unjust

04 10:31:58 because there was no obligation to agree by PPD. Was there reasonable fear? Of course there was.

05 10:32:10 There is

06 10:32:12 abundant and credible testimony of Mr Vujnovac and Ms Measic that

07 10:32:21 they were afraid. If they did not sign the letter,

08 10:32:28 gas would be cut off

09 10:32:31 and

10 10:32:32 they described these moments of stress because of

11 10:32:39 fears about the security of supply, but also fear

12 10:32:43 about the

13 10:32:45 financial survival of

14 10:32:46 PPD, because not getting

15 10:32:51 gas

16 10:32:52 from Gazprom would mean

17 10:32:54 having to to procure gas at spot markets, at at

18 10:33:00 untenable prices at the time. As Mr Vujnovac says, this would have been

19 10:33:13 the death of the company and this. This fear was

20 10:33:21 reasonable because,

21 10:33:26 as the example of Uniper showed, not signing

22 10:33:31 the letter and

23 10:33:32 not abiding by the by the payment mechanism had dramatic

24 10:33:38 financial consequences. And in the case of Uniper, who

25 10:33:44 resisted. This resulted in insolvency and forced administration by the

01 10:33:51 German state. And of course, the threat was the
02 10:33:55 cause for
03 10:33:57 countersigning the 1st April letter. So that is
04 10:34:00 really that that is
05 10:34:02 that was really the only reason
06 10:34:06 why PPD would sign this letter. Gazprom didn't even
07 10:34:11 suggest any other reason. So that clearly was
08 10:34:14 the
09 10:34:14 cause. So the conclusion on this is Gazprom countersigned the 1st April letter under
10 10:34:22 duress and PPD validly awarded
11 10:34:25 the claimed amendment of the contract. I move to the next
12 10:34:42 question. Was there force
13 10:34:45 majeure? Which is regulated in article 11 of the
14 10:34:50 contract? There are
15 10:35:00 three legal
16 10:35:00 principles to bear in mind when interpreting article 11. First, parties may derogate
17 10:35:13 from
18 10:35:13 article 79 CISG regulating hardship and, as Prof
19 10:35:19 Schwenzer says, this. This is actually quite common in international trade
20 10:35:25 and such derogation is, of course, binding on the
21 10:35:32 parties. Second, the provisions of a contract in
22 10:35:39 general and of course also also this provision must be
23 10:35:44 construed according to their purpose. And this
24 10:35:49 interpretation. Must be based on the presumption that
25 10:35:56 the parties wanted to conclude a meaningful contract,
26 10:36:01 so that every clause of it has actually an effect.

01 10:36:09 And of course, the principle of of contra proferentem.

02 10:36:15 So the party that drafted the contract or provided the

03 10:36:22 formulation of that specific provision must bear the

04 10:36:27 risk of possible ambiguity and that therefore it must be

05 10:36:34 interpreted against that

06 10:36:36 party. The the testimony of

07 10:36:43 Mr Averkin confirmed. That the the contract draft came

08 10:36:52 from Gazprom. And that's also what the what the

09 10:36:55 record shows. So if one were to conclude that

10 10:37:01 article 11 is ambiguous, the meaning that is more favourable to PPD

11 10:37:08 must prevail. Article 11 therefore defines and

12 10:37:22 exhaustively

13 10:37:23 regulates force majeure events and

14 10:37:29 article 114 provides for an

15 10:37:31 obligation of the party affected by

16 10:37:35 □202603270017 force majeure to immediately notify the

17 10:37:38 other party of the occurrence and the expected

18 10:37:43 extent and duration of these circumstances. And there

19 10:37:47 is also, in the case of the seller, Gazprom, the

20 10:37:52 obligation to confirm force majeure by the Chamber of

21 10:38:00 Commerce and Industry of the Russian federation.

22 10:38:07 Now, Gazprom says this. This does not. Even if this

23 10:38:10 notification was not made, this should not have any

24 10:38:16 consequences. But that would simply leave these

25 10:38:23 contract provisions without any meaning, because

01 10:38:28 whether these provisions are in in the contract or not,
02 10:38:35 Gazprom's position is exactly the same. It has no
03 10:38:39 consequence, and that is not a reasonable
04 10:38:43 interpretation. In particular, in view of the in view
05 10:38:49 of the clarity that is needed in relation to force majeure events. As Prof Perner
06 10:38:59 confirmed. In fact, there was no force
07 10:39:09 majeure notification. Mr Averkin confirmed that
08 10:39:14 the 1st April letter was no such notification.
09 10:39:19 And also, if one looks at the content
10 10:39:22 of that letter, that letter doesn't speak
11 10:39:24 about the hindrance to the performance. The letter
12 10:39:28 says. You must abide by.
13 10:39:32 You must abide by the new payment mechanism. That does
14 10:39:38 not say I'm unable to perform because there is this specific event. And Gazprom also
15 10:39:59 did not provide a certificate of
16 10:40:04 the Chamber of Commerce and Industry and made no
17 10:40:04 contemporaneous attempt to attain one. As Mr Averkin
18 10:40:10 confirmed in his testimony. So the conclusion on this is Gazprom cannot rely
19 10:40:16 on force majeure. It made no notification. It cannot
20 10:40:25 now say that the decree was force majeure. In
21 10:40:30 addition, and independently of this, Gazprom
22 10:40:36 was required to prevent any impediment to its
23 10:40:41 performance in a situation of events. To its
24 10:40:47 performance, it was under obligation to prevent the
25 10:40:55 event with due care of a reasonable and prudent
operation, and it was obliged to take all reasonable

01 10:41:03 measures, which may be useful to ensure the resumption of the normal performance
of the
02 10:41:08 contract.

03 10:41:11 Now, if one looks at the facts, Gazprom was over
04 10:41:16 compliant with Decree 172, as the testimony showed,
05 10:41:22 there was an instruction by President Putin to
06 10:41:26 change the currency. Gazprom did nothing, although
07 10:41:32 it
08 10:41:33 was evident even from media, that this would have a
09 10:41:39 very significant impact on their contracts with
10 10:41:45 foreign buyers, including PPD and Mr Averkin in his testimony, confirmed, in fact,
11 10:41:53 that he did nothing. We have to wait and then. On the evening of 31 March 2022,
Gazprom.
12 10:42:12 Acted in an over compliant way in a few hours in one
13 10:42:16 evening. If one believes the testimony, they drafted
14 10:42:24 letters requesting all its customers to
15 10:42:29 abide by the
16 10:42:30 new payment mechanism, clearly no consideration whatsoever was
17 10:42:36 given to any steps that could be taken
18 10:42:39 to prevent the interference and to allow the
19 10:42:44 continuation of the performance. And there were ways to continue the performance
20 10:42:57 that it was Gazprom's burden to look for such
21 10:43:03 possibilities. But there are some obvious ones.
22 10:43:06 Gazprom controlled subsidiaries outside Russia, which
23 10:43:10 it could have used to fulfil its obligations, not to
24 10:43:14 assign the contract simply to allow payment in euros
25 10:43:21 under the contract to be forwarded to Gazprom under

01 10:43:27 the mechanism, but then the subsidiary would comply
02 10:43:31 with the mechanism and not the foreign buyer itself.
03 10:43:35 And it also did not seek any exemption for the decree.
04 10:43:41 It was said that there was no such possibility, but we
05 10:43:44 don't even see any attempt to change the situation.
06 10:43:48 Any letter, any petition, nothing so clearly. So clearly. Gazprom promoted, in fact,
07 10:44:05 the implementation of the decree. And finally, there
08 10:44:07 was no impediment outside the
09 10:44:11 sphere of Gazprom. And that is inherent in the notion
10 10:44:17 of force majeure itself. The relevant test is whether
11 10:44:23 any government regulation is based on general considerations not
12 10:44:28 connected with the contract. The inquiry is not, in
13 10:44:33 hindsight. What specific benefits did Gazprom have
14 10:44:39 from this? The question is, as Bruner states here,
15 10:44:44 parties concluding a contract with the state
16 10:44:46 enterprise may reasonably expect that the state will
17 10:44:50 not prevent
18 10:44:51 the state enterprise from effecting performance under the
19 10:44:54 contract, except if the state intervention is not
20 10:44:57 connected with the contract and
21 10:44:59 based on general considerations. And that was clearly
22 10:45:02 not the case here, because Decree 172 had the specific
23 10:45:10 purpose of interfering with
24 10:45:11 contractual relationships of Gazprom and with
25 10:45:14 specific contracts under the legal test, Gazprom had

01 10:45:20 the burden to demonstrate prima facie that the decree
02 10:45:24 was based on general considerations, but clearly it
03 10:45:28 cannot actually, the evidence shows that Gazprom has
04 10:45:32 promoted the decree, so there was no impediment
05 10:45:37 outside the sphere of Gazprom. Gazprom cannot rely on
06 10:45:43 force majeure. And finally, who was in breach of
07 10:45:47 contract. And here I can be brief. It is a clear
08 10:45:54 that the threat of suspending performance, unless the
09 10:46:00 other side agrees to a modification of the contract,
10 10:46:03 is a fundamental breach under the CISG, the suspension
11 10:46:09 of deliveries under the supply contract is without a
12 10:46:13 doubt a breach of
13 10:46:15 contract. On 31st October 2022, PPD asserted its rights to pay in
14 10:46:24 accordance with the terms of the
15 10:46:26 contract, and it confirmed its willingness to fulfil
16 10:46:30 its obligations under the contract. So PPD was not
17 10:46:36 in
18 10:46:36 breach. PPD required performance of the contracts in
19 10:46:42 accordance with its terms, and that's also what
20 10:46:45 Mr Vujnovac confirms in his testimony. However, Gazprom responded we are
21 10:46:53 suspending deliveries unless you pay in accordance
22 10:46:59 with the payment mechanism.
23 10:47:02 Therefore, Gazprom was in breach. Gazprom. The
24 10:47:10 refused deliveries under the contract
25 10:47:12 and. Insisted on, on, on, on a payment not foreseen

01 10:47:18 in the contract. Of course, this does not allow
02 10:47:24 Gazprom to rely on article 71 CISG to suspend the the
03 10:47:29 contract because it was in breach of contract, and
04 10:47:33 that's also confirmed by the testimony of Prof Perner.
05 10:47:44 In January 2023, Gazprom informed PPD
06 10:47:48 about Decree 992, allowing the payment of past debts
07 10:47:54 in euros. But in the same letter, it continued to request
08 10:47:59 payment in
09 10:48:00 Russian roubles for future
10 10:48:01 deliveries. So again, it made the
11 10:48:04 performance of the contract conditional upon
12 10:48:10 compliance with the payment request. PPD paid for past
13 10:48:17 deliveries by way of set
14 10:48:19 out set off. But even without this payment, Gazprom would be in breach
15 10:48:25 of contract because it made the continuing
16 10:48:29 performance of the contract conditional upon the
17 10:48:34 payment in roubles under the payment mechanism. And
18 10:48:37 that is a fundamental breach, which is a prerequisite
19 10:48:42 for contract avoidance and PPD in consequence, validly
20 10:48:47 awarded. The contract by its letter dated eight March
21 10:48:51 due to Gazprom's fundamental breach of contract. So
22 10:48:56 these are all the elements you need to find Gazprom liable
23 10:49:04 for the damages suffered in relation to replacement costs.
24 10:49:13 Mr Holland will now
25 10:49:15 set out the other basis of liability.

01 10:49:32 DR REINER: Members of the tribunal respectfully, we next
02 10:49:36 address sanctions and why the risk of payment under
03 10:49:40 the payment mechanism was such that whatever you find
04 10:49:45 under the contractual and Austrian law principles, PPD
05 10:49:51 was right to stop payment and it was right to resist Gazprom's
06 10:49:56 claims. And that is because
07 10:49:58 this hearing has been bookended at the start and at
08 10:50:05 the finish by two decisions that make this position
09 10:50:10 absolutely clear. We will talk about them
10 10:50:15 shortly.
11 10:50:16 But in summary, the 1st days before the
12 10:50:21 hearing ended held that it was part of public policy
13 10:50:26 that the prohibition to make funds available to
14 10:50:30 sanctioned entities is breached where there is a
15 10:50:36 reasonable risk that a sanctioned entity could be
16 10:50:42 allowed to access all or part of the funds. And
17 10:50:49 the
18 10:50:50 2nd days before the start of
19 10:50:54 this
20 10:50:55 hearing held that it was part of public policy, that a
21 10:51:00 claim made under a contract modification affected by sanctions was automatically
22 10:51:09 not satisfied. So for all
23 10:51:11 of us sitting here in the middle of these rulings, the
24 10:51:17 situation could not be clearer and nor could the obvious direction
25 10:51:23 of travel or development of these

01 10:51:28 mandatory principles. So you saw and heard about
02 10:51:34 the
03 10:51:35 payment mechanism. I will make three points on how
04 10:51:39 the evidence developed. But if any other aspect of
05 10:51:44 the operation of the payment
06 10:51:45 mechanism is not clear, please ask questions after. Now. Now
07 10:51:52 .1 relates to the
08 10:51:54 unquestionable, undeniable participation by PPD. In this scheme. It was forced
09 10:52:03 to do this on the 1st of April 2022.
10 10:52:08 Gazprom required gas buyers to give an irrevocable
11 10:52:15 order pre
12 10:52:17 authorisation instructions to Gazprombank, and that
13 10:52:21 was in Gazprombank's letter. And why is this
14 10:52:26 important? It made PPD
15 10:52:30 responsible for the euros made available. And what
16 10:52:36 did it require of PPD that was not pay
17 10:52:43 your euros into your euro account. It was also
18 10:52:50 convert them exactly how Gazprom want and where we
19 10:52:56 want and when we want. You let your euros go out to to moex to someone you
20 10:53:04 don't know and you get their roubles and you put
21 10:53:09 them
22 10:53:10 in your rouble "K" account, and then you pay them
23 10:53:14 to
24 10:53:15 Gazprom each step of the whole payment procedure
25 10:53:20 was controlled. The entire process, not just the 1st

01 10:53:26 step, took place because the gas buyer
02 10:53:30 authorised it to
03 10:53:31 happen. .2 relates to the unquestionable and
04 10:53:37 undeniable
05 10:53:39 fact that PPD's participation went right
06 10:53:42 through to the end of the payment mechanism. Now,
07 10:53:46 Gazprom's witnesses confirmed this. And why
08 10:53:49 is it important? PPD responsibility for the euros
09 10:53:56 that were made available is is stretched. It's
10 10:54:01 stretched across to everything that the payment
11 10:54:05 mechanism did. The gas buyer would only pay Gazprom
12 10:54:11 in in roubles.
13 10:54:13 So it mattered how it sold the euros, how it
14 10:54:18 bought the roubles and .3 relates to the unquestionable and
15 10:54:26 undeniable fact that PPD could not blame its
16 10:54:31 intermediary. Now to a banker, PPD gave carte blanche for
17 10:54:39 Gazprombank to act on its behalf. And why is this
18 10:54:45 important? It's because PPD's
19 10:54:50 responsibility for the euros that were made available
20 10:54:55 cannot be shifted. The payment mechanism operated under PPD's
21 10:55:04 instructions from the 1st step to the last. And
22 10:55:08 this is again because of the irrevocable order that
23 10:55:15 PPD had to give. And so, with these facts established, what of the
24 10:55:24 risk of sanctions violation? Now, there was at the
25 10:55:30 very least, a substantial

01 10:55:34 risk that payments via the mechanism would breach
02 10:55:39 EU
03 10:55:39 sanctions law. And that is because sanctioned
04 10:55:44 entities and the CBR traded euros on Moex and Gazprom
05 10:55:51 cannot deny this. And it can't because the CBR,
06 10:55:58 the
07 10:55:58 sanctioned bank, VTB Bank, and also the only experts that you heard from
08 10:56:07 say that euros were available to be bought by
09 10:56:11 sanctioned entities. And that is the reality of
10 10:56:16 the
11 10:56:17 flow of payments. Any trader on Moex could access the
12 10:56:24 funds. The funds were made available. Second, the
13 10:56:31 gas buyers only means of defence.
14 10:56:36 Your duty to do obligatory sanctions checks was
15 10:56:42 taken
16 10:56:42 away from it. The Russian buyer of your euros
17 10:56:47 was deliberately concealed and for sanctions it
18 10:56:53 seems that it is simple. You need to know the
19 10:57:00 recipient of the euros. And even if you could have done sanctions checks,
20 10:57:09 which you absolutely cannot. This was a totally
21 10:57:15 unnecessary and complex scheme. And that
22 10:57:19 separately raises red flags. You heard variously that
23 10:57:26 it was sophisticated, unnecessarily complex and very risky. And the only
24 10:57:36 experts you heard from told you about the risks that
25 10:57:41 they saw. You heard that a banker could never

01 10:57:47 participate in the payment mechanism, and that was the
02 10:57:53 case if there was even a chance that you could
03 10:57:59 transact with a sanctioned entity. Next, the standard of risk to be applied.
04 10:58:09 And for this, we look more on the risk that
05 10:58:13 the experts saw. The standard of risk for sanctions
06 10:58:17 is zero tolerance. There is no de minimis limit. So that means that there is
07 10:58:26 an intense risk of violation.
08 10:58:29 These provisions are so broad, it's an unmovable.
09 10:58:37 Restriction. And two points on the test that you are
10 10:58:42 mandated to apply. The 1st is that the
11 10:58:46 governing test is only whether a sanctioned entity would be allowed to access the
12 10:58:54 funds. And 2nd, this needs you to prove only a reasonable
13 10:59:04 risk. And that was clarified this week. It's the 1st
14 10:59:10 of the new decisions. And that related to the Yemen sanctions.
15 10:59:21 But you will see at the top of this slide that the language is tentacle, and it was held in
16 10:59:30 that
17 10:59:37 decision of the advocate general. The article 2.2 of
18 10:59:42 the same regulation is to be interpreted as
19 10:59:45 meaning that the existence of a reasonable risk that a
20 10:59:51 designated person will benefit from all or part of the
21 10:59:56 funds triggers the application of the prohibition laid
22 11:00:04 down in that provision, and the same opinion confirmed that such a risk has to be
23 11:00:08 established on the basis of available public
24 11:00:15 information. And on this, if it is difficult for you to get
25 11:00:19 evidence because of the actions of a foreign state
like here with Russia, account is taken of this.

01 11:00:26 It's

02 11:00:27 also confirmed that once the risk has been

03 11:00:28 established, it is Gazprom's burden to prove that the

04 11:00:33 requisite legal standard of risk did not exist. So, I

05 11:00:38 repeat, Gazprom must prove that there is no

06 11:00:43 risk. See the bottom quote and this is an essential

07 11:00:51 point. So even on a normal standard of proof, not one

08 11:00:55 of zero tolerance, not one of reasonable risk, the

09 11:00:59 evidence of a risk of violation is overwhelming. And

10 11:01:02 remember, if you would like to understand more about

11 11:01:06 who got the euros, this is being kept from you on purpose by the Russian

12 11:01:13 State and Gazprom have clearly

13 11:01:17 failed to rebut any any burden of proof.

14 11:01:21 It's not

15 11:01:22 called any evidence from the CBR, the NCC or any other relevant

16 11:01:28 organisation to disprove with to

17 11:01:32 disprove the clear evidence and submissions on

18 11:01:35 behalf

19 11:01:35 of PPD. It's called upon no evidence from Gazprombank, which it

20 11:01:42 owns. And please remember all

21 11:01:45 of this when you hear Gazprom's only technical position.

22 11:01:50 And remember when you hear that that you heard that

23 11:01:55 foreign laws must

24 11:01:56 obviously be ignored when

25 11:01:59 considering EU sanctions. And also there is an even

01 11:02:07 lower standard of proof and
02 11:02:09 risk of circumvention, which is a separate ground of
03 11:02:12 illegality. And that is because circumvention is so
04 11:02:15 much wider than the scope of a violation itself. It
05 11:02:20 applies where you have not met the elements needed for
06 11:02:23 a
07 11:02:24 direct violation. You have. You have not
08 11:02:27 infringed the violation itself, but you have. By avoiding these elements,
09 11:02:34 circumvented the provision. Now, in the
10 11:02:36 middle of the screen, you can see the words. It
11 11:02:41 follows that circumvention must be taken to cover not only the
12 11:02:49 activities that actually frustrate the
13 11:02:52 objectives of the restrictive measures, but also those intended
14 11:02:58 to make them fail independently of the actual of
15 11:03:04 their actual results. So the test for
16 11:03:08 circumvention is whether the activity had the object
17 11:03:14 or the effect of circumventing sanctions, whether or not an independent of the actual
18 11:03:23 result and the payment mechanisms object was a powerful
19 11:03:27 deception. It was attacking the EU sanctions and
20 11:03:33 their objectives. And think about it this way there
21 11:03:38 was no legitimate object or effect of the decrees because the mechanism was
22 11:03:46 simply not needed to pay for gas. There was no
23 11:03:52 legitimate reason that makes any sense. And in
24 11:03:56 truth,
25 11:03:58 the payment mechanism moved safe

01 11:04:02 payments into deliberate yet concealed contact with
02 11:04:07 sanctions. So whether or not. There is a direct violation, it
03 11:04:15 does not matter. The payment mechanism was a clear
04 11:04:21 circumvention and the result is exactly the same. And
05 11:04:29 PPD therefore had was right and had the right to cease
06 11:04:34 payments in November 2022. Regardless of the position
07 11:04:40 under the contract. Now on Gazprom's
08 11:04:47 counterclaim, there are two articles. First
09 11:04:49 article 10, which
10 11:04:51 provides for no liability where funds are
11 11:04:55 withheld
12 11:04:56 without negligence. The standard is, I quote, quite low. This is again from the
13 11:05:07 decision
14 11:05:07 from this week and it's very im
15 11:05:11 important.
16 11:05:11 Also, you need a risk based approach. And PPD did
17 11:05:19 this PPD refusal to make funds available was not negligent in light of all the
18 11:05:27 conflicting
19 11:05:32 information which it received throughout 2022, not
20 11:05:32 least the view expressed
21 11:05:34 subsequently by the Croatian Ministry of
22 11:05:37 Foreign Affairs and also PPD and Mr Vujnovac. Doubts
23 11:05:43 grew over time as PPD faced genuine regulatory
24 11:05:50 uncertainty. And he explained this to you all in
25 11:05:54 person. And finally, article 11 protects EU operators from
26 11:06:03 having to satisfy any type of damages
27 11:06:08 claim in connection with any contract or

01 11:06:11 transaction, the performance of which has been affected directly or indirectly by
regulation. 833

02 11:06:25 and this was the other

03 11:06:27 new case that came in, and that is rebel, which sets

04 11:06:31 out the broad application of article 11. And that

05 11:06:36 case also made absolutely clear that article 11 is

06 11:06:41 part of EU public policy. So the consequence of the

07 11:06:47 application of article 11 is that no favourable

08 11:06:51 response must be given to Gazprom's

09 11:06:54 counterclaim, and it's an

10 11:06:58 automatic autonomous.

11 11:07:01 Right. And it's irrelevant that the claim was later able to

12 11:07:06 be satisfied or not without

13 11:07:08 breaching sanctions. The burden of proof under article 11 is on Gazprom to show the
requisite legal standard that the contract was not

14 11:07:22 affected by sanctions, and Gazprom has failed

15 11:07:25 to meet this standard. So when you apply article 11 to the facts of this

16 11:07:33 dispute, the conclusion is the payment mechanism

17 11:07:40 impacted the contract, which meant that it was

18 11:07:43 affected by EU sanctions. Continued payment via the

19 11:07:49 payment mechanism would be a breach of sanctions

20 11:07:52 provisions, and also that the payment mechanism was

21 11:07:56 imposed as a direct reaction to EU sanctions. That

22 11:08:04 concludes our submission on sanctions. And

23 11:08:10 we move next to a further separate claim, which

24 11:08:14 calls out for your determination. And these are PPD market manipulation claims,
and

25 11:08:22 we move to them next.

01 11:08:24 And a component of these claims is the question of
02 11:08:27 Gazprom's dominance. Now, as you will have seen
03 11:08:32 and
04 11:08:33 heard from the experts, your for your dominance
05 11:08:37 assessment, you need a market and you need a market share. A market share is a
06 11:08:44 percentage. You do a sum. Gazprom's gas volumes is
07 11:08:50 the numerator at the top and the total market size or
08 11:08:57 the volume in total is the denominator at the bottom.
09 11:09:02 And I'm going to talk more
10 11:09:04 about this some. I do realise that we need a
11 11:09:07 relevant market, but to help things that does not
12 11:09:12 matter. If only you get this sum right. So
13 11:09:19 looking 1st at the total market size. If
14 11:09:25 you make that bigger on purpose, then Gazprom's share will
15 11:09:31 be false. It will be smaller. And gas is traded in Croatia. As you heard,
16 11:09:40 a
17 11:09:40 molecule of gas can be traded many times before it's
18 11:09:43 used. And so adding these traded volumes on top
19 11:09:49 of the gas that is later used increases
20 11:09:54 the total market size and
21 11:09:57 trading
22 11:09:57 forms. A separate market to wholesale supply. And
23 11:10:01 this is in line with EU decisional practice and is also
24 11:10:07 logical. And
25 11:10:10 Prof Hildebrand wrongly includes trading, but only if

01 11:10:14 there is not
02 11:10:16 very much trading. There is some arbitrary undefined
03 11:10:23 point at which trading
04 11:10:25 is not included. And as you can see from the
05 11:10:28 graph on the slide, this is totally
06 11:10:31 wrong. It cannot be right
07 11:10:35 because if so, as
08 11:10:38 trading increased in Croatia, Gazprom's market
09 11:10:42 share would be diluted down to near
10 11:10:47 zero and then trading suddenly becomes a different
11 11:10:51 market and its market share springs back up again.
12 11:10:55 And looking at it another way, this graphic shows that
13 11:11:02 somehow Gazprom's market share could be interrupted by
14 11:11:06 trading. If there is no trading, it's 100 per cent. And if
15 11:11:15 there is trading three trades, it would go down to
16 11:11:20 33 per cent. Now, Prof Hildebrand was unable to point
17 11:11:24 to any
18 11:11:26 authority for that, and it was not in any of her
19 11:11:30 reports. And Prof Hildebrand had agreed with
20 11:11:34 Dr Riechmann that gas trading is separate to the
21 11:11:39 wholesale gas
22 11:11:41 supply market, and it was even in the joint experts'
23 11:11:45 statement which you directed to be exchanged only one week
24 11:11:51 before the hearing. So this approach has all
25 11:11:54 the

01 11:11:54 signs of a party taking measures to bend reality. And its impact is, of
02 11:12:01 course, that it wrongly lowers Gazprom's market
03 11:12:04 share. And worse. When looking at Gazprom supplies
04 11:12:16 traded volumes that were included in the market size
05 11:12:22 and not
06 11:12:23 included in Gazprom's market share. Indirect supplies
07 11:12:27 of gas traded volumes are considered not part of
08 11:12:30 Gazprom's market share, and that's completely contrary
09 11:12:34 to the Gazprom decision and the gas decisions, where
10 11:12:39 indirect sales through intermediaries are to be
11 11:12:41 counted. And you just cannot do all of this. If
12 11:12:44 you did, you could never be found dominant.
13 11:12:47 Or you would need to do is just add an intermediary.
14 11:12:50 And the impact, of course, is that this wrongly lowers
15 11:12:55 Gazprom's market share even more. And it's also
16 11:13:00 strikingly inconsistent. And yet further worse for
17 11:13:09 Gazprom's market share. Prof Hildebrand also include
18 11:13:14 also avoids including Gazprom's direct supply.
19 11:13:19 Under
20 11:13:20 the contract. And this is despite accepting that imports
21 11:13:25 include both physical and commercial i
22 11:13:31 imports,
23 11:13:31 with the commercial term under the
24 11:13:34 contract being delivery in Croatia. And as things developed, you
25 11:13:38 heard of the new concept of swap

01 11:13:42 agreements that actually double swap the contracts

02 11:13:45 volumes. Prof Hildebrand makes an exception to her normal

03 11:13:52 principles for the swap agreements, and says

04 11:13:54 that you do not include commercial flows for them, and that's after

05 11:14:00 accepting that commercial

06 11:14:01 delivery of the gas was in Croatia. Now somehow it's

07 11:14:07 allocated back to Hungary due to the swap agreements,

08 11:14:10 and that clearly cannot be right. Dr Riechmann is

09 11:14:15 correct to fully take account of the

10 11:14:17 effect of the swap agreements and to allocate Gazprom

11 11:14:21 share to Croatia. That's because

12 11:14:23 commercially PPD

13 11:14:26 helped deliver the gas on Gazprom's behalf to Croatia,

14 11:14:29 and there is no reason to then take any other step. You should

15 11:14:34 not swap that gas back again.

16 11:14:37 And so the correct methodology is on the left

17 11:14:40 of this graphic, and the wrong one is on the

18 11:14:45 right.

19 11:14:45 It's a it's a manipulation of the data. If you reduce

20 11:14:49 the top and

21 11:14:50 increase the bottom, the market is smaller and

22 11:14:53 that lacks any credibility or support from authority. On

23 11:15:00 next, on product market, Dr Riechmann is right to say

24 11:15:03 that you should find LNG is left open, but this doesn't

25 11:15:08 matter. As I said before, if you get the sum

01 11:15:11 right above and note that the threshold was 5 per cent
02 11:15:15 or 10 per cent. And if you look at the 5 per cent
03 11:15:18 line, we put a little
04 11:15:21 arrow. There's lots of prices above
05 11:15:23 that. So that fails this SSNIP test. Sophisticated
06 11:15:28 players will not pay more to buy LNG unless it's
07 11:15:32 reliably cheaper over a long time. And
08 11:15:34 Mr Averkin also said that LNG was a bit different
09 11:15:38 product. He said. Next geographic market. This also
10 11:15:43 doesn't matter if you get your sum right. Earlier,
11 11:15:48 Prof Hildebrand spoke to
12 11:15:50 you about cultural differences and
13 11:15:53 branded
14 11:15:53 products like diet Pepsi, but
15 11:15:55 neither of these apply to gas. It's. It's
16 11:15:58 invisible. Gas doesn't vary across cultures. You
17 11:16:01 can't tell
18 11:16:03 Croatian gas from anyone else's gas. And
19 11:16:05 given that Gazprom was an unavoidable trading partner,
20 11:16:08 it's all Russian gas anyway. So what gas buyers want
21 11:16:13 they need is this gas to be readily available at the
22 11:16:17 best price. And on price. The price differences that
23 11:16:23 Prof Hildebrand alleges are absolutely astonishing to
24 11:16:28 anybody in the gas industry. It can't be found in any
25 11:16:31 evidence on the record, and if it was true, then everybody would be

01 11:16:35 buying gas in

02 11:16:36 Croatia, nobody would be buying gas in Hungary, and that was clearly not the case.
And so Dr Riechmann, when he

03 11:16:47 applied the market definition, noticed steps,

04 11:16:51 said that Gazprom said that the market was Croatia and

05 11:16:54 Hungary. And if he had gone further to add Slovenia,

06 11:16:58 which was totally possible, but conservatively was not

07 11:17:02 done, then Gazprom would be even more dominant.

08 11:17:07 Next,

09 11:17:07 from this position of dominance, Gazprom manipulated the

10 11:17:11 market in 2021 and 2022. Little was done to

11 11:17:17 challenge the world gas model. You don't have any

12 11:17:20 other model. They do exist. Gazprom likely has one

13 11:17:26 now. The WGM

14 11:17:28 is widely used. Gazprom's limited challenge to it as

15 11:17:32 a model misunderstood its purpose. It was not being

16 11:17:37 used as a predictive model, and the results were that prices

17 11:17:41 were 43 per cent higher than

18 11:17:42 they would have been. That's a decisive result. And

19 11:17:47 you also heard from Dr Riechmann that TTF price can be

20 11:17:50 manipulated, and

21 11:17:52 that Gazprom had both the ability and

22 11:17:55 the incentive to do so. And you heard that the

23 11:17:58 perfect storm ended around the beginning of quarter

24 11:18:03 421. Numerous

25 11:18:04 independent sources help you

01 11:18:06 with that end date, but it doesn't matter when the end
02 11:18:09 date is. Remember that everything can happen at the
03 11:18:12 same time. That's the whole point. If the market is
04 11:18:18 tight and in that state, Gazprom cut supplies even
05 11:18:22 more, then that will lead to the price increase. And
06 11:18:26 when TTF went up, Dr Riechmann showed us that prices
07 11:18:30 in Croatia and Hungary went up the price in the
08 11:18:34 relevant market is linked both by the fact that when
09 11:18:38 TTF prices rose, other
10 11:18:40 prices rose.
11 11:18:42 And because TTF is in the contract and that hit
12 11:18:47 PPD in
13 11:18:48 the relevant market and the huge price increase
14 11:18:53 dwarfed the price reduction that Gazprom gave in the
15 11:18:57 price review. And that was a breach of article 102. Gazprom barely challenged
16 11:19:07 that it
17 11:19:07 that it imposed unfair selling
18 11:19:10 prices or imposed unfair trading terms. The
19 11:19:17 price is it's its production price was less than
20 11:19:22 15 euros and prices reached 150 euros without any
21 11:19:26 evidence that its costs rose. An unfair trading terms were
22 11:19:34 imposed as Gazprom's withholding and reduction of gas to
23 11:19:38 the EU met the test. In apple streaming all
24 11:19:42 are met. In particular, Gazprom's 1st April letter
25 11:19:47 was unfavourable and detrimental. Obviously, it

01 11:19:50 didn't have any objective economic justification. Next REMIT dominance is not
02 11:19:57 required for REMIT. Gazprom withheld available gas, sending
03 11:20:04 signals of a false and misleading scarcity as to supply and demand, and
04 11:20:11 met the other tests for a breach of REMIT. And
05 11:20:15 so, moving on to the governing law and the
06 11:20:19 consequences of the standard of proof for causation,
07 11:20:24 the parties selected the governing law for tort claims
08 11:20:28 in article 14. They expressly selected Austrian law
09 11:20:33 as a substantive law, and that choice is applied
10 11:20:38 directly rather than through Austrian
11 11:20:41 conflict
12 11:20:41 rules. Rome II does not apply to arbitration, and
13 11:20:45 it's not public policy. In opening, we showed you
14 11:20:49 what bourne said,
15 11:20:50 confirming that and Prof Kalla explained
16 11:20:54 to you that the principle of effectiveness under EU
17 11:20:59 law means that Rome II, which Gazprom is trying to use
18 11:21:04 to obtain a higher standard of proof on PPD in order
19 11:21:11 to evade liability, can't be used in that way, because
20 11:21:15 doing that would use Rome II to hinder enforcement.
21 11:21:19 And it was designed to prevent the invasion of
22 11:21:22 enforcement. And Prof Klicka provided no
23 11:21:27 opinion rebutting PPD's position on Austrian governing
24 11:21:31 law itself. And so there is only a prima facie duty
25 11:21:37 to establish causation on PPD, and then the burden to

01 11:21:41 show that it was not the cause is passed to Gazprom, and
02 11:21:45 that is relevant when you evaluate the link between
03 11:21:50 the manipulated TTF price and PPD's losses. So
04 11:21:57 if in doubt, as long as this is just shown on a
05 11:22:03 prima facie basis by PPD, the claim succeed as
06 11:22:07 Gazprom
07 11:22:08 has not rebutted causation. Moving on to quantum. PPD
08 11:22:22 has
09 11:22:22 shown that Gazprom was in breach of the contract and
10 11:22:25 as to PPD's remedies, the burden of proof under article 74 is
11 11:22:30 reasonable certainty. Mr Gilbey
12 11:22:33 and his team have visited PPD's offices on several
13 11:22:38 occasions. They've spent weeks with PPD, and
14 11:22:41 during that time they got to understand PPD's data systems. They were able
15 11:22:47 to talk with PPD's employees and
16 11:22:51 make all the enquiries that they wished about matters
17 11:22:55 relevant to their task. And you heard
18 11:22:58 Mr Gilbey explain during his evidence that
19 11:23:00 he has checked every line item in the dataset
20 11:23:06 to an
21 11:23:06 underlying document. And in addition, when he could
22 11:23:11 do, he drew a straight line from the dataset through to
23 11:23:18 PPD's independently audited financial statements. Mr Gilbey refers to this
24 11:23:23 as the gold standard, and by contrast, Mr Dev has not seen a single document
25 11:23:32 in this arbitration. Next, under the contract,

01 11:23:39 PPD had flexibility to nominate on a
02 11:23:44 daily basis between what is known as the min DCQ
03 11:23:50 and the DCQ. Mr dev confirmed that yesterday,
04 11:23:56 so PPD paid a premium for that flexibility. Mr Way explained during cross that if
PPD had
05 11:24:07 negotiated a flat contract with Gazprom, the same
06 11:24:10 amount of gas every day, the contract price would have
07 11:24:15 been cheaper. And that's
08 11:24:17 because PPD would have had to pay to store the
09 11:24:21 gas which it had taken, but not used under the contract.
10 11:24:30 So flexibility had to have a
11 11:24:34 value to PPD. Mr Nefediev explained to you that this
12 11:24:41 flexibility was actually gold PPD, and it was gold because it gave PPD
13 11:24:50 maximum flexibility as a gas trader, because if
14 11:24:55 the gas on the exchanges was lower than the contract
15 11:24:58 price, it could reduce nominations under the contract and
16 11:25:03 buy more on the exchanges. And if the
17 11:25:06 contract
18 11:25:06 price was lower, it could max, it could do the
19 11:25:10 opposite. So it's not PPD replacing the contract, it's the
20 11:25:19 buyer using the flexibility under the contract to
21 11:25:24 maximise profit from trading operations. And that is
22 11:25:27 entirely rational commercial behaviour and to account
23 11:25:32 for that benefit given to PPD in
24 11:25:34 the contract, you base PPD's losses on what's called
25 11:25:39 the a, c, q and next, another aspect of commodities

01 11:25:49 trading that was highlighted during the hearing was
02 11:25:51 the
03 11:25:52 fact that PPD has
04 11:25:55 a portfolio of gas customers and a trading
05 11:26:00 portfolio. The gas it purchased was used to supply
06 11:26:05 both its customers and to trade for profit. So
07 11:26:09 looking at PPD's gas portfolio as a whole, you
08 11:26:16 would find parallel trades in addition to replacement
09 11:26:21 gas. So in order to account for the fact that PPD has
10 11:26:28 such trading operations, Mr Way excludes transactions
11 11:26:34 on which PPD made a profit from the cost dataset, and that's
12 11:26:41 consistent with rational behaviour. The idea
13 11:26:46 that a commodities trader would only trade for profit,
14 11:26:52 Mr Way says. That's industry standard. And in
15 11:26:55 closing, we will set out some other cases where
16 11:27:00 tribunals have endorsed this approach. Most recently,
17 11:27:04 the tribunal in the case between Galen in next door
18 11:27:09 Slovenia and Gazprom. And so next related party
19 11:27:14 transactions and PPD's position, as you heard
20 11:27:17 yesterday, is that these should be excluded, and
21 11:27:22 that's because they may not have been performed
22 11:27:26 at
23 11:27:26 arm's length. So there would be a distortion of the
24 11:27:31 claim quantum. And I, I stress that
25 11:27:36 as counsel in gas cases, normally you try

01 11:27:40 very hard to prove that you have fully excluded costs
02 11:27:46 that are not incurred by the claimant life destroying
03 11:27:51 amounts of time are spent
04 11:27:56 trying to make that so. And Fidem suggests that the
05 11:28:01 gas purchase costs of the entire PPD Group,
06 11:28:05 which is seven entities based on its
07 11:28:09 definition, should be consolidated, and that will
08 11:28:12 give you the true costs of PPD. Now let's assume that PPD purchased three of
09 11:28:21 Mr AvaDavies tomatoes. From a related party.
10 11:28:27 Mr Nevada says it's necessary to check if those costs
11 11:28:30 were added when gas is sold to PPD by a related party.
12 11:28:35 But when he was asked how he proposed to identify the
13 11:28:41 relevant contract between PPD's related party and
14 11:28:44 the seller on the left or sellers, he said
15 11:28:48 it was not possible to do so and he was pressed on. This counsel asked.
16 11:28:52 The tribunal asked and that was wise because
17 11:28:56 we need to know where was all this noise going?
18 11:29:00 And Mr Nevado gave no solution. So instead
19 11:29:05 of
20 11:29:06 simply eliminating the three tomatoes, which
21 11:29:10 PPD says,
22 11:29:11 he suggests that you should take into account all
23 11:29:16 tomatoes purchased by all the related parties from
24 11:29:18 everyone, even though most of them were never sold to
25 11:29:23 PPD. And the only thing that

01 11:29:25 would achieve is causing substantial amounts of
02 11:29:28 irrelevant data. Next, the GTA there's a dispute
03 11:29:33 whether they can be recovered under the contract, and Prof caller assisted with this.
04 11:29:41 And. But there is a. The way
05 11:29:44 Prof Cole explained it on day 6 was that the damages
06 11:29:47 arise not because of breach of the gas
07 11:29:47 transportation
08 11:29:48 agreement, but because of breach of the contract. And
09 11:29:51 he explained this using an example of a timber
10 11:29:55 seller and a furniture producer.
11 11:29:59 So
12 11:29:59 that's the top illustration. Looking at the top
13 11:30:02 one.
14 11:30:03 First, the blue arrows show what was supplied.
15 11:30:06 Contractually, the red cross is the breach and the red
16 11:30:10 lines are the claims. Red dotted lines are the losses. So if the timber seller failed to
17 11:30:18 supply
18 11:30:18 timber to the furniture
19 11:30:20 producer under the timber sales agreement, the
20 11:30:24 furniture producer can't make the furniture and can't
21 11:30:28 sell it to the retailer. So it's clear that you have
22 11:30:32 no right to make a claim against the retailer. Under the
23 11:30:37 furniture sales agreement, of
24 11:30:39 course. Instead, the loss of sales under the
25 11:30:42 furniture sales agreement, that's the red dotted
26 11:30:45 line at the top there recovered under the
27 11:30:48 timber sales agreement. Now, if the timber seller and

01 11:30:52 the retailer are one and the same, the principle is still the same. And that's the
bottom

02 11:30:57 picture. The failure to supply timber

03 11:31:00 results in the loss of the furniture seller, and such

04 11:31:04 loss can be recovered under the timber sales

05 11:31:09 agreement. Next. These losses were also foreseeable

06 11:31:14 because the contract was amended after the date of

07 11:31:20 knowledge that there was no

08 11:31:25 physical transportation.

09 11:31:26 So those are my submissions on the claim and I will

10 11:31:29 come to the quantum of the counterclaim. So according to

11 11:31:35 Gazprom, it's a lost volume seller because it has

12 11:31:39 supply capacities that on a commercial sale, can be treated as unlimited.

13 11:31:44 During her testimony yesterday, miss

14 11:31:48 Mitnik confirmed that the

15 11:31:49 ability to supply gas is subject to the availability of pipeline capacity, and

16 11:31:55 she also confirmed that as at today, K2 is the

17 11:32:00 bottleneck for gas sales to

18 11:32:02 Hungary. And since, as we've seen from the graph on the screen,

19 11:32:08 Gazprom cannot further

20 11:32:09 increase its sales to Europe through K2. And that's

21 11:32:14 even if it did have willing buyers. So there is it is

22 11:32:18 clear that Gazprom is not a lost volume seller. I

23 11:32:21 have about two minutes, if I may continue. I think

24 11:32:25 I'm on my time. Please to assess damages. Therefore,

25 11:32:31 in the absence of being a lost volume seller, you need

01 11:32:34 to mitigate. So you need to know you
02 11:32:37 need to know if there have
03 11:32:39 been any replacement sales. Ms Maydanik confirmed
04 11:32:43 yesterday that she has not reviewed any of Gazprom's
05 11:32:48 contracts, which used K2. Ms Maydanik had no basis, therefore, to claim that the
06 11:33:01 available capacity at K2
07 11:33:04 was being used to mitigate
08 11:33:08 other losses. And it's also as well as sales
09 11:33:08 volumes
10 11:33:08 necessary to look at costs when assessing Gazprom's
11 11:33:12 damages. And here Ms Maydanik confirmed that she has not reviewed
12 11:33:18 and did not even request any cost data from Gazprom
13 11:33:23 itself.
14 11:33:27 And then Gazprom's experts
15 11:33:31 approach is entirely
16 11:33:33 contradictory. Over days
17 11:33:34 eight and nine of the hearing, you heard Mr never pick apart the process undertaken
18 11:33:44 by Mr Gilbey. He said that certain essential steps
19 11:33:49 were
20 11:33:49 omitted. But when you heard Mr Nefediev and
21 11:33:53 Ms Maydanik in cross-examination, they confirmed to you
22 11:33:58 that they they did not apply any of those steps
23 11:34:02 to
24 11:34:02 data handled by them. They didn't know what the ETRM
25 11:34:06 system was at Gazprom.
26 11:34:08 They didn't review its individual financial

01 11:34:11 statements. And we've just placed the two most striking
02 11:34:19 contrasts on screen. But in conclusion, it's
03 11:34:22 clear that PPD has taken a much more robust approach than Gazprom to
04 11:34:28 quantifying its damages and and and Gazprom's experts. Referred to
05 11:34:36 garbage in, garbage out. We strongly reject that.
06 11:34:41 But the standard which Gazprom has tried to hold PPD to
07 11:34:46 cannot be taken seriously in light of Gazprom's complete failure to apply any of
08 11:34:53 these when quantifying its
09 11:34:56 counterclaim so plainly, what PPD
10 11:34:59 has done is infinitely better
11 11:35:02 than taking the approach of nothing in, nothing
12 11:35:07 out. PPD respectfully
13 11:35:14 maintains its application for the split
14 11:35:16 award, which. To maintain the timetable, we
15 11:35:20 could discuss during questions. Or could be resolved in
16 11:35:27 approximately a minute further.
17 11:35:32 PRESIDENT: I would suggest we stop here and discuss a
18 11:35:39 split award application, which is a matter of
19 11:35:43 procedure later on today, in the tribunal's question
20 11:35:48 time reserved. When we hold a case management
21 11:35:50 conference. Thank you very much. We will now take a 20 minute break. You have
22 11:35:58 used
23 11:36:01 claimant an hour and 33 minutes in
24 11:36:05 my counting, so the same duration will be granted to
25 11:36:10 the will be allowed for the respondent and we will
resume at. 55, 55, 1155. Okay. No. 1155.

01 12:01:32 PRESIDENT: Have you seen this already?

02 12:01:34 MR HOLLAND: If counsel is ready, we will hear. Now the

03 12:01:36 respondent's closing submissions.

04 12:01:38 MS SOLDATENKOVA: Thank you. Thank you. The members of

05 12:01:41 the tribunal. We have had two weeks of lengthy

06 12:01:44 discussions overloaded with various evidence.

07 12:01:49 However, this should not derail the tribunal from the

08 12:01:53 very simple core of the case, which I keep reiterating. Gas for two months has been

09 12:02:00 taken,

10 12:02:02 consumed and never paid for by PPD, full stop. And it

11 12:02:07 is GPE actually that ultimately never received the

12 12:02:12 debt recovery until today. It is GPE who suffered not

13 12:02:17 PPD PPD managed to secure alternative supplies, take

14 12:02:22 two months of gas, sit on it until today for more than

15 12:02:28 three years. So this is the situation we are in and

16 12:02:31 we should be mindful of that. As we have now seen on the four April 2022,

17 12:02:42 PPD without a single question, a

18 12:02:45 single request, a single proposal or

19 12:02:50 demand for

20 12:02:51 clarification and within one business day agrees to introduce changes to

21 12:02:57 the contract to keep reselling the Russian gas. That

22 12:03:01 is also the fact. What was the

23 12:03:05 rush in answering? There is no explanation provided.

24 12:03:10 We only heard about some threats of some cutting off

25 12:03:14 the gas. This mantra of gas being cutting off has

01 12:03:19 been repeated
02 12:03:20 numerous times, but it is totally misleading. There
03 12:03:25 was no imminent threat and there were two months to
04 12:03:29 reply. As said both in the letter and according to
05 12:03:33 the timeline of the payments that the
06 12:03:36 parties have agreed upon. Gas would not be cut off
07 12:03:42 unless the buyer fails to pay. Notice that the very
08 12:03:48 same right to cease supplies
09 12:03:50 is available to the respondent in case of nonpayment
10 12:03:53 under the contract itself. So nothing dramatically
11 12:03:57 different. However, the gas was not cut off if the
12 12:04:03 buyer duly paid what happened several times during the
13 12:04:06 relevant period. As we have seen. What is also
14 12:04:11 important? Just one day before the
15 12:04:13 1st of April, on the 31 March 2026, Ms Ivancic,
16 12:04:20 Ms Measic and Mr Barash have both said the parties have agreed
17 12:04:26 to
18 12:04:26 defer April supplies a day before the event. A lot of
19 12:04:31 informal communication. Both parties characterise
20 12:04:34 these communications as professional and friendly.
21 12:04:37 And then unexpectedly, overnight, everything changes
22 12:04:42 and both Mr Pavao Vujnovac, who has perfect personal
23 12:04:46 relations with the top management of Gazprom
24 12:04:49 Export
25 12:04:49 and Ms Ivancic, who has a very good working

01 12:04:52 relationship with Mr Barash. Become paralyzed
02 12:04:57 with
03 12:04:59 horror and do not even dare to raise a question. Do
04 12:05:03 not even dare to ask what happened? What is the
05 12:05:06 content of the decree and how it is to operate? That is how the story by PPD sounds.
Do you recall
06 12:05:16 that Mr Vujnovac said in response to the
07 12:05:18 reasonable question, why did you never reach anyone at
08 12:05:22 Gazprom Export if you had any concerns?
09 12:05:25 Would you expect me to call anyone who threatens to
10 12:05:28 kill you? That was the answer. Well, members of the
11 12:05:32 tribunal, you have now seen the facts. Such
12 12:05:36 letters
13 12:05:36 were. Such letters, like the letter of the 1st of
14 12:05:38 April, were sent and received by dozens of European
15 12:05:42 counterparties, about a dozen of long-term contracts, and also a big number of short-term
16 12:05:49 contracts, so-called fit contracts. And this was a relatively routine issue indeed, and indeed
17 12:05:54 it was a notification. It
18 12:05:56 is not debated. Some counters, some
19 12:06:00 counterparties accepted it, others refused. Others
20 12:06:04 did not sign but paid under the mechanism.
21 12:06:07 Some
22 12:06:07 requests, contractual amendments. Amendments to adapt
23 12:06:12 to the modified rules. Extend the maturity date, give
24 12:06:16 a discount whatever else, it is only the PPD that
25 12:06:23 signs and then afterwards, when it becomes convenient,

01 12:06:26 it tries to recall the signature. The PPD. The
02 12:06:32 PPD's
03 12:06:32 case is inconceivable. A company having the best
04 12:06:36 possible means to communicate concerns and to be heard, as
05 12:06:39 compared to most of the other European
06 12:06:42 buyers having agreed to the deferral of the supplies just a day before is
07 12:06:48 so paralysed with fear of some future potential cut off of gas in no
08 12:06:54 less
09 12:06:54 than two months, that it does not even approach the
10 12:06:58 respondent for any clarifications informal
11 12:07:02 communications continue all clarifications received by
12 12:07:06 Ms Ivancic and they even sent GPE the contact details of
13 12:07:11 people that will be responsible for opening "K"
14 12:07:13 type accounts. And there is never anything to signal
15 12:07:18 the concern of PPD to Gazprom Export, and I emphasise
16 12:07:25 absolutely nothing that is contemporaneous. The offer
17 12:07:30 is accepted, countersigned
18 12:07:32 without any reservations.
19 12:07:34 Now, if we go back to 2022,
20 12:07:38 we understand the context
21 12:07:41 following the events in n February 2022, we all
22 12:07:44 understand there was indeed a period of
23 12:07:48 turbulence, and all market participants did not have clarity as to what happens
24 12:07:52 next. That applies to both
25 12:07:54 parties in the dispute, and we all understand that.

01 12:07:58 Mr Vujnovac,
02 12:07:59 who would have reasonable concerns as a businessman
03 12:08:02 and worry about the future
04 12:08:04 as generally there was indeed no clarity as
05 12:08:06 to what may happen. Will gas supplies be intermitted
06 12:08:10 because of the military operations? Will there be a
07 12:08:14 prohibition on the site of the European Commission?
08 12:08:18 Indeed, all those issues were not clear to all parties
09 12:08:22 and this is all understood and this is all very
10 12:08:24 reasonable. And Mr Vujnovac also explained in his testimony his
11 12:08:31 reasoning politically, it was
12 12:08:32 preferable for him to depart from the Russian gas supplies. And this is also
13 12:08:37 potentially understandable. It is a perfectly
14 12:08:42 understandable rationale of a businessman, and
15 12:08:44 this is
16 12:08:45 what we have started up. I mean, this is what was
17 12:08:53 reasonable to expect from a person in a way, in a period of turbulence. However, the
actions because of
18 12:09:04 this, concerns by Mr Vujnovac started long before the 1st of April.
19 12:09:08 They started in March. In March, prior to any
20 12:09:13 letters, any payment mechanisms, anything. They already
21 12:09:18 book
22 12:09:18 capacities at the Krk LNG terminal to replace GPE in
23 12:09:23 future. Before I go to the substance, I am compelled
24 12:09:29 to say that I'm very sad to have witnessed such cherry
25 12:09:33 picking and obvious manipulation with the statements

01 12:09:35 made by the witnesses and experts, as well as
02 12:09:38 contradictions to the record that have been just made
03 12:09:43 by my learned colleagues on the side of the claimant's
04 12:09:46 counsel. I've never seen this level of manipulation
05 12:09:49 in my whole professional career, to be honest, and I
06 12:09:52 am therefore compelled to ask the
07 12:09:54 tribunal pay particular attention
08 12:09:55 to the analysis of the statements
09 12:09:57 by PPD made in this very presentation, in sense of
10 12:10:01 their accuracy. I'm also puzzled to hear the
11 12:10:05 repeated
12 12:10:05 reference to the Uniper case, given that Uniper did
13 12:10:09 accept the payment mechanism and made payments under
14 12:10:12 the Decree 172. Contrary to what Mr Hoglander claims.
15 12:10:18 For instance, Prof Klicka is not only fully aware of
16 12:10:20 the letter of the 26th of May, 2026, 2022.
17 12:10:27 Prof Klicka, in paragraph 49 of hclca1, specifically
18 12:10:30 addresses it. And he also specifically explained that
19 12:10:36 it could not be deemed the so-called payment under
20 12:10:40 protest. The opinions of advocate
21 12:10:44 general are now
22 12:10:45 labelled as decisions for whatever reason, and there
23 12:10:49 are so many other examples of such statements
24 12:10:51 that
25 12:10:51 they are self speaking. And I think I already

01 12:10:57 explained my request in that context. So what is the
02 12:11:02 dispute in the nutshell that we are witnessing here?
03 12:11:07 Next slide, please. The party's long-term contractual
04 12:11:12 relationship was affected by the decree and
05 12:11:17 required
06 12:11:17 adjustment. That is true. And we have also now, I think,
07 12:11:22 established several important facts. This decree
08 12:11:27 is a law and the respondent
09 12:11:30 indeed
10 12:11:31 had no chance to change it or negotiated. That's the fact. And indeed the
11 12:11:37 respondent, as a Russian legal entity,
12 12:11:40 also had no chance to avoid it or to circumvent it. The
13 12:11:45 decree, as also confirmed by the experts of the claimant,
14 12:11:51 was
15 12:11:51 clearly contrary to the interests of GPE
16 12:11:55 itself. There was no commercial rationale GPE could be achieving through this
17 12:12:04 decree. It was
18 12:12:04 contrary to
19 12:12:04 the interest of GPE. Then PPD creates an impression
20 12:12:11 that it supported the adjustment for the sake of the
21 12:12:15 contract.
22 12:12:17 While earlier it already started secretly looking to replace GPE for political
23 12:12:23 expediency. This is even admitted, though in
24 12:12:27 reality all this
25 12:12:28 started
in March, as I said, and

01 12:12:30 Ms Ivancic confirms that we only start the analysis.

02 12:12:36 According to PPD from April events, that is

03 12:12:40 not entirely how the

04 12:12:41 case should be looked at once. PPD manages to do all

05 12:12:47 the replacement that they wanted. It walks away from

06 12:12:50 the contract, having taken two months of fees for gas.

07 12:12:55 And now, even more importantly, what we have found out during this two

08 12:12:59 weeks PPD was trying also to shift the

09 12:13:03 non. Taken April supplies to October. Why? So to

10 12:13:08 have the 3rd month supplied and never paid for. Very

11 12:13:13 impressive. And ultimately after that PPD never

12 12:13:19 gets back to any table of discussions, even when GPE

13 12:13:24 proposes the payment to be made to a euro account,

14 12:13:27 which my learned colleagues claimed to be so safe and

15 12:13:31 transparent that again never happened. As said, one can understand the

16 12:13:37 political environment, one can

17 12:13:39 understand the business rationale of the departure

18 12:13:42 from the Russian gas. However, that could not

19 12:13:46 be done the way it was done. It could be done in

20 12:13:49 accordance with the normal business practice and in

21 12:13:51 accordance with the contractual terms and the

22 12:13:54 applicable law. You can't terminate a contract. But PPD does not want to settle

23 12:14:01 and does not want to agree

24 12:14:02 on termination. The plan is to make most out of GPE and

25 12:14:07 then abandon the

01 12:14:08 relationship with the partner. This is not how things
02 12:14:11 are to be done, and I believe that in that sense. My
03 12:14:16 complaint that GPE suffered is
04 12:14:20 absolutely valid. Why would not PPD want this method
05 12:14:28 of termination to be utilised? Because it
06 12:14:31 will necessarily imply contractual penalties, and it will imply the need to return to to
07 12:14:38 return the payment due for the two months
08 12:14:41 of gas. Supplied. But these two months of gas supplied
09 12:14:45 payment is needed to buy LNG and they simply don't have
10 12:14:51 funds that are available for that. Everything
11 12:14:55 that followed the letters of December and February 2023 avoidance set
12 12:15:01 off claim for contractual damages.
13 12:15:04 Supplemental
14 12:15:05 claim the Anti-suit injunction, the application to the
15 12:15:08 Court of Justice of the European Union. All that has
16 12:15:11 just one purpose to invent a reason or better set an excuse to keep the monies owed to
GPE in the
17 12:15:20 pockets of PPD. To do this, PPD had and
18 12:15:33 did bring a case. And during the case, PPD effectively changed
19 12:15:41 its stance several times and PPD is
20 12:15:46 really caught in. Fraught with inconsistencies and
21 12:15:50 self-contradictions. There are several examples on
22 12:15:53 the slide to begin with. On
23 12:15:56 the 1st of April you have the letter signed, you have k
24 12:15:59 accounts open, but you have no concerns raised and
25 12:16:02 you

01 12:16:03 see payments being made. What could be the reasonable
02 12:16:05 expectation of GPE if there were no questions? If
03 12:16:09 they continue to nominate and if they are still in pretty
04 12:16:15 friendly relationship. Prior to
05 12:16:18 the letter of the 23rd December 2022, PPD never made
06 12:16:24 and there is no contemporaneous evidence on record.
07 12:16:27 Never made any references to duress, EU sanctions.
08 12:16:32 There was not even any legal opinion that was
09 12:16:36 requested by PPD to assess the applicability of
10 12:16:39 sanctions, as has been confirmed by Ms Ivancic. Then the new stand taken in
11 12:16:50 the course of these proceedings
12 12:16:53 is that the Central Bank of Russia. Clarification of
13 12:16:57 the 29th of April, which
14 12:16:59 clearly confirms shifting any
15 12:17:01 possible contractual risk from PPD and clearly is to
16 12:17:06 their benefit because it says that payment to the euro
17 12:17:09 account is the performance has been in fact, accepted.
18 12:17:13 I will show you that in one of the further
19 12:17:16 slides, because in the letter of
20 12:17:19 the 26th of May, which PPD labels as payment under
21 12:17:22 protest, they clearly say that they consider their
22 12:17:25 obligation fulfilled once the funds are transferred to
23 12:17:28 the euro account. That's exactly what the letter of
24 12:17:31 the 5th of May said. So even if you say that for
25 12:17:35 whatever reason, what is contested the 1st of April

01 12:17:40 letter and the 1st of April modification is not to be binding
02 12:17:45 on PPD. What would you do with this exchange
03 12:17:48 of letters then? The competition law issues and
04 12:17:54 the
05 12:17:55 REMIT issues regarding TTF at all arise solely after the counterclaim is filed
06 12:18:02 for the offset and contemporaneous statements by
07 12:18:06 Mr Vujnovac give all
08 12:18:09 other reasons for price fluctuations and emphasise
09 12:18:13 independence from the Russian gas. That is contemporaneous evidence.
10 12:18:19 Then,
11 12:18:20 with respect to some of the matters already mentioned, the relevant market
12 12:18:27 definition in the
13 12:18:28 request for
14 12:18:30 arbitration, the relevant market for antitrust
15 12:18:33 purposes was determined as Croatia only. While in the
16 12:18:39 statement of the claim, already. Croatia and Hungary.
17 12:18:39 Authorize revision in 2000 and
18 12:18:41 21, LNG is labelled by PPD as the reason
19 12:18:46 for
20 12:18:46 the so-called replacement transactions. LNG purchases
21 12:18:52 are included, but when it comes to the assessment of
22 12:18:55 the products for the antitrust purposes, LNG turns out
23 12:18:59 to be a totally different product. I don't
24 12:19:04 need to mention
25 12:19:07 endless amendments and revisions of witness statements
26 12:19:10 by next to every witness or expert that was

01 12:19:14 brought to these hearings by the claimant. Incorrect

02 12:19:18 statements are identified by the respondent corrections

03 12:19:23 amendments, addenda, errata, however you call it,

04 12:19:28 all

05 12:19:29 that was going on in rows and then strategically, all

06 12:19:34 that is to be filed so that GPE would not have

07 12:19:38 procedural chances to respond. Now, with respect to one more interesting

08 12:19:46 aspect of this dispute that I wanted to draw your

09 12:19:50 attention to, PPD is quite inventive, because they really demand from the tribunal to be a

10 12:19:57 pioneer in a

11 12:19:58 lot of things. So members of the tribunal, you are

12 12:20:04 invited to be the 1st in history of the legal science

13 12:20:10 and practice to do a lot of stuff that has never

14 12:20:14 been

15 12:20:14 seen in practice and heard of in the doctrine resolving a REMIT claim in

16 12:20:19 arbitration, for instance, in circumvention of

17 12:20:23 the

18 12:20:23 national regulatory authorities accusing respondent of breaches of article 11024 and REMIT in essence, in essence, of any decision by the commission or by the

19 12:20:38 national

20 12:20:38 regulatory authority defining the relevant

21 12:20:42 geographical market as

22 12:20:43 exceeding

23 12:20:43 the borders of one country prior to the commission

24 12:20:46 having ever made any conclusive assessment of this

25 12:20:50 kind in validating a commercial contract between a

01 12:20:53 legal entity and the other legal entity for duress
02 12:20:57 under the Austrian law, ahead of the Austrian Supreme
03 12:21:01 Court. And contrary to its rulings, you are invited
04 12:21:06 to extend the scope of the application of article 10
05 12:21:09 of the regulation two, six, nine and article 11
06 12:21:12 of the
07 12:21:13 regulation 83, three beyond their limits and without relying on
08 12:21:18 any Court of Justice rulings, you are
09 12:21:22 invited to invoke the principle of effectiveness under
10 12:21:25 the EU law in order to bypass applicable national law.
11 12:21:33 You are invited to. Determine
12 12:21:37 the payment mechanism
13 12:21:38 to be contrary to the sanctions. Without the decision
14 12:21:41 of the competent EU sanctions authorities. To that
15 12:21:45 extent and despite the contrary policy objectives that the EU was
16 12:21:49 pursuing, so that to keep supplies, you are also
17 12:21:54 invited to declare that article 6 of Rome II
18 12:21:56 regulation is not falling within the scope of
19 12:21:59 the EU
20 12:22:00 public policy. So I believe it's a pretty hard burden
21 12:22:05 to satisfy the demands of PPD in sense of pioneering
22 12:22:12 the. Legal
23 12:22:14 practice. There has been a number of witness
24 12:22:22 statements that really
25 12:22:25 demonstrate that there has been a lot of

01 12:22:29 orchestration in the testimony, and it is also be taken into account. You would recall
02 12:22:35 that
03 12:22:36 there was a an important letter of 31st of October 2022. It is r0108. That is
04 12:22:46 the letter from
05 12:22:47 PPD to g p. Explaining that all previous type "K"
06 12:22:53 special account payments were
07 12:22:55 approved by Croatian Ministry of Foreign and European
08 12:22:58 affairs and due to the recent developments in
09 12:23:01 Croatian
10 12:23:01 politics, there is a lack of political and public
11 12:23:03 support towards further cooperation between GPE and PPD
12 12:23:08 due to political views of the Croatian political
13 12:23:11 establishment. We are not in a position to
14 12:23:12 fulfil our payment obligation now. And then we hear
15 12:23:18 Mr Vojnovic, when confronted with this document
16 12:23:21 requested to explain what is this approval? Because
17 12:23:25 we really believe there was a kind of approval of
18 12:23:29 this
19 12:23:29 kind, he says. When I say it was approved by the ministry, I mean the banks.
20 12:23:36 would
21 12:23:36 you mean the banks saying Croatian Ministry of Foreign
22 12:23:40 and European affairs. And then Ms Ivancic, when
23 12:23:44 confronted with the same question and I emphasise
24 12:23:47
25 12:23:47 Ms Ivancic was not present here when Mr Pavao Vujnovac

01 12:23:50 was giving his testimony. She says the very same
02 12:23:52 thing. We didn't ask for any approval. That was for
03 12:23:57 the banks. They were afraid. That could not be any
04 12:24:03 reasonable
05 12:24:04 conclusion, having read this document, but for an
06 12:24:07 orchestrated testimony. The other
07 12:24:11 example. It
08 12:24:13 has been decided that it is beneficial for Mr Vojnovic
09 12:24:19 and Ms Measic to be saying that PPD is a small, tiny entity
10 12:24:25 suffering from the giant, terrible GPE
11 12:24:30 and
12 12:24:30 however, they keep saying that. But you have seen the scale of the
13 12:24:34 company's operation, you have seen its
14 12:24:36 financial performance, and you now understand how far this is
15 12:24:40 from reality.
16 12:24:43 The narrative, convenient to PPD in this arbitration,
17 12:24:46 is also to portray GPE as unavoidable partner who is
18 12:24:51 dominating, abusing the poor small counterparty as
19 12:24:54 long as it serves the purposes here, however, in his
20 12:25:01 own contemporaneous interview, Mr Vojnovic claims that GPE
21 12:25:05 is responsible for only 20 per cent of the
22 12:25:07 quantities purchased by PPD. All of these
23 12:25:11 statements on the slide cannot be
24 12:25:15 true simultaneously, to put it mildly. You have also
25 12:25:19 heard a lot about the anime language and the

01 12:25:23 influence

02 12:25:24 of politics, and we have also heard of the trauma of

03 12:25:30 2009 gas supply cessation. And I suppose Mr Mazilov,

04 12:25:33 in his testimony, has perfectly explained the reasons

05 12:25:37 behind that historic crisis in

06 12:25:40 2009 and that it had completely nothing

07 12:25:41 to

08 12:25:42 do with GPE. But importantly, there is nothing to do

09 12:25:47 with politics in this very dispute. This is a commercial dispute. However, given that

10 12:25:53 there is no chance for PPD to win this case

11 12:25:55 as a commercial case, all of these public issues

12 12:25:59 start

13 12:25:59 arising. And are being put in the mouth of the

14 12:26:04 witnesses. The same orchestration is with respect

15 12:26:08 to

16 12:26:08 the allegations of the gas cut off. As said, there

17 12:26:12 was no risk of gas cut off in the coming two months and there was ample time to

18 12:26:20 discuss

19 12:26:21 and understand both the content of the payment

20 12:26:23 mechanism and the risks related to it.

21 12:26:27 Ultimately,

22 12:26:29 PPD has six chapters of reasons why not to

23 12:26:34 pay back. They claim that there were numerous changes

24 12:26:37 to the payment mechanism, and all of them

25 12:26:40 clearly onerous for PPD, and none of them as if

01 12:26:43 ever accepted.

02 12:26:44 They also claim that PPD was subject

03 12:26:46 to duress because GPE is a Russian State and nothing

04 12:26:49 more, and the decree

05 12:26:51 was not prepared by the

06 12:26:54 government, but was self-induced used to pressure GPE

07 12:26:57 counterparties and hence no force

08 12:27:01 majeure could apply.

09 12:27:03 Then they claim that PPD feared the EU sanctions.

10 12:27:07 There is also a claim that PPD was under pressure of

11 12:27:11 the GPE's market manipulation and abuse of

12 12:27:15 dominance,

13 12:27:16 and there is also a claim that there was a suspension

14 12:27:19 of supplies that was unlawful and

15 12:27:21 unexpected. So PPD has claimed for

16 12:27:25 damages, which it sets off with the undisputed.

17 12:27:31 Gazprom Export claim. As for those

18 12:27:37 changes, I think we have spent a lot of time in

19 12:27:41 the April 1st letter and therefore the tribunal needs no longer details about that, but

20 12:27:47 and I think it is pretty self speaking,

21 12:27:50 however we treat it. It is a clear acceptance and

22 12:27:53 then a signature is attempted to be withdrawn.

23 12:27:56 But

24 12:27:57 you have also now heard a new development of the

25 12:28:01 argumentation

01 12:28:02 is that the later amendments to the payment mechanism,
02 12:28:05 which were to the benefit of PPD, say, the instruction
03 12:28:08 of the Central Bank, which clarified that there will
04 12:28:11 be no risks when the
05 12:28:13 funds reach the euro. Account of
06 12:28:15 PPD should have also been agreed as a separate
07 12:28:18 amendment, necessarily in a form of amendment. Well,
08 12:28:22 this form requirement clearly has absolutely no ground
09 12:28:26 to be taken into account because, as I said one day
10 12:28:33 prior to the 1st of April in an email correspondence,
11 12:28:37 they agreed to defer the supplies. So there were
12 12:28:40 indeed
13 12:28:40 letters, side letters, email agreements and other
14 12:28:44 forms of communications. Those side letters were referred to
15 12:28:46 by Mr Barash as well.
16 12:28:50 However, even putting that into account, once there
17 12:28:54 was this instruction issued and GPE understanding that
18 12:28:59 there
19 12:28:59 could be a concern on the side of PPD with respect to
20 12:29:03 the understanding of of the legislation, informs PPD
21 12:29:06 with
22 12:29:07 the letter of the 5th of may 2022 saying that here is the
23 12:29:12 instruction of
24 12:29:13 the Central Bank, the clarification of the Central
25 12:29:15 Bank, and if you transfer timely in good faith, you will

01 12:29:20 have no risk. It will be full compliance with the
02 12:29:23 contract. What is the response that would come in 20
03 12:29:26 days? The answer is simple. We consider our
04 12:29:30 payment
05 12:29:30 obligation fulfilled once the invoiced euro amount is
06 12:29:35 credited on our type "K" euro account. Exactly. That is exactly what
07 12:29:40 the instruction says. That was
08 12:29:42 exactly the message of the letter of the 5th of May. And you accept it. How would
09 12:29:49 you
10 12:29:57 then say that there was no acceptance? Then what happened next also matters
11 12:30:01 not to take you through all these events, but we mentioned
12 12:30:03 that many times
13 12:30:03 accounts are open, nominations are made, gas received,
14 12:30:11 money transferred. So as for
15 12:30:14 the
16 12:30:14 decree, even if it did affect anything, we discussed
17 12:30:19 that it only affected the moment of payment, what is
18 12:30:23 admitted and it affected the account to which the
19 12:30:25 transfer is made. And I really see absolutely no
20 12:30:29 reason to claim that there
21 12:30:30 was some change of currency. There was none. The
22 12:30:36 transfer was in euros to the very same Gazprombank
23 12:30:39 account, to the very same Gazprombank, but
24 12:30:40 to a different account. Following the central bank's
25 12:30:46 clarification, it was absolutely clear that risk allocation has been now
26 12:30:53 made in favour of the foreign buyer, and therefore it

01 12:30:59 was even acknowledged and accepted by this letter of
02 12:31:02 the 26th of May, which I have just shown. Then
03 12:31:06 comes the
04 12:31:07 story of the decree 254 that we
05 12:31:10 also discussed. And there is one issue I would like to
06 12:31:15 raise here. There was a question from the tribunal also,
07 12:31:18 whether it was something strange to issue a separate decree to
08 12:31:23 address this particular issue and not amend
09 12:31:25 the previous decree or anything of this kind, so
10 12:31:29 implying that it could have some substantial change in
11 12:31:35 it if we were to see the text of the decree, we would
12 12:31:38 see that it effectively introduces changes to many of
13 12:31:41 these things, many of the regimes. So it is a decree
14 12:31:45 effectively amending the decree. And the only change.
15 12:31:51 Is that now NCC is specifically mentioned, whereas
16 12:31:57 before it was not. And I was also
17 12:32:01 explaining during my opening presentation as to why
18 12:32:03 that was made, that was exactly made. So that to simplify all those
19 12:32:09 compliance checks that were of concern for the
20 12:32:13 Russian side receiving
21 12:32:15 the payment and for the European side sending the payment, so that to make
22 12:32:19 the system totally
23 12:32:21 transparent to the banks and to the foreign regulators, so
24 12:32:25 everyone knows who will be
25 12:32:28 involved in

01 12:32:29 this mechanism. Between the 31 March 2022 and the 26th of May 2022,
02 12:32:47 when all of these changes unfolded, there were no payments
03 12:32:50 under the payment mechanism. So PPD cannot assert
04 12:32:54 that any other payment mechanism was possible. Any
05 12:32:58 alternative was available, but there were nominations
06 12:33:03 in that period of time. There was acceptance of
07 12:33:06 supplies, and there was a number of payment without
08 12:33:09 protest. Later in May, September 2022. In terms of
09 12:33:16 the burdensomeness.
10 12:33:19 We need to make sure we understand what was the
11 12:33:23 burden
12 12:33:24 following the decree. As I said, you still make payment in euros. You just need
13 12:33:29 to do it two days
14 12:33:30 ahead, two days ahead. And Gazprombank has
15 12:33:35 never made any longer conversion than two days.
16 12:33:38 There is no evidence otherwise because that was their risk.
17 12:33:42 They were not willing to
18 12:33:44 violate
19 12:33:44 the decree. Yes, you
20 12:33:46 pay to a different account, but
21 12:33:47 with the very same Gazprombank. And importantly,
22 12:33:52 there are absolutely no charges by Gazprombank for making all this
23 12:33:58 conversion,
24 12:33:59 opening the accounts and whatnot. So effectively, all that pretty
25 12:34:09 much meets the test of the steps under

01 12:34:14 article 54, because, as explained by Prof
02 12:34:16 Klicka, reasonableness is determined
03 12:34:20 on balance of convenience. It was less burdensome for
04 12:34:24 PPD to pay this way
05 12:34:27 than for GPE to find some non-Russian gas and somehow
06 12:34:33 supply it in potential violation of the mandatory rule
07 12:34:38 applicable to it. PPD objection on the actual effect
08 12:34:42 of the payment
09 12:34:43 mechanism are really misleading. As for the
10 12:34:47 delays caused by the European correspondent banks and
11 12:34:52 their compliance checks, and the European Central
12 12:34:54 Bank's well, effectively that applied to any payment
13 12:34:59 destined to Russia, and I pretty. I'm pretty sure
14 12:35:03 that everyone in this room from the personal
15 12:35:05 experience knows that these problems started not on
16 12:35:11 the 1st of April 2022 with all of the payments, there
17 12:35:15 is not a single document on the record demonstrating that
18 12:35:19 these
19 12:35:19 concerns have ever been raised by PPD voiced to GPE,
20 12:35:25 say, with the
21 12:35:27 request to modify the payment timing and the claimant
22 12:35:34 witnesses cannot clearly refute it. They admit that
23 12:35:38 that was the issue of the European banking system,
24 12:35:40 and
25 12:35:40 it has nothing to do with the decree because, as was

01 12:35:44 said, some of the banks completely stopped
02 12:35:47 payments to Russia, irrespective of the regulatory framework
03 12:35:52 under which this payment
04 12:35:53 could be potentially made. Respondent witnesses
05 12:35:58 Mr Barash also confirmed that the problems were before
06 12:36:01 and after, regardless of the
07 12:36:02 decree. And the problems remain. As I was saying in
08 12:36:08 my opening, even during this arbitration, we had
09 12:36:10 issues with payments, but luckily
10 12:36:13 we managed to overcome all that. So at all relevant times risk because relevant
11 12:36:21 times happened when the 1st payment were to be
12 12:36:23 made. Risks passed with crediting of euros to GPB
13 12:36:29 at all
14 12:36:29 relevant times. From the moment of the 1st payment in
15 12:36:31 the end of May 2022, the risk was as provided by the
16 12:36:38 Central Bank on GPE and it was the party's
17 12:36:43 understanding from the very beginning, as explained by
18 12:36:47 Mr Barash and the suspension in may and August also
19 12:36:51 has nothing to do with that, and that was also
20 12:36:54 clearly
21 12:36:55 discussed because the funds reached Gazprombank late
22 12:37:00 and the two days conversion was simply not possible.
23 12:37:06 As for no access to the accounts, there was a
24 12:37:10 statement made by Ms Ivancic
25 12:37:13 that they were very unhappy that

01 12:37:14 the funds became not traceable, and they
02 12:37:17 did not now understand where the funds are. In
03 12:37:22 section 3 of the Gazprombank instruction that
04 12:37:25 is attached to the 1st of April letter. Everything is
05 12:37:30 clearly set out and it is proposed for the buyer to
06 12:37:36 introduce an
07 12:37:36 electronic document exchange system so that to have
08 12:37:40 all the information necessary. And when I
09 12:37:43 confront
10 12:37:44 Ms Ivancic with the question, why
11 12:37:45 did you not do that? Why did you reject this
12 12:37:48 proposal? She says, Russian hackers are
13 12:37:50 everywhere.
14 12:37:52 So my it guys said that would potentially
15 12:37:55 jeopardise
16 12:37:56 our system. So there were mechanisms to trace
17 12:38:02 the
18 12:38:02 funds, but you simply don't want to use those. And there
19 12:38:06 were several options in that instruction
20 12:38:08 proposal. Transcript of the 2nd day, Ms Ivancic specifically says Russian
21 12:38:17 hackers everywhere in the world. So we
22 12:38:20 decided we will. I mean, that was in the
23 12:38:22 media. This was the time, the situation. I
24 12:38:25 think
25 12:38:26 the quotation is self-speaking, the letter of the 1st

01 12:38:32 of April 2022 does constitute a clear, valid amendment
02 12:38:35 to the contract, because the requirements to these
03 12:38:41 amendments are stipulated in the contract itself.
04 12:38:45 Article 161 has clear requirements as to the
05 12:38:51 amendments, and there is no requirement that it should
06 12:38:54 be a separate document labelled amendment. Yes, it
07 12:38:58 happened in practice when it came to issues of price
08 12:39:01 or volumes, but as I said, it could be done otherwise.
09 12:39:08 So this letter of the 1st of April was
10 12:39:11 transferred
11 12:39:11 back by email later, and then
12 12:39:13 replaced
13 12:39:13 with an original, specifically as requested by the
14 12:39:17 contract terms. What definitely constitutes a valid
15 12:39:20 amendment. And there was indeed a discussion between
16 12:39:23 Mr Barash and Ms Ivancic as to delivering it to
17 12:39:28 Russia. Because of the intermission of the courier services in
18 12:39:31 those
19 12:39:32 period of time it was sent through Serbia. So
20 12:39:35 imagine
21 12:39:35 how much effort was put by Ms Ivancic so that to
22 12:39:38 deliver this document to Moscow, to St Petersburg.
23 12:39:43 Actually, that
24 12:39:45 is precisely the Way
25 12:39:46 two amend the contract as envisaged in article 16 of

01 12:39:49 it. This alone suffices to disregard any
02 12:39:52 attempts of PPD to
03 12:39:54 dispute the
04 12:39:55 existence of the amendment. More to come.
05 12:39:58 Contrary to Mr Vujnovac's statements under the oath on
06 12:40:01 the 2nd day of the evidentiary hearing, there was no
07 12:40:05 established practice of entering into binding
08 12:40:08 amendments by other means than signing numbered
09 12:40:12 agreements, as I said. And I refer to the
10 12:40:17 31 March
11 12:40:18 exchange of emails confirmed by both
12 12:40:20 witnesses here last week. With this in mind, it is
13 12:40:28 almost strange to see PPD anyhow challenging the
14 12:40:30 validity of the modification procured by countersignature and strictly
15 12:40:34 according to the formal requirements outlined in the
16 12:40:38 contract and actually, besides the letter of the 1st
17 12:40:40 of April, actually,
18 12:40:43 there was a said a lot of further behaviour on
19 12:40:48 the
20 12:40:48 side of PPD that supported this understanding. Now we
21 12:40:55 come to the 2nd reason not to pay. PPD claims
22 12:41:03 to have been under duress. So as if PPD was threatened by VTP or
23 12:41:12 potentially by
24 12:41:13 Gazprom, the
25 12:41:14 mother company, or by President Putin personally, or

01 12:41:17 by the Russian State or by the evil empire or. This
02 12:41:21 fear
03 12:41:22 is potentially just another excuse. Let's try to
04 12:41:24 understand that the key part of the PPD narrative is that Mr Vujnovac was reasonably
05 12:41:33 feared by GPE while
06 12:41:35 amending the contract in accordance with the decree,
07 12:41:38 reasonably feared by the end of the evidentiary hearing.
08 12:41:41 This point clearly did not withstand any scrutiny. So
09 12:41:45 start with the relationship between GPE
10 12:41:49 and PPD were in no way at a low point by the moment.
11 12:41:55 When the 1st of April events
12 12:41:57 happened few hours before
13 12:41:58 the decree was published in the evening of the
14 12:42:00 31 March, PPD requested GPE to
15 12:42:02 amend the contract, as I said, not to nominate gas in April with
16 12:42:06 no mean DCQ payment incurred and GPE
17 12:42:11 amicably agreed to this. And that became binding
18 12:42:16 despite being enshrined in the email chain and not on
19 12:42:19 the paper that will follow much later. Basically, by
20 12:42:23 mutual agreement, no gas was supplied by PPD either
21 12:42:26 on
22 12:42:27 the 1st or the 4th of April or between these dates
23 12:42:29 and
24 12:42:29 later on until may. So the
25 12:42:32 inference by Mr Pavao

01 12:42:33 Vujnovac that he could be shut off the gas immediately
02 12:42:37 is complete nonsense, even technically. Furthermore,
03 12:42:41 exactly. In the letter it was mentioned that PPD
04 12:42:44 could take its time until the end of May, wait pro and
05 12:42:47 contra before taking a decision. However, Mr Vujnovac
06 12:42:51 seemingly did not need any time
07 12:42:53 to respond, any time to assess, any time to
08 12:42:56 think. So he countersigns and sends it back the next
09 12:43:00 business day. Due to the quite generous month plus 30
10 12:43:05 days payment term, Mr Vujnovac had all the time he
11 12:43:08 needed to get PPD ready to work under the new payment mechanism. In
12 12:43:13 two months after the receipt of the
13 12:43:14 payment, and he successfully did. However, he never
14 12:43:21 tried to discuss the issues he now portrays as frightening with
15 12:43:26 either GPE or any other higher
16 12:43:31 contacts in Croatian ministries, as he now
17 12:43:33 claims, who were also participants of the gas crisis
18 12:43:36 team, which was specifically formed
19 12:43:39 to discuss such issues or with
20 12:43:41 other market players, as he claims, apart from whether
21 12:43:45 they at all received similar letters or not. Truly
22 12:43:53 fearless behaviour of the person who could come,
23 12:43:57 actually, who could have easily called everybody to
24 12:44:00 get any info, he yet decided to go all alone. No
25 12:44:06 consultations held, no clarification sought, no legal opinions requested.

01 12:44:12 Despite the two month period available in conjunction
02 12:44:16 in conjunction with the countersigned letter of the Fourth of April,
03 12:44:21 Mr Vujnovac enhanced his strategy to switch to
04 12:44:23 switch
05 12:44:24 to the LNG. He in fact started arranging, as I said well before, in
06 12:44:30
07 12:44:31 March 2022, Mr Vujnovac's direct acknowledgment that he
08 12:44:34 decided to
09 12:44:35 make some payments. Some payments plainly mirrors his
10 12:44:39 motivation to have reliable gas supplies
11 12:44:43 while finding alternative
12 12:44:44 supply
13 12:44:45 routes through the Krk LNG terminal, however,
14 12:44:50 effectively implemented seven months planning strategy
15 12:44:52 has little to do with the actions you expect from a
16 12:44:56 verified person that is really in fear. Even from the
17 12:45:03 sanctions risk perspective. PPD
18 12:45:04 argument does not look serious, as it is quite strange
19 12:45:07 to expect sanctions as a political
20 12:45:09 instrument to be
21 12:45:11 used against the market player responsible for the
22 12:45:13 key
23 12:45:14 policy goal filling the gas storages. And
24 12:45:17 Mr Vujnovac, as part of this Croatian crisis team was
25 12:45:21 perfectly aware, and he confessed here that the main

01 12:45:25 objective of the Croatian Government was to fill
02 12:45:29 the storages. That was their main concern. So with
03 12:45:34 this respect, no serious business person
04 12:45:36 would believe he could be punished or sanctioned for
05 12:45:41 buying the Russian gas that was so needed to fill the
06 12:45:45 storages, because he is assisting the public
07 12:45:48 government in policy. That is tantamount to the
08 12:45:54 population. As a weapon of last resort. PPD refers to handful
09 12:46:00 of legal doctrines to blur the lines
10 12:46:03 between GPE as a separate legal entity, being a
11 12:46:05 party to the
12 12:46:05 contract. Its parent company, Gazprom PJSC and
13 12:46:10 the
14 12:46:10 Russian State. Though these attempts manifestly
15 12:46:14 fail
16 12:46:14 from the outset, they are either way irrelevant to
17 12:46:19 the
18 12:46:19 question of duress as the standard of section 870
19 12:46:23 of
20 12:46:24 the Austrian Civil Code leaves no room for the legal doctrine piercing the
21 12:46:29 corporate veil or whatever.
22 12:46:33 Anyway, no evidence of this unity has been discovered
23 12:46:37 throughout this evidentiary hearing. Claimants
24 12:46:41 witnesses cannot reliably point to any specific
25 12:46:43 indications of this unity apparent throughout their contractual

01 12:46:48 relationship. Respondents witnesses
02 12:46:51 consistently and unequivocally confirm the opposite.
03 12:46:54 None of the experts, either legal or economic.
04 12:46:58 Mr Boublik and Mr Papadia managed to suggest a
05 12:47:02 plausible explanation of how the Decree 172 could
06 12:47:06 even, in theory, benefit GPE because it could not. As a
07 12:47:12 result, the prongs of
08 12:47:14 duress were not met, as confirmed by PPD
09 12:47:18 appointed
10 12:47:19 legal expert, Dr Pernar, on Monday this week. The criteria to establish duress
11 12:47:26 are cumulative and shall be proven by the
12 12:47:29 claimant. In the case at hand. The situation is
13 12:47:33 pretty peculiar as over the course of this
14 12:47:35 hearing, it
15 12:47:36 became almost obvious that none of the criteria is met. None. No threat by GPE just
or
16 12:47:46 unjust, only the desire to uphold the
17 12:47:48 contractual relationship and continue the supply of
18 12:47:52 gas in the new legal framework until the alternative
19 12:47:57 supplies are secured. No payment via the
20 12:48:01 mechanism
21 12:48:01 would have caused and eventually did cause the
22 12:48:04 prohibition to supply
23 12:48:06 further
24 12:48:06 regardless of GPE's will. After countersigning on
25 12:48:09 the

01 12:48:10 next business day, PPD had two months and not days
02 12:48:14 as PPD's appointed expert
03 12:48:17 doctor claims. I think he was misled to
04 12:48:20 assume
05 12:48:21 that to switch to the new track, which he successfully
06 12:48:24 did. No proof of fear over the weekend
07 12:48:28 between the 1st and the 4th of April 2022, on
08 12:48:32 the side of Mr Vujnovac, there is no proof of fear
09 12:48:36 that was established during these two weeks of
10 12:48:39 the evidentiary hearing. There is
11 12:48:40 not a single piece of evidence showing that
12 12:48:42 Mr Vujnovac was in fear. You saw Mr Vujnovac. He is not easy to be made
13 12:48:53 frightened, and he was perfectly
14 12:48:54 able to make
15 12:48:58 brutal commercial decisions, availing him to switch from PNG
16 12:49:02 to LNG. And just to understand how this letter
17 12:49:03 could
18 12:49:11 be utilised for this purpose. And one should not attribute it to his courage or
19 12:49:11 fortitude, as it
20 12:49:17 was
21 12:49:21 quite hard to fear the immediate seizure of PNG supplies received of
22 12:49:26 PNG supplies. Given that there were no supplies
23 12:49:30 anticipated in the next two months as
24 12:49:30 agreed beforehand, be it as it may, even if there
25 12:49:30 was
26 12:49:30 an unjust threat or even if Mr Vujnovac was anyhow reasonably
27 12:49:34 feared, that fear definitely would not be induced by

01 12:49:40 GPE, which would anyway doom the whole case because
02 12:49:46 section 870 of the Austrian Civil Code is
03 12:49:49 absolutely clear that the counterparty shall be
04 12:49:51 specifically the one who induces fear, which is
05 12:49:56 obviously not the case here GPE. Even if
06 12:50:00 wanted or
07 12:50:00 if it did not want to
08 12:50:03 seize supplies, was not making the
09 12:50:06 decision.
10 12:50:06 According to the direct wording of the 1st of April
11 12:50:08 letter, it was the customs making the decision. So in
12 12:50:12 fact, lack of causality is so manifest that being asked
13 12:50:16 a plain question about whose action must be the
14 12:50:19 cause, so it would apply to our dispute. Dr Perner
15 12:50:25 suddenly changed subject and started talking
16 12:50:27 about section 85875 of the Austrian Civil Code due
17 12:50:31 raised by 3rd party, but this has never been pleaded
18 12:50:35 by PPD in this arbitration. Not in a single
19 12:50:38 submission. Never. Only 870 and Mr Pernar
20 12:50:44 understood that 870 is not tenable. As for the
21 12:50:52 causality under
22 12:50:54 section 870 and the attribution of the acts of state, just one more slide. Throughout
23 12:50:59 its pleadings, claimant was continuously
24 12:51:02 mixing rules of section 870 of the Austrian Civil Code
25 12:51:06 with tests concerning attribution of the acts of state

01 12:51:09 to state owned enterprises for the purposes of force
02 12:51:12 majeure. However, as finally established during the
03 12:51:16 evidentiary hearings, these two concepts shall be
04 12:51:19 clearly and strictly divided. Section 870 of the
05 12:51:24 Austrian Civil Code specifically refers to fear to be
06 12:51:29 induced by the counterparty, in our case
07 12:51:33 by GPE, in
08 12:51:34 order to invalidate the amendment and as
09 12:51:38 confirmed by the PPD appointed expert Dr Perner, this concept could be expanded to
the auxiliaries of employees of GPE
10 12:51:48 persons empowered by GPE to act on their behalf and
11 12:51:52 inducing fear on PPD in this capacity. But anyway, no
12 12:51:55 further. And it is obvious that neither the Russian
13 12:52:01 State nor President Putin, while signing the decree exercising
14 12:52:07 their public powers, acted on behalf of
15 12:52:09 GPE. And anyhow, in the interest or in their capacity,
16 12:52:16 and
17 12:52:17 the contrary. The contrary has never been pleaded by
18 12:52:22 PPD. This alone renders the case of PPD under section 870 of the
19 12:52:29 Austrian Civil Code moot. Now members of the
20 12:52:35 tribunal let me switch to the
21 12:52:37 next reason not to pay so many reasons not to pay.
22 12:52:44 That is
23 12:52:44 the alleged violation of the EU sanctions
24 12:52:47 regime by the so-called new payment
25 12:52:48 mechanism. The key arguments made by PPD are

01 12:52:53 either making funds available to a sanctioned entity or managing the reserves of the
02 12:52:59 Central Bank, or nothing else. If.
03 12:53:01 If this
04 12:53:02 doesn't work, then circumvention of sanctions.
05 12:53:07 Well, members of the tribunal, you have seen the two witnesses who are the only
source of sanctions related
06 12:53:14 conclusions by PPD, and you noticed that both of those
07 12:53:19 witnesses very clearly explained that they
08 12:53:22 have no legal understanding of the sanctions, that
09 12:53:24 they do not make any sanctions related conclusions,
10 12:53:27 and they even never attempted to. The
11 12:53:31 witnesses have
12 12:53:32 shown, unfortunately, complete lack of
13 12:53:35 understanding of some
14 12:53:36 of the most basic legal concepts like agency and
15 12:53:39 distinction between proprietary rights and
16 12:53:43 obligations. And most importantly, they have also
17 12:53:45 managed to convince the counsel to follow this logic.
18 12:53:49 Contrary to any
19 12:53:51 well-established legal theory. Unfortunately,
20 12:53:55 this
21 12:53:55 evidence may not serve any ground for any sanctions
22 12:53:58 related meaningful conclusions. However, what
23 12:54:01 is really important on the record? There is
24 12:54:06 evidence by a professional sanctions legal expert
25 12:54:11 that

01 12:54:11 is the law firm called dull devolve, which is among the top three
02 12:54:15 law firms working in the
03 12:54:16 sanctions cases before
04 12:54:17 the Court of Justice of the
05 12:54:19 European Union. Their opinion is available, and it fully supports the
06 12:54:24 position of the respondent that
07 12:54:25 there were no sanctions risks in the payment
08 12:54:30 mechanism. Notice that PPD decided not to
09 12:54:32 cross-examine legal experts, as clearly there would be
10 12:54:38 little to counter their analysis, so we emphasised to
11 12:54:42 the tribunal that there is a professional legal
12 12:54:45 assessment
13 12:54:46 available on the record, and it was the
14 12:54:49 decision of the claimant not to cross examine the
15 12:54:51 appropriate and
16 12:54:53 qualified legal
17 12:54:55 experts and moreover, so I emphasise once again
18 12:54:58 that
19 12:54:59 the only legal opinion
20 12:55:00 on the EU sanctions that
21 12:55:03 is on record and was prepared by the EU qualified
22 12:55:07 Belgian attorneys, Mr Benteke and Ms Barsanti del de
23 12:55:10 Wolff, one with actual expertise and experience of
24 12:55:16 representation in sanctions related disputes before
25 12:55:18 the European courts, including the Court of Justice of

01 12:55:21 the European Union. It is their. And if one does not
02 12:55:27 flag any risks of violation of EU sanctions by the
03 12:55:30 payment mechanism and I am really puzzled with the
04 12:55:34 advocacy techniques by Mr Holland, who just pretended
05 12:55:37 that this does not exist and even insisted on that.
06 12:55:40 And it was even more puzzled, actually, when
07 12:55:43 listening
08 12:55:43 to the sanctions section by Mr Holland, that
09 12:55:47 Gazprombank has been labelled or called to be owned by
10 12:55:51 the respondent. This is today at 11 oh 142 seconds.
11 12:55:56 This is this was a statement. This is not only
12 12:55:59 completely incorrect, but it is the 1st time this kind
13 12:56:04 of argument. Has it all been raised. And I really
14 12:56:08 regret to witness such level of advocacy. In my
15 12:56:13 opening speech, I explained in detail the nature of the
16 12:56:17 transactions at the Moex and that the involvement of PPD in this
17 12:56:21 mechanism is limited solely to PPD
18 12:56:24 relations with Gazprombank contractual obligations that have been
19 12:56:30 discussed, and
20 12:56:32 therefore there is no way we could speak of some PPD
21 12:56:36 euros from the point of view of applicable law.
22 12:56:40 And
23 12:56:41 you also saw that the
24 12:56:44 decree 254. In essence did not change
25 12:56:47 anything because the national clearing centre

01 12:56:49 was a mandatory central counterparty at most forex
02 12:56:53 trade for decay. The trading rules are
03 12:56:59 very straightforward on that.
04 12:57:00 This is r132, paragraph 213 on page 13 of that file. And it says the clearing centre
05 12:57:08 shall be party to all
06 12:57:09 the trades executed in accordance with these trading
07 12:57:12 rules, full stop.
08 12:57:13 There
09 12:57:14 is simply no other Way two read it. And
10 12:57:18 Mr Boublik
11 12:57:18 statements on negotiated
12 12:57:21 trading by passing as if the clearing centre
13 12:57:25 unfortunately is completely outdated and goes contrary
14 12:57:28 to the plain text of the rules. However, dear members of the tribunal, the
15 12:57:35 argument even
16 12:57:37 evolved in absence of any tenable legal argument. The
17 12:57:40 experts of the claimant and their counsel now state
18 12:57:43 that the rules are too difficult to
19 12:57:45 understand. The
20 12:57:46 mechanism is too complex that PPD can easily get
21 12:57:50 confused because even Mr Papadia got confused somehow,
22 12:57:54 and that is not reasonable to expect from a
23 12:57:58 sophisticated gas trader. To understand how forex
24 12:58:01 trading at an exchange works, I put aside the
25 12:58:05 fact

01 12:58:05 that no explanations were yet again requested and ever called for from GPE, and I
also put

02 12:58:13 aside the fact

03 12:58:14 that the Moex trading rules are perfectly available

04 12:58:17 online in English. Unlike many of the Russian legal

05 12:58:20 acts, and they always were available in English.

06 12:58:24 However, even if PPD management could not understand

07 12:58:28 such a complex idea of trading rules of

08 12:58:32 Moex foreign

09 12:58:33 exchange, could they do at least some of the basics? They could do a basic

10 12:58:40 search on internet.

11 12:58:43 While preparing for today, I did this exercise myself and I have just visited the

12 12:58:48 Wikipedia

13 12:58:50 page devoted to Moex. I understand

14 12:58:52 Wikipedia is not a legal source

15 12:58:54 and the legal argumentation has already been addressed

16 12:58:57 above, but at least this is something anyone would do

17 12:59:00 if you have. If you wish to have even a minimum basic understanding and the
members of the

18 12:59:06 tribunal. You may also repeat this exercise and you

19 12:59:08 will be puzzled to see that the Moex Wikipedia page in

20 12:59:12 English says specifically in the section related

21 12:59:14 to

22 12:59:14 foreign currency trading, it says all transactions spot and

23 12:59:19 swaps on the FX market at Moex are centrally cleared by national clearing centre.
Well,

24 12:59:28 one can be

25 12:59:29 a non-lawyer, but this is so basic and so

01 12:59:33 plainly

02 12:59:33 available that saying anything to the contrary is just

03 12:59:36 unfair. Mr Holland was saying today that no banker

04 12:59:43 would participate in such a mechanism. I would just

05 12:59:46 refer you to r1345. The EU frequently asked questions

06 12:59:52 that specifically say, and I quote, EU firms are still

07 12:59:56 allowed to trade on

08 12:59:58 Russian exchanges. The evidence provided by the

09 13:00:02 so-called sanctions experts is unfortunately

10 13:00:04 useless. Mr Boublik based his

11 13:00:08 conclusions on outdated sources and was unable to

12 13:00:12 point to any sources at all, if not outdated. If the three reports. Well, in his three

13 13:00:22 reports presentation and an hour long

14 13:00:24 cross-examination, I never managed to obtain from

15 13:00:27 Mr Boublik any clear guidance on where in the rules

16 13:00:30 are. Those three modes of transactions are? Be it as

17 13:00:35 it may. He admitted that organised trades at

18 13:00:38 Moex do go through clearing with NCC. The source of

19 13:00:43 his knowledge is always general practice. Dating back

20 13:00:46 to 2008 when Mr Boublik was in Moscow, Moex did not even

21 13:00:51 exist in those days. However, Mr Boublik

22 13:00:56 feels comfortable giving testimony on these issues.

23 13:01:00 He is also trying to make an argument that the

24 13:01:03 mechanism was so inventive, so that the sending

25 13:01:06 bank

01 13:01:06 would not see where the funds go, because the idea was
02 13:01:12 that funds were sent from PPD to PPD, and thus the sending bank in the
03 13:01:17 EU would be deprived of the
04 13:01:19 ability to do proper anti-money laundering and the
05 13:01:22 sanctions checks. That was one of the arguments. So
06 13:01:26 as if the sending bank does not know where the funds
07 13:01:29 are really heading and what is the ground for this
08 13:01:32 transfer if it falls under the decree or not. This is
09 13:01:36 again nothing but yet another misleading
10 13:01:38 statement. My last question to Mr Boublik was whether
11 13:01:43 he ever saw the SWIFT messages underlying the payments,
12 13:01:46 and he said he
13 13:01:47 did. Those are also on the record and those
14 13:01:51 clearly show everyone who processes the payment that the payment is made under
the decree to a special "K" type
15 13:02:01 account. It's there in the SWIFT messages visible to anyone
16 13:02:06 dealing with the payment. I don't even mention the
17 13:02:09 underlying invoices that always mentioned the
18 13:02:12 special t "K" type account, and the procedure of the
19 13:02:15 decree that was shown to Mr Vujnovic on day 2. So all
20 13:02:21 that was specifically inscribed to make
21 13:02:25 everything as clear as possible, as transparent as
22 13:02:29 possible. So either Mr Boublik did not see the SWIFT
23 13:02:33 messages or he has forgotten what he has seen there,
24 13:02:36 or he is intentionally misleading the tribunal to make
25 13:02:38 up the case for the claimant. Mr Papadias findings

01 13:02:43 are based on incomplete and
02 13:02:45 fragmented understanding of how the Decree 172 and
03 13:02:49 Moex trade works, yet he had to perform a very complex
04 13:02:55 and sophisticated macroeconomic analysis in order to
05 13:02:58 conclude that there was a risk. I quote that risk of
06 13:03:03 payment mechanism affecting not even directly
07 13:03:07 amounting to management, affecting the reserves and
08 13:03:10 assets of the Central Bank, and the risk of these PPD
09 13:03:15 euros. As I said, that is legal nonsense. Ending up
10 13:03:18 in the hands of the sanctioned
11 13:03:20 persons. Apparently, Mr Vujnovac
12 13:03:25 and Ms Ivancic clearly did not engage
13 13:03:28 themselves into such an
14 13:03:30 assessment of the risks either before accepting the letter in between the 1st
15 13:03:37 and the Fourth of April, nor ever
16 13:03:39 afterwards.
17 13:03:40 Hardly that could be done over one weekend. And it was not
18 13:03:46 even mentioned in the letter of the 31st of
19 13:03:49 October, where
20 13:03:51 they say all our prior payments were approved.
21 13:03:55 There were no sanctions-related concerns. Hence
22 13:04:00 the story about how dreaded Mr Pavao Vujnovac
23 13:04:03 and Ms Ivancic were by the risks of breaching the EU
24 13:04:06 sanctions is, to say, mildly unconvincing. PPD
25 13:04:10 argues that even if decree one, 72 and letter

01 13:04:16 of the 1st of April 2022 was accepted, the later
02 13:04:19 changes
03 13:04:19 could not be accepted because the altered the payment
04 13:04:22 mechanism in such a way, according to its experts,
05 13:04:25 which posed critical risks from the EU sanctions
06 13:04:28 perspective. However, if the learned experts
07 13:04:32 themselves accept that there is risk was not obvious, how did PPD come to a
08 13:04:36 conclusion that this risk at all existed and it
09 13:04:40 was so onerous it constituted a new modification and
10 13:04:44 it should not be accepted? No contemporaneous
11 13:04:48 document on the record? Nothing. Both the so-called sanctions experts admit that
12 13:04:54 there was no causal link between the stricter
13 13:04:56 compliance checks and delays and the payment
14 13:05:00 mechanism, and these delays are to be assigned to the
15 13:05:03 compliance policies of the EU banks. Mr Boublik also
16 13:05:07 admits that for any euro settlement after clearing in
17 13:05:10 favour of a sanctioned entity, European banks, where
18 13:05:14 the national clearing Center had its
19 13:05:15 correspondent accounts, Deutsche bank
20 13:05:17 and Societe Generale would be doing the sanctions
21 13:05:21 checks and such funds would never reach a sanctioned
22 13:05:23 entity or the Central Bank of Russia. As I also
23 13:05:28 explained during my opening presentation, sanctions
24 13:05:31 circumvention, which is referred to by PPD, is a very
25 13:05:34 specific, legally determined concept. It's not. It's

01 13:05:38 not just anything that goes contrary to the spirit of
02 13:05:41 sanctions. As Mr Holland puts it. And there is
03 13:05:46 nothing in the case to support the application of this
04 13:05:48 particular provision in the given circumstances.
05 13:05:52 However, given the very remote nature of this
06 13:05:56 sanctions expert's knowledge, this point was not even
07 13:05:58 raised in the reports and
08 13:06:00 therefore was not discussed and touched
09 13:06:03 upon during the hearings. But it's in detail
10 13:06:08 addressed in the written submissions. PPD case rests also on
11 13:06:14 two pillars the
12 13:06:15 broad interpretation of the text of
13 13:06:16 the sanctions
14 13:06:17 regulations and the opinions of the Advocate General
15 13:06:20 Biondi in the case, and the
16 13:06:24 recent opinion in the Yemen case. Well, none of these
17 13:06:28 pillars support the weight
18 13:06:30 placed upon them. The provisions of the regulation.
19 13:06:36 833-2014 do not apply to the circumstances of the
20 13:06:38 dispute. And the advocate general in rebel rebel
21 13:06:42 case, let alone being non-binding and factually
22 13:06:45 distinguishable, also cannot rescue a case
23 13:06:48 that
24 13:06:48 otherwise falls outside the scope of
25 13:06:50 the sanctions

01 13:06:51 regime. I will briefly address these points why
02 13:06:54 article 11 does not apply, and why the why the rehabil
03 13:06:58 opinion is irrelevant, and why article 10 does not
04 13:07:00 provide a shield. As for article 11, it prohibits the satisfaction
05 13:07:06 of claims made by a Russian person, where
06 13:07:09 the contract's performance has been affected by the
07 13:07:13 measures imposed under the regulation. The text here
08 13:07:16 is clear as submitted earlier, the Court of Justice
09 13:07:21 already confirmed that affected essentially means
10 13:07:26 prohibited. So the article works only when the EU
11 13:07:30 sanctions make performance of the contract illegal.
12 13:07:33 When it is prohibited under the sanctions rules here,
13 13:07:37 there is no EU measure that prohibited the supply of
14 13:07:41 natural gas to the EU and the subsequent payments, and
15 13:07:45 there remains not until today, the Central Bank of
16 13:07:49 Russia, by the way, is also not subject to sanctions,
17 13:07:53 as individual sanctions blocking sanctions, so-called
18 13:07:58 unlike, say, the Central Bank of Iran, as I was
19 13:08:01 mentioning during the opening presentation, the EU
20 13:08:05 commission itself confirmed repeatedly that energy
21 13:08:08 transactions were not subject to prohibitions under
22 13:08:11 regulation eight, three, three at all the relevant
23 13:08:13 times. And this has already been addressed in detail
24 13:08:17 in the opening presentation and in the written
25 13:08:19 submissions. So if the underlying performance, the

01 13:08:23 delivery of gas and payment thereof was not affected,
02 13:08:26 was not prohibited by the EU sanctions. The
03 13:08:30 foundation for article 11 crumbles PPD incorrect
04 13:08:35 interpretation of law. Well, and as said, not
05 13:08:38 surprisingly, there is no legal expert PPD involved to
06 13:08:41 assist them in preparing this position because I
07 13:08:45 assume there would be none expert
08 13:08:46 willing to
09 13:08:47 take this position with the legal qualification.
10 13:08:52 So PPD is incorrect. Interpretation
11 13:08:53 of law does not transform a
12 13:08:57 voluntary nonperformance into an effect of EU law. As
13 13:09:02 for the opinion of the advocate general, as said, we
14 13:09:07 believe it is completely irrelevant. PPD places
15 13:09:11 extraordinary weight on all advocate general
16 13:09:14 opinions
17 13:09:14 and in this particular case, concerning this dual use helicopter parts, this case
18 13:09:20 is a world apart from ours. First of all, the court
19 13:09:23 has not yet ruled to begin with and the advocate opinions general is a persuasive
20 13:09:29 submission. But it's
21 13:09:29 not yet a judgment and it does not have any force of
22 13:09:32 law. But in any event, in this
23 13:09:36 case, the contract was for the sale of goods that were
24 13:09:40 themselves subject to the EU export ban.
25 13:09:43 The performance of the contract was directly

01 13:09:46 affected because the goods could not be exported
02 13:09:50 without violating EU law. And the advocate general
03 13:09:54 discussion on the automated nature of article 11 must be.
04 13:09:57 Therefore read in this context,
05 13:09:59 and I would agree to the logics proposed by the
06 13:10:02 advocate general. In a way, his statement that
07 13:10:06 article 11 applies irrespective of whether satisfying the claim would entail
infringement of
08 13:10:11 other measures, was made
09 13:10:13 in
10 13:10:13 case where a contractual performance was already
11 13:10:16 impossible because of the direct prohibition on the
12 13:10:20 subject matter. Here. In our case, there is no prohibition on gas.
13 13:10:27 The performance of the contract delivery and payment
14 13:10:30 was never made impossible by any EU measure. The
15 13:10:34 debtor refused to pay not because gas could
16 13:10:37 not be delivered, but because of unsubstantiated
17 13:10:40
18 13:10:42 fears. If we trust that that we're not grounded in
19 13:10:45 any applicable provision or just because of the
20 13:10:48 commercial decision not to do it and the rebel principle,
21 13:10:53 if we
22 13:10:53 could at all consider that such a principle exists,
23 13:10:56 does not extend to any indirect, speculative and
24 13:11:01 self-imposed obstacles. The purpose of article 11 is
25 13:11:05 to ensure that a Russian person cannot use a court or

01 13:11:09 tribunal to recover sums

02 13:11:11 arising from a conduct whose performance

03 13:11:13 was affected by EU sanctions, but where the contract's

04 13:11:17 performance was not

05 13:11:18 affected, where the gas was delivered. There is no

06 13:11:22 circumvention, there is no circumvention to prevent

07 13:11:25 it

08 13:11:25 all. To apply this argumentation here would extend it beyond its rationale

09 13:11:32 and create a windfall for a party that chose

10 13:11:36 not to pay. As for the opinion of the advocate

11 13:11:39 general in the

12 13:11:40 Yemen case, we will have to unfortunately address it

13 13:11:45 in more detail in our Post-hearing brief. However,

14 13:11:48 this is again nothing but detaching the rules from

15 13:11:52 their context and the Yemen sanctions stem from

16 13:11:56 the un sanctions, and that is a very significant

17 13:12:00 difference as compared to the Russian sanctions

18 13:12:03 mechanism. And they target a civil war situation with

19 13:12:07 competing de facto authorities. So the opinion's

20 13:12:09 reasoning on competing influences and reasonable risk

21 13:12:13 is very specific to that very context. And

22 13:12:17 transposing it to the Russian sanctions

23 13:12:20 framework would be just legally unsound. Misreading

24 13:12:24 and applying the Yemen opinion would encourage the

25 13:12:27 tribunal to import concepts such as competing

01 13:12:31 influences and the revised burden of proof based on
02 13:12:34 reasonable risk to the regime. The Russian sanctions
03 13:12:38 to which they are alien. These concepts are alien to
04 13:12:41 the Russian sanctions regime and are not known in any
05 13:12:46 of the interpretations of that regime available. And
06 13:12:51 as for article 10, article 10 of the regulation 269
07 13:12:57 does not really absolve liability. Article 10
08 13:13:04 provides that freezing of funds or refusal to make
09 13:13:07 funds available, if carried out in good faith, shall
10 13:13:10 not give rise to liability. But this is not a
11 13:13:15 provision that is a blank check. PPD claims it faced
12 13:13:21 regulatory uncertainty, but uncertainty does not
13 13:13:24 equate to good faith. Good faith requires a
14 13:13:27 reasonable basis for the belief that compliance required the refusal at the
15 13:13:33 relevant time, the European Commission and the
16 13:13:35 competent national authorities had made it clear that
17 13:13:38 the payment for gas was not prohibited and the
18 13:13:42 payments were made and are still being made under the
19 13:13:45 mechanism. PPD ignored that guidance. A party that
20 13:13:49 chooses the most
21 13:13:50 restrictive possible interpretation, contrary to the
22 13:13:53 official guidance and then withholds payment, can not
23 13:13:56 invoke article 10 as a shield. Article 10 also
24 13:14:01 provides that unless it is proved that the freezing of
25 13:14:05 refusal or refusal was carried out as a result of

01 13:14:08 negligence. Sorry, article 10 also

02 13:14:12 provides that.

03 13:14:16 The burden is on the debtor to show that the conduct was

04 13:14:20 not negligent. My colleagues have not discharged that burden, that they

05 13:14:26 merely point some general opinions of

06 13:14:29 officials, none of

07 13:14:31 which stated that paying for gas would violate

08 13:14:34 sanctions to the contrary. As Mr Vujnovac himself

09 13:14:37 states, they were all worried about only the maintaining supplies and

10 13:14:42 filling up the

11 13:14:43 storages. Negligence is established when a party

12 13:14:46 fails to take reasonable steps to assert its obligations. Here, PPD

13 13:14:52 had access to clear

14 13:14:53 guidance, but it chose to ignore it.

15 13:14:56 That is negligence. I will now hand

16 13:15:00 the floor to Ms Soldatenkova.

17 13:15:03 MR HOLLAND: Thank you.

18 13:15:15 MR TALANOV: Members of the tribunal. I will focus on

19 13:15:17 the supplemental claim and as we have the time limits,

20 13:15:20 I will of course

21 13:15:22 not make this presentation exhaustive, but I will try to focus on

22 13:15:25 the key points. Now on this slide, the tribunal can

23 13:15:28 see a roadmap, a roadmap of the steps that the

24 13:15:32 tribunal has to pass to grant the supplemental claim.

25 13:15:36 It all starts with establishing the jurisdiction over

01 13:15:39 the supplemental claim. Then you need to establish
02 13:15:43 the violation of the competition law provisions or
03 13:15:46 REMIT, and then you have to identify the applicable
04 13:15:50 law. And as I will further
05 13:15:52 demonstrate, claimant struggles at each of
06 13:15:56 these stages. Now, if you can move to the next slide,
07 13:16:00 the 1st
08 13:16:01 point concerns the jurisdiction over the supplemental
09 13:16:03 claim. In general, whether the
10 13:16:05 supplemental claim is covered by the arbitration
11 13:16:08 agreement or not. To clarify from the beginning,
12 13:16:12 respondent and I
13 13:16:13 think we emphasised it also in our legal
14 13:16:15 submissions,
15 13:16:16 does not challenge the tribunal's jurisdiction or one
16 13:16:19 of the invalidity grounds, which is that respondent
17 13:16:24 allegedly abused its dominant position. This is not
18 13:16:27 the part of our documentation. We challenge the
19 13:16:31 tribunal's jurisdiction only with respect to the supplemental claim, which relates to
the rise
20 13:16:36 in the TTF price index. Now, claimant's
21 13:16:40 position in this respect was
22 13:16:42 supported by the expert report of Dr Koller and
23 13:16:47 Dr Koller, inter alia, commented on the criteria of a
24 13:16:51 defined legal relationship which is contained both in
25 13:16:54 Austrian law and in the New York Convention. And what

01 13:16:57 is very important in the present case is that
02 13:17:00 this
03 13:17:01 criterion applies irrespective of the European
04 13:17:04 convention, which indeed does not require the
05 13:17:07 legal relationship to be defined. This is because
06 13:17:11 clause 14 in the contract specifically refers to a
07 13:17:14 need for the arbitral award to be enforceable under
08 13:17:17 the New York Convention. Now, Dr Koller suggested that this test would be
09 13:17:22 met because clause 14 relates to the parties business
10 13:17:26 relationship. Respectfully, this is incorrect.
11 13:17:30 As
12 13:17:30 Dr Koller
13 13:17:31 admitted during his
14 13:17:33 cross-examination, the GTA, which is the gas
15 13:17:36 transportation agreement, also relates to the parties
16 13:17:40 business relationship. Yet the gas transportation
17 13:17:44 agreement includes a
18 13:17:44 totally different arbitration clause in a sense
19 13:17:46 that
20 13:17:46 one of the substantial elements, the seat of
21 13:17:49 arbitration, is different. That is Switzerland. Now
22 13:17:54 the. What claimant would need to determine if
23 13:17:57 you
24 13:17:57 decide that the defined legal relationship cannot be
25 13:18:01 simply a business relationship, claimant would need to

01 13:18:04 determine a connection to the contract. At this
02 13:18:08 stage. Claimant also fails because the doctor
03 13:18:10 caller's report does not support its position in this
04 13:18:13 respect, as acknowledged by Dr Koller during
05 13:18:17 his cross-examination, he bases his position on the
06 13:18:21 understanding of the claimant's claim as referring to
07 13:18:25 the contract price. Nevertheless, claimant's claims
08 13:18:28 do not refer to the contract price when the
09 13:18:31 supplemental claim was filed. Initially,
10 13:18:34 the
11 13:18:34 supplemental claim did mention that the
12 13:18:37 damages that are sought are connected to the
13 13:18:39 difference in the contract price. Nevertheless, it
14 13:18:42 was later abandoned and therefore
15 13:18:45 the current claims as they're currently formulated,
16 13:18:48 have no connection to the contract price or to other
17 13:18:50 provisions of the contract. The authority, which
18 13:18:55 doctor colon mentioned in this
19 13:18:58 respect cw911, which is a decision of the Austrian
20 13:19:00 Supreme Court of 2000 of of 2020, concerned a
21 13:19:08 situation where a party claimed that the abuse
22 13:19:10 of
23 13:19:11 dominance resulted in the conclusion of the contract, and this
24 13:19:14 is manifestly
25 13:19:15 different from the claimant's claims in the present

01 13:19:17 case. If you can move to the next slide. The tribunal
02 13:19:23 heard detailed submissions from the
03 13:19:24 respondent in relation to the REMIT regulation during the opening submission. The
REMIT
04 13:19:30 regulation is distinct from the European
05 13:19:33 competition law, although claimant continues to
06 13:19:36 confuse those two sets of EU law. Now, the only point
07 13:19:41 which I probably need to add is that the claimant's
08 13:19:45 experts actually do concede that there
09 13:19:47 is no case law which would support either
10 13:19:50 the existence of positions of the Court of Justice,
11 13:19:53 which deals specifically with REMIT and which support
12 13:19:57 a possibility of private action, specifically under
13 13:19:59 REMIT, or they do not provide examples of any
14 13:20:04 decisions of arbitral tribunals or national courts on
15 13:20:08 enforcement of on private enforcement of damages
16 13:20:11 connected to the REMIT breach. Absent the decision of
17 13:20:15 the national regulatory authority and in the
18 13:20:18 present
19 13:20:18 case, the respondents breach of
20 13:20:21 REMIT has not been established by any competent and
21 13:20:24 array. Moving to the next slide. Just a brief recap.
22 13:20:32 There are also several layers
23 13:20:34 to establish abuse of dominance under
24 13:20:37 article 102. And if you could proceed further, I will
25 13:20:40 just focus on some points which seem to be most

01 13:20:44 discussed during the evidentiary hearing. So 1st of all, the issue of the
02 13:20:49 relevant geographic market respondent maintains its
03 13:20:52 position that this is Croatia and as
04 13:20:55 explained by Prof Dr Hildebrand during the hearing,
05 13:20:58 there is an
06 13:20:59 established practice of the commission which includes,
07 13:21:03 I think, one of the most popular decisions during
08 13:21:05 those hearings, the Gazprom decision of 2018. There
09 13:21:09 is Dr Riechmann, the claimant's expert, provided no
10 13:21:13 conclusive case law where the commission would reach a
11 13:21:17 conclusion that, in fact, the geographic
12 13:21:20 market would be larger than national. The only case
13 13:21:23 which was referenced by Dr Riechmann in this respect. In that particular case, the
14 13:21:29 definition of
15 13:21:31 the geographic market was specifically
16 13:21:34 left open. So this case is irrelevant. And in
17 13:21:34 fact,
18 13:21:40 this tribunal is indeed suggested to be the 1st body which reaches reaches a
19 13:21:43 conclusive
20 13:21:46 finding of a geographic market which is larger than
21 13:21:46 national. With respect to the economic analysis,
22 13:21:50
23 13:21:51 Dr Riechmann accepted that he did not actually see swap
24 13:21:54 agreements
25 13:21:55 between Croatian and Hungarian parties, other than
those agreements which were
presented to him by PPD. He also admitted that it

01 13:21:59 would not be alone sufficient to integrate the
02 13:22:03 markets. And finally, he admitted that the swap
03 13:22:06 agreement does not add volumes in either country.
04 13:22:11 Further, Dr Riechmann admitted. Can we see the
05 13:22:16 presentation still? Because I can't.
06 13:22:19 MR HOLLAND: See.
07 13:22:19 MS SOLDATENKOVA: Can we please resolve it? Oh, it's back. And the
08 13:22:32 last point, which I probably wanted to make in
09 13:22:35 this respect, is that the dispute between the experts in relation to the pricing of PPD
contracts in Croatia
10 13:22:41 and Hungary hinges on data which was provided
11 13:22:44 by PPD. The data on the difference between different
12 13:22:48 PPD contracts and this data cannot be verified by this
13 13:22:53 tribunal or by respondents experts because the
14 13:22:57 contracts. As with the dataset on which claimant
15 13:23:01 basis damages were not attached to claimant
16 13:23:04 submission. Moving to the next point, which concerns
17 13:23:09 the relevant product market, the key issue in relation
18 13:23:13 to the relevant product market, if you could go to the next slide. The key issue
19 13:23:22 seems to be the application of the
20 13:23:25 SSNIP test and whether there are any other
21 13:23:27 approaches which could be applied instead of the sniff
22 13:23:30 test. Now, the sniff test, which was suggested by
23 13:23:34 Dr Riechmann, is in fact, and Dr Riechmann admitted it, although he
24 13:23:38 later took his words back to a certain
25 13:23:40 extent during the cross-examination. But the SSNIP

01 13:23:42 test can clearly be seen from the market definition.

02 13:23:46 Notice is not the only appropriate evidence to

03 13:23:50 determine the unity between different products. What Dr , Prof Dr Hildebrand
applies is historical

04 13:23:58 substitution between PNG and LNG, and the

05 13:24:02 market definition. Notice clearly says that this approach where

06 13:24:06 you rely on the substitution during different

07 13:24:09 shock events on the market, is one of the

08 13:24:11 types of

09 13:24:11 the

10 13:24:11 acceptable evidence. Dr Riechmann acknowledged that

11 13:24:17 in 2022, the gas market experienced a shock. Now,

12 13:24:22 moving to the next point, even if we consider the SSNIP test conducted by

13 13:24:27 Dr Riechmann, in fact, it

14 13:24:30 supports substitutability between LNG and PNG climate

15 13:24:33 demonstrated the very same figure. Now, what I invite

16 13:24:36 the tribunal to consider is when you look

17 13:24:40 at

18 13:24:41 this line, is the majority of this line under the this

19 13:24:45 blue section on the graph, or is it above? I

20 13:24:49 think the answer to this question is very

21 13:24:50 clear, and this demonstrates that in most situations, prices for

22 13:24:57 LNG were in fact within a margin of 5 per cent

23 13:25:01 difference with PNG, and on many occasions they were

24 13:25:05 even lower than prices for PNG. And this is in fact

25 13:25:09 the key takeaway from this graph. Now, moving to

01 13:25:12 the

02 13:25:13 next point in this respect concerning

03 13:25:16 Dr Reichman's methodology for assessing respondents

04 13:25:18 market share. It was partially touched

05 13:25:23 upon in the claimant's presentation. What is the

06 13:25:26 appropriate size of the market? Because of course, the

07 13:25:28 respondents share would depend on this

08 13:25:31 determination. Now, what Dr Riechmann does he

09 13:25:35 considers the downstream volumes or what appears to be

10 13:25:38 downstream volumes per Prof

11 13:25:41 Dr Hildebrandt's

12 13:25:41 conclusions. Where is Prof?

13 13:25:43 Dr Hildebrand relies on upstream volumes

14 13:25:47 which reflect actual retail demand, plus commercial

15 13:25:51 sales between wholesalers. Now, there was a point

16 13:25:53 raised by

17 13:25:54 the opposing party concerning the alleged speculation, which is inherent

18 13:26:00 in this type of analysis, because the more

19 13:26:02 there are trades, as it suggests, the bigger would be

20 13:26:06 the market size. Well, I would respectfully disagree

21 13:26:09 with this

22 13:26:09 because of course, if you compare the VTT Croatia and

23 13:26:13 TTF price in the Netherlands, the difference would be

24 13:26:17 quite dramatic. And in fact, historically, TTF was

25 13:26:20 not always a separate market. It evolved into

01 13:26:24 becoming a separate trading market when it became the
02 13:26:27 most liquid hub in Europe. It's very hard to
03 13:26:31 compare
04 13:26:31 the most liquid hub in Europe with
05 13:26:35 VTT Croatia, with all due respect, but
06 13:26:38 evolutionary, if you consider the evolutionary
07 13:26:40 approach in the future, maybe if there are more traits
08 13:26:43 in Croatia, at a certain point in time, VTT Croatia
09 13:26:46 could become a separate market. But this is not the
10 13:26:49 current point of development of VTT Croatia and HERA
11 13:26:53 HERA, the national regulator for Croatia, confirms
12 13:26:57 this approach. Now, if we could move, can we go back for a
13 13:27:02 moment? Another issue which is particularly relevant
14 13:27:05 in relation to the dispute between the two experts is reliability
15 13:27:10 of Dr Riechmann's market share
16 13:27:12 calculations. During the cross-examination. Dr Riechmann.
17 13:27:18 Dr Riechmann reviewed the data presented in his exhibit CWS
18 13:27:25 598,
19 13:27:26 which provides information on different sources of
20 13:27:28 supply to Croatia. What
21 13:27:30 appears from this
22 13:27:31 document is that in 2022, gas entered Croatia from 19 different
23 13:27:35 countries via so-called indirect LNG imports and from
24 13:27:39 a further five countries via direct LNG imports. At
25 13:27:42 the same time, the annual report by HERA for 2022

01 13:27:47 shows that LNG in Croatia originated from four sources
02 13:27:51 from four countries, to be precise, so there is a
03 13:27:55 clear contravention between the data which is used. A
04 13:27:58 clear contradiction between the data which is used by
05 13:28:01 Dr Riechmann or the results of the code that he uses,
06 13:28:06 and the position of the national regulator in Croatia.
07 13:28:10 Now, if you can move further, there's the tribunal can
08 13:28:14 see the difference in the market size, which claimant
09 13:28:17 considers to be dramatic. And what I would like to
10 13:28:20 emphasise is that the difference appears in 2021. So following the
11 13:28:24 opening of terminal. And this is
12 13:28:26 exactly what Prof Dr Hildebrand emphasised during her
13 13:28:30 cross-examination. Moving to the next
14 13:28:32 slide. I will briefly address the Dukic decision,
15 13:28:36 which was also relied upon by claimant. Contrary to what claimant
16 13:28:41 suggested, this decision lists four
17 13:28:43 cumulative
18 13:28:44 criteria for the definition of the market for
19 13:28:47 wholesale supplies of gas for Denmark, which was the
20 13:28:49 subject of consideration in
21 13:28:50 that case, and the 4th
22 13:28:52 and most critical criterion in that case was that to
23 13:28:56 be considered supplies of gas for Denmark, those sales
24 13:28:59 were supposed to satisfy the needs of
25 13:29:02 customers in

01 13:29:02 Denmark. And this is exactly the reason
02 13:29:06 why Prof
03 13:29:07 Dr Hildebrand treats the volumes which were
04 13:29:11 swapped,
05 13:29:13 which claimant swapped, which stayed in Hungary as volumes
06 13:29:17 contributing to the
07 13:29:18 supply in Hungary. Because this is exactly in line
08 13:29:20 with the definition in the Don case. And of course,
09 13:29:24 in that case there was no mention of the
10 13:29:27 physical
11 13:29:27 origin of the gas. Moving further, I will just keep those slides
12 13:29:32 because the purpose was just to illustrate the shares
13 13:29:35 as estimated by the experts. Perhaps if we
14 13:29:38 could pause here for a moment, if the tribunal looks
15 13:29:44 into the red box, I think on the right side of the
16 13:29:46 slide, the tribunal would see the results of the
17 13:29:49 calculation of the market share of the respondent,
18 13:29:52 even if Prof Dr Hildebrand adds the swapped amounts
19 13:29:56 artificially to the market share of the respondent in
20 13:29:58 Croatia. And as you can see there below the dominance
21 13:30:02 threshold. And perhaps one last point in this respect
22 13:30:05 is that it is incorrect to suggest that
23 13:30:09 Prof Dr Hildebrand does not take into account the indirect sales. In fact, she does,
24 13:30:13 because she attributes all PGNiG in Croatia to the
25 13:30:16 respondent's market share. So this is a very

01 13:30:19 conservative approach. I would say. Moving further. The key point in relation to the substance

02 13:30:26 of the violation is that claimant allergies,

03 13:30:29 abuse on a different market. Dr Riechmann confirmed

04 13:30:33 in the joint experts' statement that gas

05 13:30:36 trading is a

06 13:30:36 distinct and separate product market. As I mentioned,

07 13:30:39 there is no contradiction in relation to TPH because

08 13:30:42 TPH is certainly much more involved

09 13:30:45 evolved than VTP and Croatia and of course, VP in

10 13:30:48 Croatia can follow the same destiny in the future but quite

11 13:30:52 distant future. And in the present

12 13:30:56 case, Dr Riechmann confirmed that

13 13:30:57 he did not make any determination for Croatia and

14 13:31:00 Hungary. He made a determination for Croatia and

15 13:31:04 Hungary only, but not for Dutch TTF price. So the

16 13:31:07 dominance of the respondent at the Dutch

17 13:31:10 TTF has not been moving further. We can probably skip skip this. Madam

18 13:31:21 Chair, how much time do I have left? 2

19 13:31:24 minutes. Okay.

20 13:31:25 MR HOLLAND: 3. 3.

21 13:31:26 MS SOLDATENKOVA: Yes. I will just briefly address the

22 13:31:30 modification and why modification is not unlawful.

23 13:31:33 If. Even if the tribunal establishes an abuse of

24 13:31:36 dominance. Well, 1st of all, before the tribunal can

25 13:31:40 even establish that abuse of dominance, which claimant

01 13:31:43 allergies the tribunal would need to consider. The
02 13:31:46 state action defence which respondent raised in the
03 13:31:48 present case. Now the doctrine. This doctrine
04 13:31:52 applies under article 102 of the treaty, and it
05 13:31:56 also applies to states outside the European Union.
06 13:31:58 If you move to the
07 13:32:00 next
08 13:32:02 slide. The tribunal can see a brief
09 13:32:04 summary of PPD arguments why this doctrine does not
10 13:32:06 apply, and basically what PPD suggests that there was
11 13:32:09 a margin of discretion with
12 13:32:11 which we disagree, for the reasons which were
13 13:32:13 explained by my colleague. And the same goes to the
14 13:32:16 exemption which was covered during the opening. If we
15 13:32:19 move further, there is also a civil law point, so to
16 13:32:23 say why this argument cannot be raised. The reason for this is that for the 1st
17 13:32:28 time,
18 13:32:29 claimant raised this ground for invalidity
19 13:32:31 of the modification on the 23rd of
20 13:32:35 December 2022. There is, as a tribunal
21 13:32:37 should be now aware, claimant had alternative
22 13:32:40 sources of supply starting from at least
23 13:32:44 November 2022.
24 13:32:45 So even if there was any abuse of
25 13:32:47 dominance with the claimant, certainly

01 13:32:49 claimant was no longer dependent on the respondent. In
02 13:32:54 November 2022. Now, if you can
03 13:32:57 just scroll further. Perhaps one
04 13:33:03 last point before I pause. So Mr Fulvus
05 13:33:05 counterfactual model was something which was heavily
06 13:33:08 relied upon by claimant as claimant suggested,
07 13:33:12 like the only model of the market situation which would show that respondent is for
08 13:33:18 some
09 13:33:18 reason
10 13:33:18 responsible for the price developments on the market.
11 13:33:20 Now, what's really important to consider about that
12 13:33:23 model was in fact admitted by Mr Fulwood is that this
13 13:33:26 is not a counterfactual against respondent.
14 13:33:29 This is a
15 13:33:30 counterfactual with respect to volume deficit on the
16 13:33:33 market in general. So even if 10 bcm would
17 13:33:37 come
18 13:33:37 not from the respondent but from some other parties,
19 13:33:41 say
20 13:33:41 from LNG supplier from Asia, well, the
21 13:33:45 result would be the same because under
22 13:33:48 Mr Fulford's model 10 bcm decreases the
23 13:33:51 prices. And it doesn't matter whether this comes from
24 13:33:54 the respondent or from the claimant. And there is a
25 13:33:57 separate slide. But I will pause here which explains
26 13:34:00 that actually none of the experts which were engaged

01 13:34:03 by claimant on this matter and tasked with different
02 13:34:05 aspects of its supplemental claim, none of those
03 13:34:10 experts established an abuse of dominance or a
04 13:34:12 breach.
05 13:34:13 All of them just considered an impact or an effect of
06 13:34:17 the respondent's conduct on the market. This would end my submission due to time
07 13:34:21 constraints, but further in this
08 13:34:22 presentation, the tribunal can see
09 13:34:24 some additional details on
10 13:34:25 competition law claim and some slides on damages,
11 13:34:28 which I think we discussed so extensively that I
12 13:34:30 wouldn't even go there today.
13 13:34:32 MR HOLLAND: Thank you very much, counsel, for this
14 13:34:35 presentation. We will now take as. Decided to take a. It says
15 13:34:47 20 minutes. Let's. We. We want to have the lunch
16 13:34:57 break. How would the parties want to to continue. Do you
17 13:35:03 want to have a one-hour break before we meet
18 13:35:07 again?
19 13:35:08 As you can see, respondent is of the opinion that
20 13:35:12 lunch break is appropriate now. Claimant.
21 13:35:14 MR HAUGENEDER: We have no objection against that.
22 13:35:16 PRESIDENT: Very good then. And we're very happy to have
23 13:35:19 a lunch break now, but let's make it maybe 45
24 13:35:22 minutes. Okay. 1 hour, one hour, one hour. We will resume at 235. 235.
25 13:35:31 MR HAUGENEDER: Madam President, yes. Before we we we

01 13:35:35 take the break, we would just like to put one thing on
02 13:35:41 the record during Mr c's presentation, there were
03 13:35:46 various statements and accusations about orchestrating
04 13:35:50 witness
05 13:35:50 evidence, manipulating the evidence intentionally
06 13:35:56 misleading the tribunal. We reject these accusations in the
07 13:36:03 strongest terms, and we find the language that was used totally inappropriate
08 13:36:11 and unnecessary.
09 13:36:15 PRESIDENT: Respondents reply and statement is duly
10 13:36:19 noted. Claimants. Claimants. Thank
11 13:36:24 allergies.
12 13:36:25 Thank you. 13235.
13 14:33:05 PRESIDENT: So welcome back. We're now opening a
14 14:33:07 procedural hearing procedural conference. This is
15 14:33:11 mismanagement
16 14:33:11 conference number 3. If I'm not wrong, we have
17 14:33:14 two
18 14:33:14 matters on our agenda. First, tribunals questions. So
19 14:33:20 at this point, the tribunal has no questions to
20 14:33:23 share with the parties.
21 14:33:25 We are going to ask you questions as to
22 14:33:28 procedural matters. And there are two main. Items on
23 14:33:34 our agenda. First claimants, which I
24 14:33:36 used to call option three
25 14:33:38 application. Now it is called it is named

01 14:33:42 split award

02 14:33:43 application. So we will hear the claimant's

03 14:33:46 application in this respect and we'll hear the

04 14:33:50 respondents views. The 2nd point on the agenda is the post

05 14:33:56 post-hearing procedural steps

06 14:33:58 procedural matters. Those are

07 14:34:00 the two main items. But maybe, claimant, you have you

08 14:34:05 would like to add something to the

09 14:34:08 agenda.

10 14:34:08 PRESIDENT: No thank you.

11 14:34:10 MR TALANOV: Responded no thank you.

12 14:34:12 PRESIDENT: Claimant, would you like to start with the

13 14:34:16 split award application?

14 14:34:18 PRESIDENT: Yes.

15 14:34:19 PRESIDENT: You mentioned this morning, which is

16 14:34:21 maintained. We understand.

17 14:34:24 PRESIDENT: The. We refer to the application that we

18 14:34:26 already made and we maintain it. We. We maintain it for the, the, the

19 14:34:35 reasons we set out in, in the

20 14:34:38 application. In addition, we would like to stress the

21 14:34:45 following. If you. If you go to pages 139, 140, 141

22 14:34:57 and 143 of our of our presentation of today, this is the

23 14:35:01 table that we have already shared with the

24 14:35:05 tribunal. You will see how many variables there are. And some of

25 14:35:11 those, many of those

01 14:35:14 have been addressed
02 14:35:16 in the examination of the
03 14:35:18 experts. Now, we believe it is efficient and
04 14:35:29 fair for
05 14:35:29 the parties to allow to address them all aspects of quantum to 1st determine in a in a
06 14:35:40 1st award, which. So to say, on which side you decide for each of these variables,
because
07 14:35:50 otherwise in our post-hearing
08 14:35:52 submissions we will face the quite substantial problem
09 14:35:58 that we will have for any possible combination, we will
10 14:36:04 have to specify quantum because we don't know in
11 14:36:08 which direction you might go on on each of these
12 14:36:11 variables. So the matrix for a
13 14:36:15 decision on
14 14:36:16 quantum is is, is quite complex. And therefore we suggest that
15 14:36:23 it
16 14:36:24 is
17 14:36:25 efficient to 1st plead the. And decides the principles of of quantification
18 14:36:37 which we submit should be these
19 14:36:41 variables that that you see here. And then after that
20 14:36:45 has been determined in an award on liability and on principles of quantum
21 14:36:53 calculation to
22 14:36:56 actually submit the the. Full the full calculation of
23 14:37:04 the,
24 14:37:05 of of the quantum of the party's claims based on, on your decision,
25 14:37:10 because

01 14:37:11 otherwise we would be facing the, the
02 14:37:16 problem
03 14:37:16 that we would have to address all possible sorts of, of
04 14:37:22 combinations of, of quantum, which would take
05 14:37:28 significant time to address in, in post-hearing submissions and,
06 14:37:34 and will also
07 14:37:36 involve a lot of unnecessary work for the experts who
08 14:37:40 will,
09 14:37:41 will have to perform quantum calculations that ultimately will not be retained and
not be used in an
10 14:37:50 award. So we,
11 14:37:52 we suggest and submit that in addition to the
12 14:37:58 fairness and, and due process arguments that we have
13 14:38:01 already submitted, and I'm not going to repeat them
14 14:38:02 here. But in addition, in addition to this efficiency
15 14:38:08 considerations militate in favour of of having this split award
16 14:38:15 and
17 14:38:15 then in a, in a 2nd phase update, the quantum calculations
18 14:38:22 based on the 1st decision, only submit an updated
19 14:38:31 quantum calculation for this 2nd phase and then have an award on quantum, which
we believe will be
20 14:38:41 this. This will involve significantly less effort because it will. It
21 14:38:46 basically only concerns the actual quantification.
22 14:38:49 The experts may still disagree on how to calculate
23 14:38:54 certain parameters, but we believe that the the differences
24 14:39:00 between the experts should be very, very
25 14:39:04 considerably narrowed down. If if this approach is

01 14:39:09 adopted.

02 14:39:13 PRESIDENT: Let me ask you two questions. First

03 14:39:19 question. At this point in time, have those.

04 14:39:24 Have the experts on quantum completed a full determination or

05 14:39:31 assessment of the quantum.

06 14:39:34 MR HAUGENEDER: They have, but not. Of course not. Not

07 14:39:38 for all variables, because the experts have retained

08 14:39:42 those

09 14:39:43 choices which they were of the opinion are

10 14:39:48 appropriate. So if there is a full quantification of our of all

11 14:39:52 our claims on the record, and sometimes there are also

12 14:39:57 alternative calculations. But what is not on the record is

13 14:40:02 a full alternative calculation of all

14 14:40:06 possible combinations, because that is simply too

15 14:40:08 complex.

16 14:40:10 PRESIDENT: The 2nd point is this becomes relevant

17 14:40:15 when the tribunal reaches the point of examining the

18 14:40:22 disputed quantum parameters. That means, in the work

19 14:40:27 of the tribunal, whether

20 14:40:30 it is reasonable or fair or appropriate to split the

21 14:40:36 dispute into two awards, it is to be actually examined

22 14:40:44 upon the determination of any principles or of

23 14:40:52 liability and entitlement to damages. What you're

24 14:40:56 asking us to do, if I understand, is

25 14:40:59 to make a determination on a split award before we

01 14:41:06 receive the posturing submissions and before we

02 14:41:11 actually deliberate on jurisdiction liability and

03 14:41:14 quantum.

04 14:41:16 MR HAUGENEDER: We we suggest that the tribunal makes a

05 14:41:21 decision in principle on, on, on the split award

06 14:41:25 application as soon as possible. And we would suggest within 28

07 14:41:30 days,

08 14:41:33 because that will not not whether not not on the

09 14:41:37 determination of, of, of the the the substance, but simply on whether the post-hearing

10 14:41:48 briefs should deal

11 14:41:49 with

12 14:41:52 issues of

13 14:41:58 liability and principles of quantum, and then leave out the

14 14:41:59 actual

15 14:42:03 calculation, the actual determination, or whether the

16 14:42:07 post-hearing briefs should deal with all aspects of

17 14:42:11 the case, because that would be a quite significant task,

18 14:42:15 because then we would have to not only address all

19 14:42:17 these variables, but we would also have, and the

20 14:42:24 experts would also have to submit a detailed

21 14:42:31 calculation of all possible combinations of, of,

22 14:42:31 of

23 14:42:31 parameters.

24 14:42:44 PRESIDENT: Okay. You have answered my my 2nd question.

25 14:42:46 So I had two questions, but you have answered my 2nd

question. Before we hear the respondent, let me

01 14:42:52 invite my co-arbitrator if they have any questions,
02 14:42:56 because what you're asking us is to make, within the coming weeks,
03 14:43:02 a determination on split of issues to be
04 14:43:08 determined without having examined the posturing
05 14:43:13 submission, without the benefit of the
06 14:43:16 post-hearing
07 14:43:16 submissions, because you need that determination, if I
08 14:43:20 understand your views correctly, to complete to
09 14:43:25 determine whether you are going to deal
10 14:43:27 with this in your post-hearing submissions.
11 14:43:30 MR HAUGENEDER: We are going to deal with the principles
12 14:43:33 of quantum calculation. In any event in the
13 14:43:38 post-hearing submissions, what would be an
14 14:43:44 additional significant effort is
15 14:43:48 not only to decide on the principles, but also to
16 14:43:53 actually calculate the numbers for each possible
17 14:43:58 combination. Because what we have so far is a calculation of
18 14:44:04 our claim, where certain certain of these parameters are
19 14:44:10 decided in one or the other direction, and the parties
20 14:44:13 disagree on those points. So we believe the the actual calculation. If you,
21 14:44:20 for instance, say on this point I go with the
22 14:44:22 respondent
23 14:44:23 on this, I go with the claimant, then it will be
24 14:44:28 very
25 14:44:29 difficult for the tribunal, we believe, to make an

01 14:44:33 actual calculation of the outcome.

02 14:44:36 PRESIDENT: Then this is clear. Let's hear the

03 14:44:38 respondent.

04 14:44:39 MS SOLDATENKOVA: Members of tribunal. We maintain our

05 14:44:41 objection to this application, which should properly

06 14:44:44 be qualified as a bifurcation application, because

07 14:44:46 there is no separate notion of a split award, and

08 14:44:49 □202603270117 there are several points in this respect which give

09 14:44:51 rise to our objection. First of all, just a

10 14:44:54 procedural observation. This is the 2nd bifurcation

11 14:44:57 application which is submitted by the claimant very

12 14:45:01 shortly before before the tribunal proceeds to

13 14:45:04 actually start considering the dispute to render the final award. The previous

14 14:45:09 application, as the

15 14:45:10 tribunal would recall, was made

16 14:45:12 shortly before the CMC on the 17th of February 2026, and

17 14:45:17 the basis was completely different. The basis was

18 14:45:19 that claimant was concerned. Claimant

19 14:45:23 was concerned about the prospects of annulment of the

20 14:45:26 arbitral award, and for that reason, claimant

21 14:45:28 asked the tribunal to render an arbitral

22 14:45:31 award without quantum specifically to be able to seek annulment of that award
without paying

23 14:45:38 an elevated

24 14:45:39 court fee. Now the base is shifted. Now the basis seems to be the issue

25 14:45:43 of quantum solely, and

01 14:45:45 there is quite a detailed submission in the slides
02 14:45:47 in
03 14:45:47 this respect. And this brings me to the 2nd point,
04 14:45:51 which is that this further application still does not
05 14:45:55 meet the grounds for
06 14:45:57 bifurcation, which are primarily cost
07 14:46:00 efficiency and procedural efficiency and time efficiency. And in the present case,
08 14:46:07 these proceedings have been running
09 14:46:09 for quite a lot of time,
10 14:46:14 so to say, and the parties have exchanged substantial number of submissions,
11 14:46:18 and the experts have prepared a joint
12 14:46:20 statement both on the contract limb and in the claim.
13 14:46:23 So the experts had an opportunity to try to reach
14 14:46:23 an
15 14:46:26 agreement. But the experts, as the tribunal could
16 14:46:26 see, could not reach an agreement on many issues.
17 14:46:29 And
18 14:46:29 the problem here is inherent within the claimant's proposal that in every arbitration,
19 14:46:36 the experts would have
20 14:46:36 different views on the methodology and on the
21 14:46:38 quantum. This is completely natural and this is not
22 14:46:41 a
23 14:46:42 reason to bifurcate the proceedings. After all, the
24 14:46:45 associated
25 14:46:45 costs were already incurred
26 14:46:48 and we also we share the concern that if the tribunal
27 14:46:52 is to determine the bifurcation issue before

01 14:46:54 considering the post-hearing briefs, which would definitely reflect the evidence
02 14:46:59 given during these hearings, that would
03 14:47:01 clearly be prejudicial and generally, we do not see a
04 14:47:07 basis here for any split award. Now, as I mentioned,
05 14:47:12 the experts try to reach agreement on methodology.
06 14:47:15 They try to reach agreement
07 14:47:17 on quantum essentially, but the experts hold their views. Maybe
08 14:47:22 my colleague has something to add.
09 14:47:24 MR TALANOV: Yes. There is just one more issue that I
10 14:47:28 think should be relevant and it has has been just
11 14:47:32 emitted already by the counsel for the claimant.
12 14:47:37 There has
13 14:47:38 already been all calculations made and they are
14 14:47:40 already on the record. And therefore, even if the
15 14:47:45 experts would have any guidance as to the same
16 14:47:49 principles as the claimant calls it, it will not change the
17 14:47:53 calculations effectively. And I am afraid
18 14:47:56 that yet again, those issues of economic
19 14:48:02 expertise is
20 14:48:03 not something that the tribunal may
21 14:48:08 decide on itself. I mean, without the assessment
22 14:48:11 of those reports that are already on the record.
23 14:48:15 So
24 14:48:15 to our understanding, both teams of experts
25 14:48:19 have provided all possible evidence and documents and

01 14:48:24 all calculations they considered possible, available.

02 14:48:28 And therefore, in this format, we really don't see any

03 14:48:32 value in doing that to the benefit of the tribunal.

04 14:48:35 MS SOLDATENKOVA: Sorry, I forgot two additional points

05 14:48:37 in this respect. So the tribunal would also recall

06 14:48:40 that there was a

07 14:48:40 bifurcation application from the respondent at the

08 14:48:43 outset of this proceedings, and we believe that that

09 14:48:45 was the appropriate moment to also submit a request to

10 14:48:48 have a split award or essentially bifurcation

11 14:48:52 application. This is usually determined at the

12 14:48:54

13 14:48:55 outset, and in relation to the potential concern

14 14:48:57 that the

15 14:48:57 tribunal would not have a number to include into

16 14:49:00 the award, because the tribunal chooses a methodology which was not calculated, it's

17 14:49:06 not a reason to split

18 14:49:07 the award. The tribunal could potentially invite the parties to make

19 14:49:10 a submission on this very limited

20 14:49:12 basis, to basically provide a calculation that

21 14:49:16 probably ends the points which we wanted to raise.

22 14:49:23 PRESIDENT: Well, I have two questions. The claimant has

23 14:49:27 referred to the table of disputed quantum parameters,

24 14:49:30 which been made available to everyone since the last

25 14:49:35 hearing on February 17. Do you have any comment on on these disputed this list of
disputed quantum

01 14:49:45 parameters. Do you agree or do you
02 14:49:49 disagree on each of these heads of items under each
03 14:49:52 head of claims and counterclaims? Thus, these are relevant
04 14:49:59 disputed parameters.

05 14:50:03 MS SOLDATENKOVA: Members. We did not participate in the
06 14:50:07 so to say, preparation of the table. We did not until
07 14:50:10 today know that that would be the basis basically for
08 14:50:13 the new bifurcation application. So we did
09 14:50:15 not review it. I would say to a sufficient
10 14:50:17 extent to comment on it immediately.

11 14:50:20 PRESIDENT: Because this was submitted together with
12 14:50:23 option three, you remember. So that was a bit
13 14:50:25 understand that on 17 of February it was not you had
14 14:50:31 no chance to review it. Now the the application is
15 14:50:35 maintained today. So what is important at some stage
16 14:50:41 is to the tribunal to know whether on each of these
17 14:50:45 items you agree or you disagree, that these are
18 14:50:49 disputed quantum
19 14:50:50 parameters that needs to be addressed by the tribunal.

20 14:50:52 Now, I understand it was prepared by claimant,
21 14:50:59 but at some point we need some
22 14:51:01 methodology
23 14:51:01 within the tribunal. So you may disagree
24 14:51:04 as to whether these parameters should
25 14:51:06 be decided in

01 14:51:09 later or at a earlier, but you may have a view on what is
02 14:51:15 supporting the
03 14:51:15 claimant's application. Maybe it's too early this
04 14:51:18 afternoon, but so that that is a
05 14:51:23 question the tribunal
06 14:51:24 has.

07 14:51:25 MS SOLDATENKOVA: So we are ready to comment if that is
08 14:51:28 helpful to the tribunal on this table in more detail,
09 14:51:31 but we would prefer to do this in writing if possible.

10 14:51:33 But I I'm actually told by the expert team of a very
11 14:51:37 important point that in relation to the calculation,
12 14:51:39 the general concern that claimant raises, that in
13 14:51:42 fact, those workbooks, the workbooks which experts
14 14:51:46 submit together with their reports, those Excel
15 14:51:48 sheets, they have an option where you can adjust the
16 14:51:51 calculation depending on different parameters. So
17 14:51:54 basically, if the tribunal disagrees, for example,
18 14:51:57 with one element of the methodology, it can simply
19 14:52:00 switch in this Excel sheet, this parameter, it can
20 14:52:03 switch it off, or it can apply an additional parameter. Essentially the workbooks, at
21 14:52:09 least on our
22 14:52:10 side, I understand already provide for this option.

23 14:52:19 PRESIDENT: The 2nd point I would like to ask you has to
24 14:52:23 do with the timing of the tribunal's decision, because
25 14:52:26 the tribunal will have to make a determination on

01 14:52:29 whether to to render a partial award and to split the
02 14:52:35 final decision into one or two award. I mean, to to
03 14:52:38 split it or not. What is your view on the timetable
04 14:52:46 submitted on slide 137? That was just explained to
05 14:52:51 the tribunal.

06 14:52:52 MS SOLDATENKOVA: Just a moment. We will double-check
07 14:52:54 the data.

08 14:52:59 MR TALANOV: So the proposal of the claimant is for that
09 14:53:02 to be determined within 28 days, as we understand.

10 14:53:06 Well, as we said, we believe it would be prejudicial
11 14:53:10 to decide that prior to the post-hearing submissions
12 14:53:14 filed, and we believe that the parties could
13 14:53:19 potentially try to reach some solution or maybe narrow
14 14:53:23 down the issues on that and have that filed together
15 14:53:27 with the post-hearing submissions potentially, and
16 14:53:30 then afterwards, the tribunal, in any case, can make
17 14:53:34 directions to the parties that it deems necessary if
18 14:53:37 something would be missing.

19 14:53:39 So that could
20 14:53:39 be an
21 14:53:42 option.

22 14:53:44 PRESIDENT: Reply. Do you have any questions?

23 14:53:46 MR HAUGENEDER: I'm just not certain if you would be so
24 14:53:49 kind to perhaps re-explain your proposal. I'm not
25 14:53:52 sure I fully understood its content, so.

01 14:53:57 MR TALANOV: I believe that the post-hearing submissions
02 14:54:01 shall be prepared together with the post-hearing
03 14:54:03 submissions, parties can explain further views and
04 14:54:08 proposals with respect to this issue. And in
05 14:54:12 parallel, while preparing the post-hearing
06 14:54:14 submissions, the parties may try to reach some common
07 14:54:18 ground and try propose some common vision of this kind
08 14:54:23 of a table or methodology, as we call it. And then
09 14:54:27 having observed the post hearing submissions and that
10 14:54:30 additional document, the tribunal may call a CMC or
11 14:54:35 decide how to proceed best further.
12 14:54:38 PRESIDENT: Claimant.
13 14:54:39 MS SOLDATENKOVA: Thank you.
14 14:54:40 MR HAUGENEDER: First of all, to to clarify, we have made
15 14:54:45 the application long ago and also this table is long
16 14:54:51 before the tribunal and also the respondent has this
17 14:54:54 table for some time. So this is still the same
18 14:54:57 application. This is not a new application. And and
19 14:55:00 we believe it could have been addressed. And I think
20 14:55:04 that was the initial planning of the tribunal.
21 14:55:11
22 14:55:11 Second, the absence of agreements on the parameters between
23 14:55:19 the experts and the parties is actually, in
24 14:55:23 our view, a reason why the the proposed approach is
25 14:55:29 reasonable, because it is true. Part

01 14:55:34 experts sometimes often disagree on on methods and
02 14:55:39 principles as well as on calculation. But there are few
03 14:55:44 cases where there are so many parameters which are so
04 14:55:50 difficult to determine. Third, there is we do not fully understand how the. How
05 14:56:02 how the respondents proposal should work in practice
06 14:56:05 because if we now make if we now make a submissions on liability and quantum
07 14:56:19 principles and. The tribunal
08 14:56:25 should then give directions what to calculate. This is, in
09 14:56:27 essence a
10 14:56:32 decision on. On the substance of these disagreements between the parties so that we
11 14:56:33 believe
12 14:56:33 can as well
13 14:56:38 be
14 14:56:42 made in an award. And it will then also have the the, the
15 14:56:47 additional benefit that this issue is then
16 14:56:56 determined and may not be reopened because it is
17 14:56:59 Decatur. And lastly, on complexity, we strongly disagree
18 14:57:04 that that it would be possible for the
19 14:57:09 arbitral tribunal to calculate the. The quantum based
20 14:57:13 on the workbooks submitted by the experts and
21 14:57:16 Mr Holland will address you on this point further.
22 14:57:20 MR NEFEDIEV: We have two points to make on complexity in
23 14:57:24 a billion dollar gas dispute. And could we 1st go to
24 14:57:28 one of the documents that the respondent admitted to
25 14:57:34 the record as a demonstrative. During this week's
hearing? It is RED-40. And what that is, is an
updated chart from the quantum

01 14:57:36 experts Fidem. And it was submitted for the purpose of showing what we
02 14:57:43 call a a waterfall. That is a way
03 14:57:52 of
04 14:57:52 showing on a graph the impact of different variables.
05 14:58:11 MR HAUGENEDER: We're trying to show the document.
06 14:58:38 MR HOLLAND: So this is the document to explain what this
07 14:58:40 is. This is an updated
08 14:58:44 worksheet to respondents. Quantum experts. Quantum
09 14:58:51 report. And the worksheet was submitted to allow
10 14:58:58 what
11 14:58:59 appears to be at 1st impression, a helpful way of showing the
12 14:59:07 interrelation between on the left-hand side,
13 14:59:12 Mr Way's calculation of the correct outcome on the
14 14:59:19 right respondents counter to that, and the steps
15 14:59:23 of
16 14:59:24 the different variables in. In order to get
17 14:59:28 there.
18 14:59:29 And I said that this seemed on 1st impression to be
19 14:59:35 helpful. But if you look at the small text underneath
20 14:59:43 this graph, it reads, for the avoidance of
21 14:59:46 double counting, the adjustments are presented with a
22 14:59:50 cumulative effect.
23 14:59:52 Therefore, the effect of each adjustment also includes the results of
24 14:59:56 the previous adjustment and may not
25 14:59:59 correspond to the individual effects, ie, without

01 15:00:04 other adjustments applied which were described in
02 15:00:07 the
03 15:00:08 in paragraphs above. And so this helps to explain how
04 15:00:14 hard it is to isolate the correct number when. In
05 15:00:21 order to arrive at that number, you take a series
06 15:00:25 of
07 15:00:25 decisions, one after the other, where the
08 15:00:29 sequence and
09 15:00:30 outcome of each binary choice is, is impacts on,
10 15:00:35 on,
11 15:00:35 on the other. And so even this table, which is the
12 15:00:41 height of the party's ability to assist you in
13 15:00:46 isolating the economic effect of the choices you must make, is incapable of telling
14 15:00:56 you, without help from
15 15:00:56 the
16 15:01:04 experts. Further, what the outcome of your sequence of
17 15:01:04 choices will be. So and
18 15:01:06 this is common in. In cases like this. And our 2nd
19 15:01:13 submission. By the way, this is that was obviously just one input.
20 15:01:20 It was one
21 15:01:21 element of the case. But if you go back to perhaps
22 15:01:26 the table from the opening this morning, our opening
23 15:01:30 this morning, supporting the split award. And a page 100 and. 40. So what, for
24 15:01:30 example, would be the effect of at row 10, deciding that the volume of gas
25 15:01:57 to calculate PPD's loss would be,
26 15:01:59 let's say, in
27 15:02:00 favour of respondent 86 per cent plus that damage.

01 15:02:07 Looking at row 14. Looking at the date of of assessment and the date of
02 15:02:16 discounting, let's say it was the date of the
03 15:02:20 award, which is what claimant
04 15:02:23 says. Plus, if you go down to row 16, that's on page 1 for 1
05 15:02:33 set of. So
06 15:02:34 let's say the set off applies, but not retrospectively
07 15:02:40 for example. And, and and so on and so forth. So the,
08 15:02:46 the the overall
09 15:02:50 ability to reach a
10 15:02:54 known number, a fee certain in this case,
11 15:02:59 without assistance from the experts and the parties.
12 15:03:06 Should not be underestimated. And we, we challenge respondents view that this part
13 15:03:17 of the
14 15:03:18 case could
15 15:03:22 proceed so smoothly when. For the last four
16 15:03:29 years there has been little agreement between them.
17 15:03:37 PRESIDENT: Let me ask you a question. On the parameters
18 15:03:47 that apply to the counterclaim. Which is on
19 15:03:53 slide 143. Loss of future profit item two
20 15:03:57 whether article 10 and 11 of the regulations are
21 15:04:01 applicable, such as no damage arise or whether the
22 15:04:04 mechanism becomes inoperative on 12 June as a
23 15:04:05 result
24 15:04:08 that no damage apply there. In that table.
25 15:04:09 There is
no reference to any expert quantum determination, is

01 15:04:14 there?

02 15:04:14 MR HOLLAND: Well, let's think about this. So if you

03 15:04:19 were looking at the counterclaim, the tribunal's

04 15:04:22 choice would be that the claimant was in breach of the

05 15:04:25 contract. And and so you would be considering whether

06 15:04:31 the claims were prevented or not to be satisfied. And

07 15:04:36 you would be considering other issues like that. But

08 15:04:40 you would also have, at least on one scenario. A

09 15:04:47 finding that there might be damages due under the

10 15:04:51 separate claims

11 15:04:51 under the market manipulation

12 15:04:54 claims.

13 15:04:54 Then even in that scenario, it would be

14 15:04:58 necessary to establish that amount, whether it

15 15:05:00 should be set off, the date of which set off

16 15:05:04

17 15:05:04 should, should apply, and so on. And so, whilst it

18 15:05:11 may appear that some of these are binary, there are

19 15:05:17 others that are not or force majeure. For example, when was force

20 15:05:21 majeure? The 1st of April is

21 15:05:25 contended

22 15:05:25 for. The 31st of October is contended for. The 19th

23 15:05:30 of January 2023 is contended for. And.

24 15:05:35 PRESIDENT: And that's a factual determination to be made

25 15:05:37 by the tribunal, is it not?

01 15:05:39 MR HOLLAND: It of course, but the quantum impact of that
02 15:05:44 may be relevant because if force majeure took took
03 15:05:47 effect on a certain date, damages would have accrued
04 15:05:51 and interest and on claim on respondent's case
05 15:05:54 penalties would have accrued and interest on the
06 15:05:57 penalties would have accrued and interest on interest.
07 15:06:00 PRESIDENT: Would I hear you on the interest point? But
08 15:06:03 we agree that, for example, on the counterclaim table
09 15:06:07 there's no reference to any expert disagreement on
10 15:06:13 quantum on the calculation of the quantum that might
11 15:06:15 have. There are implications, of course, on interest.
12 15:06:19 But in the table you provided. We don't see this.
13 15:06:23 MR HOLLAND: Well for the counterclaim where you'll have
14 15:06:25 heard our submissions that there is very. There is no
15 15:06:31 evidence on which the counterclaim should succeed.
16 15:06:36 The lost profits counterclaim, it's it's respondent's
17 15:06:40 burden. Were you to be looking at the counterclaim,
18 15:06:43 to have established the reasonable steps to mitigate
19 15:06:47 and to therefore have established the loss which can
20 15:06:51 be claimed under CISG 77 and so were you to find for
21 15:07:00 respondent in the scenario suggest you suggest if you
22 15:07:04 were not able to calculate that amount because of an
23 15:07:08 absence of data, not an absence of of mathematics, but
24 15:07:14 an absence of data, then that is a that is a different
25 15:07:18 matter.

01 15:07:18 PRESIDENT: I think. My, my, what I wanted to point to
02 15:07:22 is to try to identify in that tables disputed points
03 15:07:27 that were a matter of actually disputed quantum that
04 15:07:32 needed further elaboration rather than. Determination
05 15:07:42 of either entitlement or breach or entitlement to
06 15:07:47 quantum. So I try to to see where the fine line goes
07 15:07:51 as I see it, when there is a reference to the expert
08 15:07:55 report, it looks very clear to me. It looks less
09 15:07:59 clear when you refer to submissions, for which it
10 15:08:03 seems that you have not relied either party on quantum
11 15:08:09 expert determination for the calculation of these
12 15:08:11 issues. So that was all my my concern. So it seems
13 15:08:15 to apply for all the claims for historical damages,
14 15:08:21 future damages and GTA damages. If the line is less easy for me to
15 15:08:27 see for the market manipulation claim,
16 15:08:30 in view of the tables provided and the counterclaims that that that's when I when I
look at the references.
17 15:08:39 MR HAUGENEDER: Maybe maybe two observations on that 1st.
18 15:08:41 PRESIDENT: And then I'll invite, respond.
19 15:08:43 MR HAUGENEDER: On, on, on the claims. Of course, we
20 15:08:47 have provided these calculations and the calculations
21 15:08:50 are referenced in our submission. So we have not each
22 15:08:54 time made cross references to the experts position as
23 15:08:58 well. So if you go to the submission there, you will find
24 15:09:03 a
25 15:09:04 reference to the expert reports. And then as, as,

01 15:09:07 as we said before it, there are so
02 15:09:12 many combinations. For instance, if
03 15:09:14 you look at force majeure, the question is what legal
04 15:09:18 consequence it flows from from force majeure is can any party. And from when on,
can a
05 15:09:29 party claim damages. If there is
06 15:09:31 a force majeure
07 15:09:33 event and for which duration. So for
08 15:09:37 that we have. We. It is practically not possible to.
09 15:09:46 To make alternative calculations for all the possible
10 15:09:52 scenarios that could arise from the parties pleadings.
11 15:09:57 PRESIDENT: I have another question because it's a
12 15:10:00 follow-up question. Then we'll hear the respondent in
13 15:10:04 your option three application. I will read it here.
14 15:10:07 It was like 27. Sorry, I thought it was February, but
15 15:10:09 actually the hearing was on January 13. It is stated
16 15:10:14 on slide 27. Option three. The tribunal decides in a 1st award only all
17 15:10:21 liability issues under principles
18 15:10:24 of quantification, but not the actual quantum. The award on quantum is made after a
potential court review of the
19 15:10:34 1st award, and is
20 15:10:36 limited to the quantification of the monetary
21 15:10:41 claims.
22 15:10:41 So do you still maintain this as a ground for your
23 15:10:44 application?
24 15:10:45 MR HAUGENEDER: We still maintain this, but already in in
25 15:10:48 the last procedural hearing, we made the point that

01 15:10:53 this is a possibility to allow the parties to
02 15:11:02 factually make such a court to apply for such a court
03 15:11:05 review at at a reasonable cost, otherwise the costs
04 15:11:10 would be prohibitive. That having said that, nothing.
05 15:11:16 There is. We cannot predict whether any party will
06 15:11:20 make such a. A request to the courts. So this. The.
07 15:11:27 This split award would give the parties the
08 15:11:31 opportunity to make such an application to the courts.
09 15:11:37 But of course, the decision as to whether to proceed
10 15:11:41 with the arbitration and when to proceed is entirely
11 15:11:46 yours and is within your control. But the parties
12 15:11:49 would. Both parties would have the opportunity to make
13 15:11:55 the. To to apply to the courts and not have to pay exorbitant court fees, but that that
14 15:12:05 that is a fairness argument. But we also submit that these
15 15:12:12 efficiency
16 15:12:14 arguments that we
17 15:12:15 have now submitted are
18 15:12:17 also. And on top of that, compelling.
19 15:12:21 PRESIDENT: Thank you. This is clear responded.
20 15:12:24 MR TALANOV: Yes, I would start a few points that I
21 15:12:27 wanted to make in response to the arguments by the
22 15:12:32 learned colleagues. There was a reference to this
23 15:12:36 document Mr Holland was showing. However, I would
24 15:12:40 need to refer to a document called r30380. It is not
25 15:12:46 only that demonstrative that is there, but it also

01 15:12:50 gives. Spreadsheets with individually accounted
02 15:12:56 aspects determined. There are.
03 15:13:01 MS SOLDATENKOVA: Yes, there is a field titled control,
04 15:13:04 namely where you can apply all those filters and see
05 15:13:08 the combinations. So the waterfalls are no more than
06 15:13:10 just an illustrative example, of course, when I was
07 15:13:13 referring to a possibility to determine different
08 15:13:17 quantum modes, I was not referring to that waterfall.
09 15:13:20 I was referring exactly to the control field.
10 15:13:23 MR TALANOV: So the experts have already done that work
11 15:13:25 and it is available. Second, with respect to the
12 15:13:31 interest calculations and some of the other things
13 15:13:32 raised by the claimant, we believe that it is typical
14 15:13:37 of any arbitration and the arbitral tribunal is fully
15 15:13:41 equipped to do that. It does not require any
16 15:13:44 additional involvement of experts. And then there is
17 15:13:49 one more thing that I wanted to make to make clear it
18 15:13:52 has been agreed between the parties and also confirmed
19 15:13:55 by Dr Koller in this arbitration that in accordance
20 15:14:00 with paragraph 273 of the Austrian code of Civil
21 15:14:07 procedure, there is a clear rule with respect to
22 15:14:11 circumstances when the tribunal is called to decide on
23 15:14:15 complex matters of quantification of damages, and it
24 15:14:20 clearly says, I will read it, that if it is
25 15:14:23 established that a party is entitled to compensation

01 15:14:26 for damages or interest, and that it has another
02 15:14:29 claim, but proof of the disputed amount of the damages
03 15:14:32 or interested to be compensated, or the claim itself
04 15:14:35 cannot be provided at all or only with
05 15:14:38 disproportionate difficulty. The court may, upon
06 15:14:41 application or ex-officio, even disregard evidence
07 15:14:45 offered by the party, determine this amount according
08 15:14:47 to its own conviction. So the applicable procedural law
09 15:14:51 is also contrary to the proposal of the claimant.
10 15:14:56 And lastly, we strongly believe that it is. Related to
11 15:15:03 get to this point. Now, given that we already
12 15:15:08 incurred costs on several fee reports, several
13 15:15:12 Mr Way's reports to be reports,
14 15:15:15 and therefore there is
15 15:15:18 no cost efficiency in this approach. And clearly it is
16 15:15:24 in a way, an issue that needs to be also taken into account given the
17 15:15:29 length of the proceedings and the
18 15:15:32 concerns that we raised with respect to the reduction
19 15:15:38 of
20 15:15:38 assets available to the respondent on the side of the claimant. And in any
21 15:15:45 case, it is the burden of
22 15:15:47 proof of every party to demonstrate, with ample evidence, all
23 15:15:55 necessary heads of claims and explain the calculation
24 15:15:59 of it.
25 15:16:00 Therefore, if the parties following so many reports

01 15:16:04 submitted failed to meet this burden of proof, we would not consider it

02 15:16:08 ☐202603270136 prudent to give the parties

03 15:16:10 any further chances to do that, and especially given there is a

04 15:16:16 part of the claim of GPE that is three more

05 15:16:21 than 300 million which is not disputed and it's in any

06 15:16:24 case, there. So we believe that the parties had ample

07 15:16:28 opportunities to present their case.

08 15:16:29 MS SOLDATENKOVA: To be precise, the number is

09 15:16:33 455 million, because that is both the unrepaid debt

10 15:16:36 and the penalties, which are not disputed by the other

11 15:16:39 side in terms of quantum, they are disputed in terms

12 15:16:43 of claimant's reference to other grounds, why those

13 15:16:46 amounts should not be repeated, but not quantum. And

14 15:16:49 one last point perhaps we also do not understand the

15 15:16:52 references of claimant to the need to address quantum

16 15:16:55 exhaustively in the post-hearing briefs,

17 15:16:58 because respondents understanding was that a post-hearing brief is a submission
which

18 15:17:02 does not add anything new

19 15:17:03 to the party submission, but rather, of course, take

20 15:17:06 stock of the hearing. But we did not understand it to

21 15:17:10 be the evolution of the position.

22 15:17:15 MR HAUGENEDER: Could could we please reply on this new

23 15:17:18 point on on additional.

24 15:17:20 PRESIDENT: Yes.

25 15:17:22 MR HAUGENEDER: 237 of the Austrian civil procedure code.

01 15:17:25 First of all, it's not part of the arbitration law.

02 15:17:30 So it does not and certainly not directly apply in

03 15:17:35 this arbitration. And secondly. Second, even if it

04 15:17:38 were to apply, it applies when the quantum of a claim

05 15:17:45 can not be proven or only be proven with

06 15:17:48 disproportionate efforts. And we submit in a

07 15:17:53 (600)000-0000 euros case, parties

08 15:17:58 and tribunals must make efforts to base the the quantum decision not on

09 15:18:06 an estimate, because this is a provision to

10 15:18:09 estimate quantum, but on actual evidence and actual

11 15:18:14 calculations. And we submit that these that these

12 15:18:19 calculations can be made with the

13 15:18:24 support

14 15:18:25 of experts. The 2nd point is on evidence, we do not

15 15:18:30 suggest to open open the the evidentiary record. We

16 15:18:35 submit that the evidence taking should be closed. But

17 15:18:41 still the calculation of quantum is so

18 15:18:48 complex that that it is

19 15:18:52 only with great difficulty possible to calculate all

20 15:18:57 variables, and on. And, Mr Holland, we would just

21 15:19:02 like to make one final point on. On the graph that

22 15:19:06 we've seen from the respondent's.

23 15:19:09 MR HOLLAND: Thank you again, just on the variables. So

24 15:19:14 the waterfall that we were showing to you a moment

25 15:19:19 ago, RED-40 had four parameters. And depending on the

01 15:19:29 sequence in which

02 15:19:31 you select those parameters, there are 24

03 15:19:38 separate outcomes yielding different

04 15:19:41 results depending on the sequence. It's like a

05 15:19:44 combination lock. Furthermore. It is not uncommon

06 15:19:56 in gas contracts to decide principles and for the parties to

07 15:20:06 be asked to find a number.

08 15:20:11 Reporting

09 15:20:11 back to the tribunal whether

10 15:20:15 they can reach agreement. The advantage of

11 15:20:19 that is that the tribunal remains functus after the

12 15:20:23 1st partial award and can continue to control its proceedings, and there is much

13 15:20:42 written in the gas world about

14 15:20:51 numbers coming from lawyers. And one problem is issuing a final award is that

15 15:20:58 the tribunal then leave the parties with with that

16 15:20:58 number

17 15:20:59 and their job is done and it may prove, as the next few weeks develop, there

18 15:21:10 may be outcomes as the tribunal deliberates where the number that they seek is more

19 15:21:20 difficult to

20 15:21:20 find than might be the case here.

21 15:21:26 PRESIDENT: Let me. I see the points in in both parties, I mean

22 15:21:33 views and. And that exchange of views is very useful

23 15:21:36 to the tribunal to plan its work, if you could.

24 15:21:39 The.

25 15:21:40 It's important for us to, to determine if we are going to

26 15:21:44 make a decision, at which point in time in our work,

27 15:21:48 we make that decision and it may be that it is useful for the tribunal

01 15:21:59 to have the hearing submissions in order to make that decision. But it is difficult
02 15:22:08 for the tribunal, maybe, to assess
03 15:22:12 whether
04 15:22:12 there would be a split in the 248 days from this, from this. From, from, from this
05 15:22:24 hearing,
06 15:22:28 because we may need to work together, as you were mentioning, and as
07 15:22:32 we go through the issues let's
08 15:22:36 review the difficulties we may face that would
09 15:22:37 lead us
10 15:22:47 to decide on a split. So reviewing the time table. We have to keep this in mind
11 15:22:47 because
12 15:22:48 it is quite an early determination, a bifurcation.
13 15:22:52 The 2nd element I wanted to raise was in this
14 15:22:57 arbitration. We have already made a decision at
15 15:23:00 the early stage of
16 15:23:02 the proceedings not to bifurcate.
17 15:23:05 So
18 15:23:05 we rejected the respondent's. Objections. I
19 15:23:10 mean, a
20 15:23:11 request for bifurcation. And and it was different
21 15:23:17 grounds, but we requested the parties to
22 15:23:21 submit
23 15:23:22 written submissions and grounds in terms of
24 15:23:27 efficiency, procedural fairness. And we were provided
25 15:23:30 with quite a few legal
26 15:23:33 authorities in support of the applications submitted

01 15:23:36 by the by the respondent and by the claimant. So in all
02 15:23:41 procedural fairness, we would ask the
03 15:23:44 parties to make a written exchange on the application.
04 15:23:48 This time not so much that it would be limited to a
05 15:23:55 technical review or fairness review or. Review oral
06 15:24:03 review with the arguments that are made today by the parties.
07 15:24:06 But we would we would need to determine, under the ICC
08 15:24:11 Rules and under all the same criteria that have been applied
09 15:24:20 for. When reviewing the respondent's application,
10 15:24:22 we
11 15:24:23 would need to review the criteria that are
12 15:24:25 submitted
13 15:24:26 by the claimants in their application. So we would
14 15:24:29 invite the parties to exchange in writing reasonably shortly after this hearing, all the
15 15:24:42 grounds that are submitted and we understand this
16 15:24:46 not to be, as you mentioned, a
17 15:24:49 fresh application, but it's an application that has
18 15:24:51 been on the record since January. All the grounds in
19 15:24:55 support, factual and legal grounds in support. It may
20 15:24:59 be that they're already on record because I checked,
21 15:25:01 there are quite a few legal references on both sides.
22 15:25:04 Just reference back to to the original legal
23 15:25:07 authorities. You may have this is this could be
24 15:25:10 a possibility. And that would make us that would help
25 15:25:15 ☐202603270141 us to determine the criteria and and review. Also

01 15:25:21 ask

02 15:25:22 the respondent to review those criteria and the

03 15:25:25 parameters that are submitted by the claimant in terms

04 15:25:29 of efficiency, in terms of cost and in terms of

05 15:25:32 procedural fairness, when the tribunal will make a

06 15:25:36 decision, would that be agreeable to the party? We

07 15:25:39 may not need another hearing online, just an exchange in

08 15:25:43 writing, of

09 15:25:44 course, if parties wish to have online presentation, we would not

10 15:25:49 we would of course grant it

11 15:25:51 claimant, because you you're the applicant on this

12 15:25:54 question.

13 15:25:55 MR HAUGENEDER: Yes, that would be agreeable to us. And

14 15:25:57 we would mean that the easter break is coming and and

15 15:25:59 we've just checked. So on our side there, there will be quite a few who

16 15:26:07 will will be away for the easter break. So we

17 15:26:09 would

18 15:26:09 ask for two weeks to, to make. From today. From

19 15:26:13 today.

20 15:26:14 MS SOLDATENKOVA: Okay.

21 15:26:15 PRESIDENT: To make short holidays.

22 15:26:21 MR HAUGENEDER: To, to make that application. And we

23 15:26:25 would then ask that we, we discuss after the decision

24 15:26:32 the further timetable because this has quite an impact

25 15:26:35 on the timetable, because the the scope of our

01 15:26:39 post-hearing briefs depends on the tribunal's decision

02 15:26:42 of, of this point.

03 15:26:48 PRESIDENT: What are the respondent's views on, on on

04 15:26:52 what was just discussed?

05 15:26:54 MS SOLDATENKOVA: We support the decision of written

06 15:26:56 comments on the claimant's application, but we do not

07 15:26:59 understand why that should influence the deadline for

08 15:27:01 the submission of post-hearing briefs. So to us,

09 15:27:04 those are two things that can be done in parallel. As

10 15:27:08 to the timeline. 2 weeks, what is your opinion of

11 15:27:12 timeline?

12 15:27:13 PRESIDENT: 2 weeks from the receipt of the respondent's.

13 15:27:15 MR TALANOV: Should be fine. We just need to make sure

14 15:27:17 the dates and not to fall within the May holidays

15 15:27:20 because there will be public holidays, but otherwise

16 15:27:22 we will be happy to accommodate the equal time frame.

17 15:27:27 PRESIDENT: Well, at this point we're going to take a

18 15:27:29 short break and we'll be back in about five, five, 10

19 15:27:34 minutes. The tribunal needs to to consult. So thank you for for waiting for us. We

20 16:24:07 have heard the the parties presentations on the claimant's

21 16:24:14 ☐202603270142 request for a split award. Here is our views and how we

22 16:24:18 would like to process. First, we welcome the claimant's

23 16:24:25 submission within two weeks or any other deadline that may

24 16:24:29 be agreed upon between the parties for a. What we

25 16:24:33 understand is

01 16:24:33 a request for
02 16:24:35 bifurcation.
03 16:24:39 And the request for bifurcation is to
04 16:24:42 bifurcate. So liability issues, which I
05 16:24:52 understand covers also jurisdiction and the
06 16:24:56 principle of the principles of quantification, but
07 16:24:58 not
08 16:24:59 the actual quantum and the respondent's response to
09 16:25:07 that application within two weeks or any other
10 16:25:09 deadlines the parties would like. To agree upon, then, without prejudice to the
tribunal's decision
11 16:25:23 on bifurcation, the tribunal would like the parties to
12 16:25:29 split their post-hearing submissions as to 1st, a
13 16:25:35 simultaneous submission on jurisdiction liability
14 16:25:46 and
15 16:25:47 all liability issues, and the principles of
16 16:25:50 quantification. We would expect this to be submitted within any
17 16:25:59 agreed deadline between the parties, but the
18 16:26:01 preference of the tribunal would be to receive that
19 16:26:06 submission within 10 weeks from now, which is on or
20 16:26:14 around the 5th of June. With this submission, we that would allow us to
21 16:26:22 make a determination of whether or not to bifurcate.
22 16:26:30 We would make a decision to bifurcate later in the
23 16:26:36 year through a procedural order, and we may decide
24 16:26:41 to bifurcate the case and render a partial award that
25 16:26:46 would cover jurisdiction liability or and principles

01 16:26:52 of quantification. Or we may decide not to
02 16:26:55 bifurcate.
03 16:26:57 And when we reach that decision, we would give further
04 16:27:02 procedural directions to the parties. In the
05 16:27:07 meantime, we would like the parties, upon
06 16:27:10 completion of their post-hearing submissions to
07 16:27:19 submit within the time frame. They agree, but I
08 16:27:22 understand which is two weeks after these submissions, their cost submission so that
09 16:27:28 we have we
10 16:27:29 have your
11 16:27:29 cost submission, which would include all your costs,
12 16:27:33 legal costs, administrative costs and the expert costs
13 16:27:37 and any other costs according to the ICC Rules. And we
14 16:27:40 would have two rounds on submissions on this. We feel that in order to make a
15 16:27:40 decision on and
16 16:27:50 determine that difficult split between within damages,
17 16:27:59 between principles of damages and quantum of damages,
18 16:28:02 we would benefit from the submissions of the parties
19 16:28:07 on all these issues that would be covered. But at the
20 16:28:11 same time, to be fair to the parties and to be efficient to the procedure we do not
21 16:28:17 want.
22 16:28:17 If we were to bifurcate, or if we were to need the
23 16:28:21 help of the assistance of the experts to have and
24 16:28:26 decide a partial decision. We don't want the
25 16:28:29 parties
to make that work twice in abstract, 1st and 2nd by
application of the partial award. We also do not want to delay our work because we
have planned, I
would say, months in advance, the work in

01 16:28:46 this case, so as to make a prompt determination of
02 16:28:50 this case to the parties. So this is why we're asking
03 16:28:55 the parties to make
04 16:28:56 submissions in parallel to the applications for
05 16:29:03 bifurcation, without prejudice to our decision, so as
06 16:29:06 not to postpone any final determination of this case.
07 16:29:13 So this is an administrative decision to walk
08 16:29:17 through the path of the post-hearing. Procedure. And
09 16:29:23 with this in mind, we have only one question when
10 16:29:27 can we expect the post-hearing submissions, which
11 16:29:30 is
12 16:29:31 determinative of our work. So I would like to
13 16:29:36 continue now, and the members
14 16:29:37 of the tribunal would like to explore the further
15 16:29:41 steps and can start considering deadlines so we can
16 16:29:46 issue a procedural timetable up to the submissions of
17 16:29:51 the costs. So I understand you would have liked to review the
18 16:29:59 timetable after we make a decision on bifurcation, but
19 16:30:02 this will not be the case. We're going all the way
20 16:30:06 through until at least our decision on whether to buy
21 16:30:12 furcate or not. So we need a date for the hearing
22 16:30:14 submissions. So maybe claimant and if there is any
23 16:30:20 other aspect of the procedural timetable, apart from the decision that the
24 16:30:24 tribunal just made as to as to how to the path to
25 16:30:30 determine the the bifurcation, any other procedural

01 16:30:34 aspects, such as reviewing the transcript, any other
02 16:30:38 aspects, please feel free. And then we're going to
03 16:30:40 compute all this.
04 16:30:42 MS SOLDATENKOVA: Yeah.
05 16:30:43 MR NEFEDIEV: Thank you, Madam President. President,
06 16:30:44 that is very clear. We are.
07 16:30:50 MR HAUGENEDER: We agree that 10 weeks for the
08 16:30:53 post-hearing briefs is doable for us. We just
09 16:30:56 would ask that we start counting these 10 weeks from
10 16:31:01 the finalization of the transcripts and the we would suggest that we reserve two
11 16:31:13 weeks. We reserve two
12 16:31:15 weeks after. After receiving the
13 16:31:19 transcripts, we reserve two weeks for review of the
14 16:31:26 transcript and then another week for the parties to
15 16:31:30 exchange their
16 16:31:33 suggested corrections of the transcript, and then to
17 16:31:38 make a submission of agreed changes or in case we are
18 16:31:43 not able to fully agree on all changes to to make
19 16:31:46 applications for corrections. So that would be in
20 16:31:48 total three weeks. And from
21 16:31:52 that date we would start the 10, the 10 weeks.
22 16:31:58 PRESIDENT: So three plus 10. And that is in parallel to
23 16:31:58 the submissions of the
24 16:31:59 on bifurcation. That is run in parallel. Have you
25 16:32:05 had a chance to discuss this with the respondent.
26 16:32:09 MR TALANOV: Not yet.

01 16:32:09 PRESIDENT: Not yet responded.

02 16:32:10 MR TALANOV: Not yet. We believe that the deadline of

03 16:32:15 the 5th of June is very reasonable, and we would be

04 16:32:19 happy to stick to that. And we strongly believe that

05 16:32:25 the transcript in the current form is very close to

06 16:32:29 what the parties may agree upon. So we would like to

07 16:32:35 potentially seek not to add such long period for the

08 16:32:40 parties to agree on the transcript. Maybe a week could be added

09 16:32:45 for these

10 16:32:45 purposes, but that

11 16:32:48 should suffice.

12 16:32:51 PRESIDENT: So you you would say one week plus 10 weeks.

13 16:32:54 MR TALANOV: There could be.

14 16:32:58 PRESIDENT: When are you when are we going to receive?

15 16:33:05 The. Are you going to work on the transcript, the

16 16:33:08 daily transcript you have received or are you

17 16:33:10 expecting a final draft? What was the arrangement

18 16:33:16 made?

19 16:33:17 MR TALANOV: I think the transcript is shared daily on a

20 16:33:19 daily basis.

21 16:33:20 PRESIDENT: Yes, but that's that's the 1st draft. So do

22 16:33:24 you are you expecting.

23 16:33:27 MR HAUGENEDER: I think.

24 16:33:28 PRESIDENT: A final a final.

25 16:33:32 DR REINER: We have provided the final transcript. But

01 16:33:35 of course, if there are corrections, we will issue.

02 16:33:37 Okay.

03 16:33:38 PRESIDENT: So we're not expecting another one. Another

04 16:33:42 transcript. So final transcript today would mean in

05 16:33:50 three weeks we would have then that would be the 15th

06 16:33:55 of April to 15 of April and counting. 10 weeks would

07 16:34:00 be help me. 1, two, two. That pushes.

08 16:34:18 MR HAUGENEDER: Yes, we believe it's it's the 26th of

09 16:34:22 June.

10 16:34:22 MR WAY: Which is. Started on.

11 16:34:34 MS HOFFMANN: 2, three, four.

12 16:34:37 MR WAY: Yes.

13 16:34:38 MS HOFFMANN: That's good.

14 16:35:01 PRESIDENT: You see, let's see from the respondent. So

15 16:35:06 26 of June because you see if the parties reach an

16 16:35:10 agreement this is this is fine with the tribunal.

17 16:35:12 This is the party's agreement. If there is a

18 16:35:15 disagreement, we have to determine it. But we also

19 16:35:19 have to to see our respective timetable in order to

20 16:35:25 make decisions and meet. So 26 of June is little bit late

21 16:35:36 to. It might

22 16:35:38 have a huge impact on, on. So I'm just. But I understand

23 16:35:44 this is two week hearing. There is a long

24 16:35:47 review of the transcripts. Do. It may be

25 16:35:51 burdensome, but the timetable was indicative of six to

01 16:35:58 10 weeks from the closing of
02 16:36:00 the
03 16:36:00 submission. And we've reduced the scope to. So I'm
04 16:36:07 just concerned. Is there do you want.
05 16:36:11 Let's take a five-minute break. You discuss it among
06 16:36:14 yourselves and you let us know if you can agree
07 16:36:16 on a date, because your view is
08 16:36:21 the 5th of June. The claimants
09 16:36:22 view is the 26th of June.
10 16:36:25 It's not very far apart, but if.
11 16:36:29 MR TALANOV: You potentially could agree on, say, the
12 16:36:34 19th to make our positions meet.
13 16:36:37 PRESIDENT: Just let's take a five-minute break and you
14 16:36:39 come back to us if you have an agreement, because this
15 16:36:43 is bargaining deadlines. And I think it's, it's
16 16:36:45 better if you can have a reach, an agreement, if you
17 16:36:47 can't reach an agreement, then we'll give you a date.
18 16:36:50 MS SOLDATENKOVA: Let's take the.
19 16:39:07 PRESIDENT: Claimant. I heard there was an agreement.
20 16:39:09 MR HAUGENEDER: Yes. We agree with with 19th of June.
21 16:39:14 We would also propose to to clarify that there should
22 16:39:22 be no new factual submit exhibits. No new. Legal exhibits except
23 16:39:40 those that could not have been reasonably
24 16:39:46 submitted before. And no new arguments. And of
25 16:39:56 course, the development of arguments that has

01 16:39:58 been made, but no new arguments that have not been
02 16:40:01 made.
03 16:40:12 PRESIDENT: Respondent agreed. We agreed. 19th the 19.
04 16:40:15 MR TALANOV: We agree on the 19th we agree that the
05 16:40:18 post-hearing submission shall not contain any new
06 16:40:21 factual exhibits, legal exhibits. We believe any new
07 16:40:24 legal exhibits shall be subject to a separate
08 16:40:27 application as the procedure that has been followed in the
09 16:40:32 course of these hearings as well. And we also
10 16:40:36 agree that no new arguments should be raised by
11 16:40:39 the parties in the post-hearing submissions.
12 16:40:41 PRESIDENT: And again, the hearing submissions are we are
13 16:40:45 we have decided to split the scope of the posterior
14 16:40:50 submissions we have. This is pending any decision as to
15 16:40:56 whether a partial award should be rendered or not.
16 16:40:59 This is not. This is not a split of. This is
17 16:41:07 without
18 16:41:07 prejudice to any decision
19 16:41:08 we may make on on whether to to bifurcate or
20 16:41:15 not.
21 16:41:20 The. On the page limit. Now, have you considered page
22 16:41:24 limit? And have you discussed because we mentioned
23 16:41:30 earlier this week page limit. So is there oh,
24 16:41:35 page
25 16:41:36 word limit. Sorry. Is there

01 16:41:39 any view.

02 16:41:43 MR HAUGENEDER: We we believe we, we should not have a

03 16:41:47 page limit simply because we, we don't know how, how

04 16:41:55 the,

05 16:41:56 what length of argument is, is necessary. We recognise that it is

06 16:42:03 in

07 16:42:03 our interest to be as

08 16:42:05 succinct as possible, but then will never know how in

09 16:42:09 advance how how many pages are necessary. So in the

10 16:42:12 case of this complexity, we would rather not have a

11 16:42:14 page limit responded.

12 16:42:16 MR TALANOV: We believe that the page limit is absolutely

13 16:42:19 necessary, given the volume of submissions already on

14 16:42:22 the record, and we believe that a page limit of, say,

15 16:42:28 150 pages or 75,000 words would suffice. Both parties

16 16:42:34 and the development of the argumentation referred to by the claimant.

17 16:42:40 PRESIDENT: You see the problem with okay word limit, we

18 16:42:43 can have 75,000, we can have 90,000. There are cases

19 16:42:47 where tribunals do request page limit or

20 16:42:52 word limit. And there are cases where the parties do

21 16:42:58 agree to word limit. So. Unless the parties agree, we we want to go for efficiency.
We encourage the

22 16:43:13 parties to to consider that this is an additional

23 16:43:17 submission that does not introduce any new facts or

24 16:43:23 elements of legal elements. So everything is already on record.

25 16:43:27 Now there is a request for efficiency from the

01 16:43:31 tribunal so that we're able to read actually the the
02 16:43:35 submissions. But at the same time, we acknowledge
03 16:43:38 that the parties are free to present their case
04 16:43:40 the
05 16:43:40 way they want to present their case. So I would I would suggest to the parties
06 16:43:47 that the footnotes be limited
07 16:43:51 to addressing only references to legal
08 16:43:57 exhibits and factual exhibit with a hyperlink, a
09 16:44:01 hyperlink to the to the to the to the record and the transcript, and that there have
10 16:44:10 been no developments in the footnotes so that all the
11 16:44:15 developments are in the briefs, in, in the
12 16:44:18 submissions
13 16:44:18 to make, to make, to simplify our reading, we would
14 16:44:24 also
15 16:44:24 ask you. To
16 16:44:30 provide us, which was not always provided in the submissions. A detailed table
17 16:44:38 of contents of the submissions. That means any
18 16:44:43 subheading that is added in the
19 16:44:45 text be incorporated into the table of contents. And
20 16:44:52 with this in mind, we encourage you not to exceed
21 16:44:58 90 words. This is an encouragement from the tribunal.
22 16:45:02 This is not a word limit. 390,000 sorry, I could see
23 16:45:10 I said something wrong, but 90,000 words to my
24 16:45:15 understanding is 300 page. But this is an
25 16:45:20 encouragement from the tribunal. This is

01 16:45:21 not a word count. I think we've addressed
02 16:45:30 most of the format we had in mind. What would also
03 16:45:35 be helpful in the footnote, and that
04 16:45:37 will be in the procedural order, is that in addition to the
05 16:45:42 reference to the e table reference, so
06 16:45:47 that the the bundle reference were provided with the
07 16:45:52 original reference to the exhibits. And we have
08 16:45:56 noted
09 16:45:57 that some exhibits have been submitted three times,
10 16:46:01 sometimes as an attachment to an expert
11 16:46:04 report, sometimes as an attachment as a
12 16:46:07 legal authority. So it would be good to have
13 16:46:11 those
14 16:46:12 references as well. So if some regulation was
15 16:46:16 submitted three times, it's important when we to be able to to see that it's
16 16:46:21 actually the same document by now we know it, but it
17 16:46:24 would simplify our reading of the additional
18 16:46:27 submission. With this in mind, I just want to ask my
19 16:46:30 co-arbitrators if they have anything. So we're back on record. We want to
20 16:50:58 cover everything. We want to make sure everything is is
21 16:51:01 covered. 1 final
22 16:51:04 point. The claimant's application for bifurcation is submitted together with a chart
23 16:51:15 and
24 16:51:15 the
25 16:51:15 chart is entitled claimants table. Undisputed quantum
25 16:51:20 parameters. So in order to make sure what the

01 16:51:26 scope of the postering submission to be filed by
02 16:51:30 the
03 16:51:31 party will cover, I will. We're asking the claimant
04 16:51:36 to explain very carefully in
05 16:51:38 their application for bifurcation.
06 16:51:40 What is, in the claimant's view, to be covered in a
07 16:51:45 partial award and what would remain to be covered in a
08 16:51:50 final
09 16:51:50 award on calculation of quantum. If the
10 16:51:59 claimant's
11 16:51:59 table undisputed quantum
12 16:52:01 parameter can be of any use, then this should be
13 16:52:06 submitted together. If a. If a new table needs to be
14 16:52:09 submitted, then a new table should be made so that the
15 16:52:13 respondent has an opportunity to comment on the
16 16:52:18 scope
17 16:52:19 of the partial award, which is to be bifurcated or not, and
18 16:52:27 if bifurcated, wishes to be
19 16:52:28 bifurcated. But the. The
20 16:52:30 question is, we would not want the parties to be faced
21 16:52:35 with the dispute of what should be in the
22 16:52:39 post-hearing submissions, and that we discovered
23 16:52:43 that
24 16:52:43 some items are covered by the claimant and some items
25 16:52:47 are not covered by the respondent. So at some point,

01 16:52:51 irrespective of the decision of
02 16:52:53 the tribunal, to to to bifurcate, it would be good
03 16:52:59 that the parties confer and try to reach an agreement as to
04 16:53:06 what, in your view, I mean is should be in in that
05 16:53:11 by should be those bifurcated issues and identify on
06 16:53:15 your
07 16:53:15 part what you agree is, is, is, is, is if it was to be
08 16:53:22 bifurcated, should be inserted in it or not, because
09 16:53:25 it will be
10 16:53:27 relevant for the completion of the post-hearing
11 16:53:30 briefs
12 16:53:32 step phase one and then phase two. We don't want the
13 16:53:35 parties to miss one argument in the 1st phase because
14 16:53:39 they they think it could be in the 2nd phase. I'm explaining this maybe a little bit in a
15 16:53:45 complex way, but we want to ensure that there is
16 16:53:49 communication by the parties and that you don't
17 16:53:51 leave this room thinking,
18 16:53:52 oh, I understand what principles
19 16:53:57 of quantifications are. And actually, there may be a
20 16:54:01 gap between the parties respective understanding. So
21 16:54:06 communications with the parties is encouraged. And in
22 16:54:10 particular, if the parties can agree or propose to
23 16:54:16 each other tables, then the tables will be useful and they
24 16:54:22 may be annexed to the submissions. And we can you may
25 16:54:25 want to start with the claimant's table

01 16:54:28 that is in the slides. It may be a different fresh
02 16:54:32 table that the parties will will work on, but we will have
03 16:54:37 time to adjust any difference between
04 16:54:41 the
05 16:54:42 parties after the round of submissions, which will
06 16:54:45 take one month, and the submissions of the
07 16:54:48 post-hearing briefs if there is any disputed area.
08 16:54:53 Claimant, was I clear?
09 16:54:55 MR HAUGENEDER: Yes, absolutely.
10 16:54:57 PRESIDENT: Respondent was I clear?
11 16:54:58 MR TALANOV: Yes. Thank you.
12 16:54:59 PRESIDENT: Okay. Submission on cost deadlines.
13 16:55:06 MR HAUGENEDER: We would propose then, in accordance with
14 16:55:09 the timetable, two weeks after the post-hearing
15 16:55:13 briefs, that would be three July. And then comments
16 16:55:20 on cost submissions, 17 July. And we would propose that the cost submissions are
17 16:55:30 made in table format only. That is, without
18 16:55:37 supporting invoices unless they are specifically
19 16:55:44 questions by a party.
20 16:55:46 PRESIDENT: For fees or costs.
21 16:55:48 MR HAUGENEDER: Both.
22 16:55:48 MS SOLDATENKOVA: Both.
23 16:55:53 PRESIDENT: Respondent's. What are your views?
24 16:55:54 MR TALANOV: We are agreeable with these terms. As for
25 16:55:57 the table format, we would be happy to consider the

01 16:56:01 format the claimant deems fit and agree on the format
02 16:56:04 that the parties will use.
03 16:56:06 PRESIDENT: Right, but no underlying invoice bills or
04 16:56:11 statement of fees or expenses unless there is a
05 16:56:16 specific request in that respect.
06 16:56:17 MR TALANOV: Agreed?
07 16:56:19 PRESIDENT: Yes.
08 16:56:19 MR TALANOV: Agreed.
09 16:56:20 PRESIDENT: Agreed. Submission. It's not a statement.
10 16:56:29 In your submission. You should. Okay. Please go
11 16:56:35 ahead.
12 16:56:35 DR REINER: I was just trying to clarify that when you
13 16:56:39 say table format, you will still set out the
14 16:56:41 principles of allocation you think should be followed.
15 16:56:42 Yes, yes.
16 16:56:43 MR HAUGENEDER: Okay. The the costs will be.
17 16:56:46 DR REINER: Yes. Just making sure it's not just a table,
18 16:56:48 you know, giving us the fees and costs and then say
19 16:56:49 here, deal with it. Okay. Thank you. I've seen it.
20 16:56:53 I've seen it. That's why I'm asking.
21 16:57:03 PRESIDENT: Claimant.
22 16:57:03 MR HAUGENEDER: We would just like to to just recall the
23 16:57:08 dates that we've agreed upon just to have that. Sure.
24 16:57:12 So the application for bifurcation will be made on, on
25 16:57:16 10 April. The response to the application on

01 16:57:23 24 April, the post-hearing submissions on 19th of June
02 16:57:28 cost submissions three July and then replies to cost
03 16:57:33 submission, 17 July.
04 16:57:38 MR TALANOV: That is agreed.
05 16:57:40 PRESIDENT: And when should we receive step one the
06 16:57:44 comments you exchange comments among yourselves on the
07 16:57:48 transcript and if there is any modification, we will
08 16:57:52 receive the information from Tabela if there is any
09 16:57:56 change. But I just want to make sure you have agreed
10 16:58:00 on a deadline among yourselves that may not involve
11 16:58:03 the tribunal.
12 16:58:06 MR HAUGENEDER: We I think we said two weeks from now.
13 16:58:09 PRESIDENT: From now.
14 16:58:10 MR HAUGENEDER: Okay.
15 16:58:11 DR REINER: Yes.
16 16:58:11 MS SOLDATENKOVA: It's fine on our side. 2 weeks.
17 16:58:13 PRESIDENT: So. So that's April 10 as well. Okay.
18 16:58:16 MR HOLLAND: And on that subject, we're told at least we
19 16:58:20 understand that in order for the audio of the hearing
20 16:58:23 to be made available to the hearing provider, the
21 16:58:27 tribunal is asked to authorise that. I think that's
22 16:58:30 right.
23 16:58:31 PRESIDENT: It is true that it is for us to authorise
24 16:58:35 that unless any party object. We have no objection
25 16:58:39 to. We actually authorise access to the audio, but

01 16:58:45 not to the video. If there has been a video
02 16:58:49 recording. Are you okay with that? And okay.
03 16:58:53 MR HAUGENEDER: Just to be clear on the cost submissions,
04 16:58:55 so two weeks, a two week deadline to exchange our
05 16:59:02 suggested corrections bilaterally, and then another
06 16:59:05 week to agree and to make the submission to the
07 16:59:09 tribunal.
08 16:59:10 PRESIDENT: So that would be the 17th of April. So two
09 16:59:12 weeks, 10 April to exchange and one week to review
10 16:59:19 your respective comments and to agree and to send this
11 16:59:23 to tabela. So that means 17 April, that process is
12 16:59:28 finished. And in the meantime, you will have
13 16:59:33 submitted your application for bifurcation and the
14 16:59:36 respondent will have a will on 24 April, submit its response. Anything else from
15 16:59:53 the claimant side responded.
16 16:59:56 MR TALANOV: No, nothing from our side.
17 16:59:59 PRESIDENT: So on behalf of the tribunal, we would like
18 17:00:04 to thank you very much. Both teams. We appreciate
19 17:00:08 the effort of all the teams. It was nice actually, to
20 17:00:11 meet with all the team members and we
21 17:00:16 really appreciate the hard work, the efficiency
22 17:00:20 and the presentations that were made to
23 17:00:22 us.
24 17:00:22 Thank you very much for organizing the hearing in
25 17:00:27 these premises, which are wonderful premises, and

01 17:00:31 thank you for hiring Lloyd Michaud. And thank you for
02 17:00:35 the Lloyd Michaud team. We we have listened to your
03 17:00:42 arguments. We have listened to the
04 17:00:47 professional work you have provided the tribunal
05 17:00:49 with. We have seen your efforts from the
06 17:00:53 lead counsel to all the team members. We want to to tell you that we will work now
07 17:01:02 efficiently on providing you with the determination of
08 17:01:07 this dispute. We have worked on our timetable. We have already
09 17:01:15 arranged for time to meet, study the case and work on
10 17:01:21 the writing of the award. We will keep you
11 17:01:25 informed. We are not able at
12 17:01:27 this moment to provide you with the date for an
13 17:01:31 estimate. Time to submit the award to the court. We
14 17:01:38 will provide you with updates as we go along so
15 17:01:42 you will not be in the dark asking yourself when
16 17:01:46 will we get an award? We believe it is important that
17 17:01:51 after providing us years of work, we follow up on now on our side with what you
18 17:01:57 expect from us, which is a decision. With
19 17:02:02 this in mind, we are going back to work, but
20 17:02:07 we have one final point is, is there any
21 17:02:11 reservation on the way? The hearing was conducted
22 17:02:14 by the tribunal from the part of the the
23 17:02:18 claimant.
24 17:02:19 MR HAUGENEDER: Thank you madam. Madam President,
25 17:02:22 members of the tribunal, we would like to thank the

01 17:02:26 tribunal for the fair

02 17:02:29 conduct of the hearing to be. To be clear, we

03 17:02:33 maintain our objection regarding

04 17:02:36 the admission of. Of Dr Gert as counsel, but we said that

05 17:02:41 already out. We also would like to thank everyone who

06 17:02:49 has assisted in the organisation of this hearing.

07 17:02:52 Technical support the court reporter and our respective team members,

08 17:02:59 without whom this hearing

09 17:03:02 certainly could not have been organised.

10 17:03:05 And, of

11 17:03:06 course, the secretary of the tribunal who has attended

12 17:03:12 online. Thank you.

13 17:03:16 MR TALANOV: So to answer your question specifically, no

14 17:03:19 reservations and nothing else but for the. Thanks.

15 17:03:23 Very many thanks for being

16 17:03:25 with us through these two hard weeks, and very many

17 17:03:30 thanks to everyone who made this possible. Thank you.

18 17:03:32 MS SOLDATENKOVA: Thank you very much to the technical

19 17:03:33 team. Thank you.

20 17:03:36 PRESIDENT: Thank you. This closes the hearing. Thank

21 17:03:38 you very much and have a safe trip back home.